

中国纺织机械股份有限公司

2002 年年度报告

重要提示

1.1 本公司董事会及其董事保证本报告所载资料不存在任何虚假记载、误导性陈述或者重大遗漏，并对其内容的真实性、准确性和完整性负个别及连带责任。

1.2 公司本年度财务会计报告已经上海众华沪银会计师事务所有限公司审计并出具了标准无保留意见的审计报告。

1.3 本公司负责人董事长钱建忠先生、主管会计工作负责人财务总监石李芬女士、会计机构负责人财务管理处处长孙蓓华女士声明：保证本年度报告中的财务会计报告真实、完整。

目 录

一、公司基本情况简介.....	2
二、会计数据和业务数据摘要.....	4
三、股本变动及股东情况.....	7
四、董事、监事、高级管理人员和员工情况.....	11
五、公司治理结构.....	14
六、股东大会简介.....	17
七、董事会报告.....	19
八、监事会报告.....	25
九、重要事项.....	27
十、财务报告.....	32
十一、备查文件目录.....	66

一、公司基本情况简介

- 1、公司的法定中文名称：中国纺织机械股份有限公司
中文缩写：中纺机
公司的英文名称：CHINA TEXTILE MACHINERY CO., LTD.
英文名称缩写：CTM
- 2、公司法定代表人：钱建忠
- 3、公司董事会秘书：李文利
公司董事会证券事务代表：应民刚
联系地址：上海市长阳路 1687 号
电话：(021)65432970
传真：(021)65455130
电子信箱：ctmzjbk @ online.sh.cn
- 4、公司注册地址：上海市长阳路 1687 号
公司办公地址：上海市长阳路 1687 号
邮政编码：200090
公司国际互联网网址：<http://www.ctmco.com.cn>
公司电子信箱：ctmzjbk @ online.sh.cn
- 5、公司选定的信息披露报纸：上海证券报、香港文汇报
登载公司年度报告的中国证监会指定网站的网址：
<http://www.sse.com.cn>
公司年度报告备置地点：中国纺织机械股份有限公司董事会办公室
- 6、公司股票上市交易所：上海证券交易所
股票简称：A 股 ST 中纺机 B 股 ST 中纺 B
股票代码：A 股 600610 B 股 900906
- 7、其他有关资料
公司首次注册登记日期：一九九二年六月二十二日
公司首次注册登记地点：上海市浦东新区龙东路 818 号
公司最新注册登记日期：一九九七年八月二十七日
公司最新注册登记地点：上海市长阳路 1687 号
企业法人营业执照注册号：企股沪总字第 019004 号(市局)
税务登记号码：310042607200164
公司聘请的会计师事务所：

上海众华沪银会计师事务所有限公司
上海市延安东路 550 号海洋大厦 12 楼
德豪国际会计师事务所
上海市延安东路 550 号海洋大厦 12 楼

二、会计数据和业务数据摘要

1、公司本年度主要利润指标情况(合并报表)

项目	单位：人民币元
利润总额	110,840,248.16
净利润	108,423,777.57
扣除非经常性损益后的净利润(注)	12,563,516.51
主营业务利润	84,907,119.40
其他业务利润	5,990,521.09
营业利润	10,822,837.64
投资收益	4,378,027.86
补贴收入	-
营业外收支净额	95,639,382.66
经营活动产生的现金流量净额	57,033,656.28
现金及现金等价物净增加额	44,543,632.12
注：扣除的非经常性损益项目及涉及金额	
其中：(1)、股权转让收入	220,878.40
(2)、营业外收入	96,023,170.53
(3)、营业外支出	383,787.87
合计	95,860,261.06

2、按国内、国际会计准则审计所产生的净利润差异说明：

公司本年度经上海众华沪银会计师事务所有限公司审计，净利润 10,842.38 万元，经德豪国际会计师事务所审计，净利润 12,363.30 万元。

本公司 2002 年度按国际会计准则编制的 B 股会计报表由德豪国际会计师事务所进行审计。其与按中国会计准则编制的 A 股会计报表的净利润、净资产分别列示如下(金额单位：千元)：

	净利润		净资产	
	2002 年度	2001 年度	2002 年末	2001 年末
按国际会计准则列报	123,633	12,409	328,965	-13,910
坏账准备的调整	-	-13,654	-	-
存货跌价准备的调整	-	4,506	-	-
固定资产折旧的调整	-15,209	-1,617	32,246	47,455
按中国会计准则列报	108,424	1,644	361,211	33,545

3、公司近三年主要会计数据和财务指标(合并报表)

(单位：人民币元)

项目	2002 年		2001 年		2000 年	
		调整后		调整前	调整后	调整前
主营业务收入	604,077,686.88	449,419,326.11	449,419,326.11	386,688,212.00	386,688,212.00	
净利润	108,423,777.57	1,643,526.48	6,612,032.41	-356,639.71	3,563,012.89	
总资产	791,100,453.22	628,693,852.08	637,582,010.61	810,269,723.01	814,189,375.61	
股东权益	361,210,825.88	33,545,099.78	42,433,258.31	31,901,573.30	35,821,225.90	
每股收益(摊薄)	0.304	0.0046	0.02	-0.001	0.01	
每股收益(扣除非经						
常性损益后)	0.04	-0.11	-0.11	-0.13	-0.13	
每股净资产	1.012	0.094	0.12	0.089	0.10	
调整后的每股净资产	0.9534	0.0267	0.05	-0.04	-0.03	
每股经营活动产生的						
现金流量净额	0.16	0.13	0.13	0.10	0.10	
净资产收益率	30.02%	4.90%	15.58%	-1.12%	9.95%	

注：按中国证监会发布的《公开发行证券公司信息披露编报规则》第 9 号的要求计算的净资产收益率及每股收益。

报告期利润	净资产收益率(%)		每股收益(元)	
	全面摊薄	加权平均	全面摊薄	加权平均
主营业务利润	23.51	96.75	0.24	0.24
营业利润	3.00	12.33	0.03	0.03
净利润	30.02	123.55	0.30	0.30
扣除非经常性损益后的净利润	3.48	14.32	0.04	0.04

4、报告期内股东权益变动情况及变动原因

项 目	年初数	本期增加	本期减少	年末数
股 本	357,091,534.80	-	-	357,091,534.80
资本公积	161,044,319.58	219,241,948.53	-	380,286,268.11
盈余公积	28,147,585.51	879,248.41	1,009,702.14	28,017,131.78
其中：公益金	1,029,592.01	254,892.27	257,038.24	1,027,446.04
未分配利润	-512,738,340.11	109,433,479.71	879,248.41	-404,184,108.81
股东权益合计	33,545,099.78	329,554,676.65	1,888,950.55	361,210,825.88

变动原因：

(1)报告期内，资本公积年末数比年初数增加 219,241,948.53 元，主要包括：本公司接受股权捐赠(以零价格转让)103,308,421.97 元；本公司通过以物抵贷方式取得债务重组收益 113,113,039.39 元；本公司清理无法支付的应付款项 2,820,487.17 元。

(2)报告期内，本年增加盈余公积 879,248.41 元系合并报表范围内的子公司于本年计提的金额，本年减少 1,009,702.14 元系本年合并范围内减少一家子公司所致。

三、股本变动及股东情况

1、股份变动情况表

	本次变动前	本次变动增减(+,-)					本次变动后
		配股	送股	公积金转股	增发	其他	小计
一、未上市流通股份							
1、发起人股份							
其中：							
国家持有股份	188,923,535				-103,556,546	-103,556,546	85,366,989
境内法人持有股份					103,556,546	103,556,546	103,556,546
境外法人持有股份							
其他							
2、募集法人股份	22,308,000						22,308,000
3、内部职工股							
4、优先股或其他							
未上市流通股份合计	211,231,535						211,231,535
二、已上市流通股份							
1、人民币普通股	25,740,000						25,740,000
2、境内上市的外资股	120,120,000						120,120,000
3、境外上市的外资股							
4、其他							
已上市流通股份合计	145,860,000						145,860,000
三、股份总数	357,091,535						357,091,535

注：报告期内，国家持有股份减少和境内法人持有股份增加 103,556,546 股，主要为 2002 年 11 月经财政部财企(2002)523 号文批复同意江苏南大高科技风险投资有限公司受让上海电气集团总公司(授权经营单位为太平洋机电(集团)有限公司)所持本公司部分股权(占本公司总股本的 29%)。

2、股东情况

(1)报告期末股东总数为 28,233 户，其中 A 股股东户数为 13,455 户，B 股股东户数为 14,788 户。

(2)持有本公司 5%以上股份的股东情况：

①持有本公司 5%以上股份的国家股授权经营单位太平洋机电(集团)有限

公司所持有的股份无质押、冻结。于 2002 年 11 月经财政部财企(2002)523 号文批复同意上海电气集团总公司(授权经营单位为太平洋机电(集团)有限公司)所持本公司部分股权(占本公司总股本的 29%)转让给江苏南大高科技风险投资有限公司。

②持有本公司 5%以上股份的社会法人股单位江苏南大高科技风险投资有限公司于 2002 年 11 月经财政部财企(2002)523 号文批复同意江苏南大高科技风险投资有限公司受让上海电气集团总公司(授权经营单位为太平洋机电(集团)有限公司)所持本公司部分股权(占本公司总股本的 29%)。并且其所持有的股份无质押、冻结。

截止 2002 年 12 月 31 日, 公司主要股东持股情况:

单位: 股

序号	股东名称	年末持股数	期内增减	占总股本(%)	类别
1	江苏南大高科技风险投资有限公司	103,556,546	103,556,546	29	社会法人股
2	太平洋机电(集团)有限公司	85,366,989	-103,556,546	23.91	国家股
3	上海中纺机职工技术开发经营服务公司	3,680,000	-310,000	1.03	社会公众股
4	上海东润投资管理有限公司	3,432,000	-	0.96	社会法人股
5	上海第十七棉纺织总厂	3,432,000	-	0.96	社会法人股
6	上海南上海商业房地产有限公司	3,432,000	-	0.96	社会法人股
7	陈益	3,343,512	2,517,740	0.94	社会公众股
8	上海申达股份有限公司	1,716,000	-	0.48	社会法人股
9	上海水仙电器股份有限公司	1,716,000	-	0.48	社会法人股
10	陈杰	1,630,490	1,057,670	0.46	社会法人股

注:

(1)上海中纺机职工技术开发经营服务公司、陈益、陈杰所持社会公众股均为 B 股。

(2)经了解, 前十名法人股东之间不存在关联关系, 也不属于《上市公司持股变动信息披露管理办法》中规定的一致行动人; 其他流通股股东之间是否存在关联关系和属于《上市公司持股变动信息披露管理办法》中规定的一致行动人的情况未知。

(3)持有本公司 29%股份的江苏南大高科技风险投资有限公司是在 2002 年 11 月经财政部财企(2002)523 号文批复同意受让上海电气集团总公司(授权经营单位为太平洋机电(集团)有限公司)所持部分股权的。

(3)公司控股股东及实际控制人情况介绍

新控股股东为江苏南大高科技风险投资有限公司, 新实际控制人为南京斯威特新技术创业有限责任公司, 变更日期为 2002 年 12 月 20 日, 刊登日期为 2002 年 12 月 18 日, 刊登报刊为《上海证券报》、《香港文汇报》。

①江苏南大高科技风险投资有限公司简介

公司名称：江苏南大高科技风险投资有限公司

住所：江苏省南京高新开发区 029 幢 610 室

法人代表：左建成

注册资本：5000 万元人民币

经营范围：电子信息技术、光电技术、环保技术、生物工程技术的科技项目风险投资及产品的研制、开发、生产和销售。

主要股东：南京斯威特新技术创业有限责任公司，占该公司股份的 80%；南京大学，占该公司股份的 10%；南京春秋药业有限公司，占该公司股份的 8%；南京凯威无线通讯技术有限公司，占该公司股份的 2%。

②南京斯威特新技术创业有限责任公司简介

公司名称：南京斯威特新技术创业有限责任公司

住所：南京高新开发区高新大厦 701 室

法人代表：刁龙

注册资本：5000 万元人民币

经营范围：电子技术、机械、化工技术；通讯、电力、土壤仪器高新技术(研制、生产、销售)；建筑材料销售。

主要股东：南京斯威特集团有限公司，占该公司股份的 55%；严晓群，占该公司股份的 28.39%；乌山经济实业总公司，占该公司股份的 10.65%；西安通邮科技有限公司，占该公司股份的 5.96%。

(4)持有本公司 10%以上的股东情况简介

①江苏南大高科技风险投资有限公司及南京斯威特新技术创业有限责任公司情况简介详见前条。

②太平洋机电(集团)有限公司系上海电气集团总公司的子公司,太平洋机电(集团)有限公司系本公司的第二大股东。

公司名称：上海电气集团总公司

法定代表人：王成明

成立日期：1996 年

注册资本：47.3 亿元人民币

股权结构：国有独资

经营范围：电力工程项目总承包、设备总成套或分交、对外承包劳务、实业投资；机电产品及相关行业的设备制造销售；为国内和出口项目提供有关技术咨询及培训；市国资委授权范围内的国有资产经营与管理；国内贸易(除专项规定)。

公司名称：太平洋机电(集团)有限公司

法定代表人：朱域弢

成立日期：1994 年 8 月

注册资本：10 亿元人民币

企业类型：有限责任公司

股权结构：国有独资

经营范围：纺织机械，纺织器材，服装机械，机电产品，环保设备，计算机工程，办公自动化，金属材料，建筑材料，纺织原料，五金交电，日用百货，服装服饰，设备租赁，外经贸委批准的自营进出口业务。

四、董事、监事、高级管理人员和员工情况

1、基本情况

公司董事、监事、高级管理人员名单及任职日期、持股数：

单位：股

姓 名	性别	年龄	职务	任职起止日期	期初持股数	期末持股数	变动原因
钱建忠	男	47	董事长	02.5-04.6	0	0	
李培忠	男	48	副董事长	01.6-04.6	0	0	
陈和文	男	55	副董事长、党委书记	01.6-04.6	7000	7000	
郑伯华	男	50	董事、总经理	01.6-04.6	10000	10000	
左建成	男	35	董事	02.5-03.2	0	0	
石李芬	女	47	董事、财务总监	01.6-03.2	12000	12000	
徐黎明	男	40	董事、党委副书记、工会主席	01.6-03.2	0	0	
费方域	男	55	独立董事	02.6-04.6	0	0	
高 勇	男	50	独立董事	02.6-04.6	0	0	
徐祖成	男	46	监事长	01.6-03.2	0	0	
胡霞娟	女	53	副监事长、纪委书记	01.6-03.2	1100	1100	
虞志奋	男	55	监事	01.6-03.2	0	0	
孙蓓华	女	46	监事	01.6-04.6	0	0	
朱志鸿	男	35	监事、工会副主席	01.6-03.2	0	0	
李永明	男	49	副总经理	01.6-04.6	1030	1030	
汤兴家	男	54	副总经理	01.6-04.6	1030	1030	
李文利	女	33	董事会秘书	02.8-04.6	0	0	

注：

(1)董事长钱建忠先生为年度内新任。

(2)副董事长李培忠先生在太平洋机电(集团)有限公司担任副总裁，任职期间为 1995 年起至今。

(3)董事左建成先生为年度内新任，在江苏南大高科技风险投资有限公司担任董事长，任职期间为 2002 年 8 月起至今，于 2003 年 2 月经本公司 2003 年度第一次临时股东大会审议同意其辞去公司董事职务。

(4)董事石李芬女士、徐黎明先生于 2003 年 2 月经本公司 2003 年度第一次临时股东大会审议同意其辞去公司董事职务。

(5)独立董事费方域先生、高勇先生为年度内新任。

(6)监事长徐祖成先生在太平洋机电(集团)有限公司担任工会主席、纪委书记,任职期间为1999年起至今,于2003年2月经本公司2003年度第一次临时股东大会审议同意其辞去公司监事职务。

(7)监事虞志奋先生在太平洋机电(集团)有限公司担任财务总监,任职期间为2001年12月起至今,于2003年2月经本公司2003年度第一次临时股东大会审议同意其辞去公司监事职务。

(8)监事胡霞娟女士和朱志鸿先生于2003年2月经本公司2003年度第一次临时股东大会审议同意其辞去公司监事职务。

(9)董事会秘书李文利女士为年度内新任。

2、年度报酬情况

公司董事会对董事、监事及高级管理人员的报酬,实行基本薪级制和浮动部分结合生产经营量化指标绩效挂钩考核的办法。

报告期内,有6名董事、3名监事及3名高级管理人员在本公司领取报酬,年度报酬总额为85.2万元。金额最高的前三名董事的报酬总额30万元。金额最高的前三名高级管理人员的报酬总额24.9万元。年度报酬数额区间:8万元以上6人;8万元以下6人。

独立董事年度津贴为3万元,参加本公司会议的差旅费实报实销。

不在本公司领取报酬的人员为钱建忠、李培忠、左建成、徐祖成、虞志奋。

3、报告期内公司离任、聘任董事、监事、高级管理人员姓名及原因

报告期内,公司董事张文卿先生、胡志远先生因工作变动等原因,分别向董事会提出辞职请求,经公司2001年度股东大会审议同意其辞去公司董事职务,同时增补钱建忠先生、左建成先生为公司第四届董事会董事职务;原董事会秘书潘新光先生因工作变动向董事会提出辞职请求,并经公司四届十六次董事会审议同意其辞去公司董事会秘书职务,同时聘任李文利女士担任公司董事会秘书职务。公司高级管理人员周骏彦先生、傅笑群女士分别因工作变动原因不再担任公司总工程师、副总经理。

4、公司员工情况

截止2002年12月31日,公司共有在册员工为2,855人。

a.按专业结构分类:生产人员2,390人,销售人员42人,技术人员167人,财务人员46人,行政人员210人;

b.按教育程度分类:硕士学历7人,本科学历60人,大专学历212人,其他2,576人。其中专业技术人员按职称划分:高级技术职称19人,中级技术职称150人,初级技术职称204人;

c.公司需承担费用的离岗退养人员为462人。

五、公司治理结构

1、公司治理情况

上市以来，公司严格按照《公司法》、《证券法》，中国证监会有关规定和《上海证券交易所股票上市规则》的要求，不断完善公司法人治理结构建设，规范运作，加强信息披露工作，公司按照中国证监会和国家经贸委于2002年1月7日联合发布的《上市公司治理准则》规范性文件的要求，修改了《公司章程》，并制定了股东大会、董事会等议事规则、公司信息披露管理办法及公司信息披露内控制度。公司目前治理结构如下：

(1)关于股东大会：公司能够确保所有股东，特别是中小股东与大股东享有平等地位和充分行使自己的权利，成立了公司董事会办公室，保持与股东有效的沟通渠道；认真接待股东来访和来电咨询，使股东了解公司的运作情况；公司建立了股东大会议事规则，严格按照中国证监会发布的《股东大会规范意见》的要求召集、召开股东大会，在会场的选择上尽可能地让更多的股东能够参加股东大会，行使股东的表决权，并有律师出席见证；公司关联交易公平合理，对关联交易定价依据予以充分披露，关联股东在表决时放弃表决权。

(2)关于控股股东与上市公司的关系：控股股东通过股东大会依法行使出资人权利，从未干涉公司决策和生产经营活动；公司与控股股东在人员、资产、财务、机构和业务方面做到相互独立，公司董事会、监事会和内部机构能够独立运作。

(3)关于董事与董事会：公司严格按照《公司章程》规定的董事选聘程序选聘董事；公司董事会的人数和人员构成符合法律、法规和《公司章程》的要求；公司董事会建立了董事会议事规则；公司董事能够以认真负责、勤勉诚信的态度出席董事会和股东大会，熟悉有关法律法规，了解作为董事的权利、义务和责任；公司已聘请了独立董事，并将按照有关规定修改《公司章程》，建立独立董事制度。董事会成员中有二名独立董事，独立董事没有在公司担任除独立董事之外的其他任何职务，独立董事能按照相关法律、法规、《公司章程》的要求，认真履行职责，维护公司整体利益及中小股东的利益。

(5)关于监事和监事会：公司监事会的人数和人员构成符合法律、法规和《公司章程》的要求；公司监事会设立了专职监事，并建立了监事会议事规则并将进一步完善；公司监事能够认真履行自己的职责，能够本着对股东负责的精神，对公司财务以及公司董事、公司经理和其他高级管理人员履行职责的合法合规性进行监督。

(6)关于绩效评价与激励约束机制：公司正积极着手建立公正、透明的董事、监事和经理人员的绩效评价标准与激励约束机制；经理人员的聘任公开、透明，符合法律法规的规定。

(7)关于相关利益者：公司能够充分尊重和维护银行、法人等债权人、员工、客户等其他利益相关者的合法权益，共同推动公司持续、健康发展。

(8)关于信息披露与透明度：公司指定董事会秘书负责信息披露工作，接待股东来访和咨询，加强与股东交流；公司能够严格按照法律、法规和《公司章程》的规定，真实、准确、完整、及时地披露有关信息，并确保所有股东有平等的机会获得信息；公司能够按照有关规定，及时披露股东或公司实际控制人的详细资料和股份的变化情况。

2、存在的差距及改进措施

(1)针对独立董事构成上存在的问题，我们将在 2003 年度内聘请的独立董事中有一位既有会计专业资格，又具有丰富实际经验的独立董事，使独立董事的组织结构更趋合理。

(2)针对公司信息披露方面存在的薄弱环节。我们从抓转变观念、自觉增强信息披露的意识和责任心着手，制订了公司信息披露的内控制度，建立多层次的信息披露机制，而且我们还不断吸收其他上市公司的先进经验，不断加以充实和完善。我们把做好信息披露工作作为公司完善治理结构的一个重要内容来抓，使信息披露工作成为各级领导的自觉行动。

(3)2003 年上半年公司将完成设立董事会下设的战略、审计、薪酬和考核、提名等四个专门委员会，以增加董事会自身运作的效率和独立性。

(4)公司在抓好技术创新，实现产业结构优化升级的同时，进一步加强了制度创新和管理创新。为了充分体现公司管理层履行诚信义务，我们不断强调管理的透明度，以不断增强股东对管理层的约束以及管理层对自我的约束。我们以现代企业制度自查为契机，使实现规范运作的理念更深入人心，并成为大家的共识。我们在健全公司管理制度的同时，明确了各岗位的职责以及各岗位之间的流程和程序，使制度的贯彻更具操作性和规范性。

(5)为了提高公司在市场中的竞争能力，必须加强对风险的控制。目前公司已对资金集中予以统一控制和管理，同时进一步强调公司为所属子公司担保的管理办法，通过强化监督控制，以明确分工，逐级负责，规范操作来防范风险，确保企业效益的最大化。

3、独立董事履行职责情况

公司自独立董事自当选以来，2002 年度共参加了 6 次董事会会议，并本

着为全体股东负责的态度，按照《证券法》等法律规范的要求履行诚信和勤勉的义务，切实维护公司整体利益和中小股东的合法权益不受侵犯，二位独立董事对公司 2002 年度的关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%股权的关联交易情况，发表了独立意见，认为该关联交易客观公平，没有损害公司利益。

4、公司与控股股东在业务、人员、资产、机构、财务等方面分开的情况

(1)业务独立方面：本公司建有独立、完整的业务流程和业务体系，公司的各项业务决策均系独立作出，与各股东完全分开。

(2)人员、机构独立方面：公司拥有完全独立于控股股东的劳动、人事及工资管理等行政管理机构；拥有单独的办公机构和生产经营场所，不存在与股东混合经营、合署办公的情况；公司在劳动、人事及工资管理方面独立，公司总经理、副总经理、财务负责人、董事会秘书等高级管理人员均专职在本公司工作并领取薪酬，且均未在股东单位担任除董事外的其他职务。

(3)资产独立方面：公司拥有独立的生产系统、辅助生产系统和配套设施，并拥有土地使用权、商标、专利、非专利技术等无形资产；公司拥有独立的采购和销售系统，独立地进行原材料的采购与产品的销售。

(4)财务独立方面：公司设立独立的财务和会计部门，建立了独立的会计核算体系和财务管理制度；公司开设了独立的银行帐户，不存在与控股股东共用银行帐户的情况，也不存在将资金存入控股股东的财务公司或结算中心帐户的情况；公司依法独立纳税；公司的资金使用由管理层按照规定作出决策，不存在控股股东干预公司资金使用的情况。

六、股东大会情况简介

报告期内，公司共召开了三次股东大会，分别为 2001 年度股东大会、2002 年度第一次临时股东大会和 2002 年度第二次临时股东大会。

1、2001 年度股东大会

会议召开通知刊登于 2002 年 4 月 20 日的《上海证券报》和《香港文汇报》。本次股东大会于 2002 年 5 月 21 日在本公司召开。出席会议的股东及股东代表共 139 人，代表股权数 199,967,662 股，占公司总股本的 55.999%。会议审议并通过了如下决议：

- (1) 公司 2001 年度董事会工作报告；
- (2) 公司 2001 年度监事会工作报告；
- (3) 公司 2001 年度财务决算和 2002 年度财务预算报告；
- (4) 公司 2001 年度利润分配方案；
- (5) 关于续聘会计师事务所的议案；
- (6) 关于公司董事会董事人选变动的议案：张文卿先生、胡志远先生辞去董事职务；增补钱建忠先生、左建成先生为公司第四届董事会董事。

上海市震旦律师事务所对会议全过程进行了监督和见证，并出具了相应的法律意见书，上述会议决议公告刊登于 2002 年 5 月 22 日的《上海证券报》和《香港文汇报》。

2、2002 年度第一次临时股东大会

会议召开通知刊登于 2002 年 5 月 28 日的《上海证券报》和《香港文汇报》。本次股东大会于 2002 年 6 月 28 日在本公司召开。出席会议的股东及股东代表共 42 人，代表股权数 197,595,209 股，占公司总股本的 55.33%。会议审议并通过了如下决议：

- (1) 关于提名独立董事候选人的提案：提名费方域先生、高勇先生为公司第四届董事会独立董事；
- (2) 关于独立董事年度津贴标准的提案：独立董事年度津贴标准为 3 万元人民币；
- (3) 关于修改公司章程的议案；
- (4) 股东大会议事规则。

上海市震旦律师事务所对会议全过程进行了监督和见证，并出具了相应的法律意见书，上述会议决议公告刊登于 2002 年 6 月 29 日的《上海证券报》和《香港文汇报》。

3、2002 年度第二次临时股东大会

会议召开通知刊登于 2002 年 11 月 23 日的《上海证券报》和《香港文汇报》。本次股东大会于 2002 年 12 月 23 日在本公司召开。出席会议的股东及股东代表共 83 人，代表股权数 199,616,646 股，占公司总股本的 55.90%。会议审议并通过了《关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%股权的议案》。

上海市震旦律师事务所对会议全过程进行了监督和见证，并出具了相应的法律意见书，上述会议决议公告刊登于 2002 年 12 月 24 日的《上海证券报》和《香港文汇报》。

七、董事会报告

1、公司经营情况

(1) 主营业务范围及其经营状况

公司主营业务范围：主要从事纺织机械及有关器材的生产与销售等项业务，其主导产品是各类无梭织机、有梭织机、无级变速器、粉末冶金制品、计量加油机等。

公司经营状况：公司 2002 年度主营业务收入为 60,407.77 万元，较上年度增长 34.41%，主营业务利润为 8,490.71 万元，较上年度增加 2,188.09 万元。

(2) 主营业务分行业、产品情况表

单位：元

分行业或分产品	主营业务收入	主营业务成本	毛利率 (%)	主营业务收入比上年增减 (%)	主营业务成本比上年增减 (%)	毛利率比上年增减 (%)
GA615 有梭	115,871,676.02	93,143,249.91	19.62	59.35	44.26	75.07
GA708 喷气	35,714,529.91	36,201,283.08	-1.36	110.53	107.36	-53.23
GA74 剑杆	26,718,923.06	23,559,786.69	11.82	-86.29	-85.60	-26.24
GA736 剑杆	226,564,174.72	185,818,535.52	17.98	2,774.95	2,471.23	116.77
新龙织机	84,211,453.00	90,357,529.01	-7.30	909.14	875.45	-33.68
配件等	15,414,849.79	16,143,300.94	-4.73	-2.58	12.66	-150.04
无级变速器	13,939,843.83	9,133,349.56	34.48	-2.95	-1.90	-1.99
粉末冶金	6,257,531.46	4,378,636.74	30.03	45.12	55.77	-13.74
通用机械	9,583,644.23	7,732,154.42	19.32	40.42	46.14	-14.07
房地产	964,936.00	1,120,600.00	-16.13	-97.90	-97.41	-373.49
运输业务	23,928,213.92	21,889,580.52	8.52	61.66	59.26	19.36
石油机械	27,110,263.14	18,464,092.21	31.89	-18.96	-23.00	12.61
其他	37,564,819.43	31,090,572.41	17.23	14.59	16.70	-7.99
相互抵消	-19,767,171.63	-19,767,171.63	-	1.01	1.01	-
合计	604,077,686.88	519,265,499.38	14.04	34.41	35.99	-6.63

(3) 主营业务分地区情况

单位：元

地区	主营业务收入	主营业务收入比上年增减 (%)
上海	193,847,574.00	32.71
江苏	122,889,677.35	-21.16
浙江	86,873,574.10	93.12
山东	85,557,378.08	48.65
广东	27,667,898.87	353.33
河北	19,121,795.52	213.46
安徽	14,053,526.37	173.12
陕西	10,035,452.65	439.21
北京	10,025,285.09	19,950.57
重庆	8,030,284.45	21.34
天津	6,445,685.48	-9.49
福建	5,902,839.40	48.30

湖北	5,241,142.43	75.88
四川	5,077,487.50	221.08
湖南	4,934,990.64	-48.16
辽宁	4,770,629.06	225.49
河南	4,512,398.17	80.12
黑龙江	4,105,011.98	36.44
江西	2,285,512.14	-49.54
山西	1,083,563.44	967.55
海南	645,410.26	6,354.10
云南	388,803.42	-69.72
宁夏	175,491.45	114.01
吉林	106,459.31	850.53
广西	25,000.00	-75.25
新疆	20,000.85	-78.72
内蒙古	17,739.32	-85.22
贵州	3,000.00	-90.00
青海	1,247.18	-98.70
抵消	-19,767,171.63	1.01
合计	604,077,686.88	34.41

(4)主要控股公司及参股公司的经营情况及业绩

公司名称	所占比例(%)	主营业务	主营业务收入(万元)	净利润(万元)
上海中意石油设备制造有限公司	80	石油机械加工、制造	2,711.03	221.33
上海中纺机益进机械有限公司	49	工业机械设备加工、销售	958.36	40.31
上海中纺机征鸿粉末冶金制品有限公司	48.33	粉末冶金制品生产、加工	625.75	44.97
上海中机金属制品有限公司	36	冷拉、成形加工	3,756.48	73.66
上海中纺机运输服务有限公司	30	货运、机电设备维修	2,392.82	32.43

(5)主要供应商、客户情况

前五名供应商采购金额合计	14,834.79 万元	占采购总额比重	40.87%
前五名销售客户销售金额合计	20,639.60 万元	占销售总额比重	34.17%

(6)在经营中出现的问题与困难及解决方案

本公司所处的纺织机械行业近年来竞争非常激烈,无序的价格战导致公司的市场份额有所下降。

为了保证公司的持续发展,我们重点做了以下几个方面的工作:

- a. 建立自己的核心产品的技术平台,不断改进现有的生产技术,深化产品结构调整,加快产品的升级换代,增加主导产品的市场竞争力;
- b. 继续抓好严格管理,提高产品质量,抓好市场开发,扩大市场份额;
- c. 实行独立核算,减员分流,全面提升公司的整体素质,努力降低产品的制造成本。

2、公司投资情况

(1)与上海华云房地产开发经营公司合作开发昆山张浦镇地块，项目金额为 1,544 万元，项目正在实施中，目前尚无收益。

(2)购买昆山张浦镇工业用地 90 亩，项目金额为 819 万元，土地权证已办，目前尚无收益。

3、公司财务状况(合并报表)

公司年度内财务状况、经营成果对比

单位：元			
项目	2002 年	2001 年	变动幅度(%)
总资产	791,100,453.22	628,693,852.08	25.83
长期负债	-	-	-
股东权益	361,210,825.88	33,545,099.78	976.79
主营业务利润	84,907,119.40	63,026,186.12	34.72
净利润	108,423,777.57	1,643,526.48	6,497.02

公司财务状况各项目变动的主要原因：

(1)总资产增长 25.83%主要系本年内公司接受股权捐赠(以零价格转让)、债务重组、土地动迁补偿等资产收入，以及本年经营良好所致。

(2)股东权益增长 976.79%主要系本年内公司接受股权捐赠(以零价格转让)、债务重组、土地动迁补偿等资产收入所致。

(3)主营业务利润增长 34.72%主要系本年度内纺织机械市场回暖，虽销售价格下降，销售毛利基本持平，但销售量大幅增长所致。

(4)净利润增长 6,497.02%主要系本年度内纺织机械市场回暖，销售量增加，主营业务利润上升；公司抓管理，降低费用支出；土地动迁补偿费收入所致。

4、2003 年工作展望

2003 年中纺机要继续以资产重组为突破口，坚持以发展为中心，以创新为动力，以团结为基础，以广大股东的利益最大化为根本。

(1)主业要持续盈利：我们要提高产品技术含量，降低成本，减员增效，使产品具有市场竞争力，确保织机在市场销售中占有相当份额，确保 2003 年织机主业增大盈利。

(2)加快国际合作步伐：2003 年要在抓紧自己研发的基础上，加速国际合作，缩短同世界先进水平的差距，加大力度进行新品的研发。同时要加强和国外纺机企业顶尖高手的合作，努力提高中纺机的产品档次和技术水平，国际合

作步伐还要继续努力，切实把国际合作的工作扎扎实实的推进，并落在实处。

(3)积极推进行业整合工作：2003年，我们要着力于纺机行业的整合工作，采取各种方法，如重组、收购、租赁、兼并等手段，有针对性的对国内或国际上同类产品的优秀企业尽可能整合在一起，以市场为导向，将中纺机改造成为国内最大的织机制造企业。

(4)资本运作进行实质性启动：2003年，我们将通过主业重组、银行债务重组、存量资产变现、注入新的优质资产等一系列资产运作，使公司的资产资源得到重新调整与配置，同时进一步置换与消化沉淀资产，不断提高公司的资产运行质量。

5、董事会日常工作情况

报告期内董事会的会议情况及决议内容：

本年度公司董事会共召开了 17 次董事会会议。

(1)公司四届六次董事会于 2002 年 2 月 22 日召开，会议听取了关于公司部分国家股(协议)转让给青海东胜化工有限公司和江苏南大高科技风险投资有限公司事宜。

(2)公司四届七次董事会于 2002 年 3 月 12 日召开，会议听取了太平洋机电集团关于国家股托管的情况汇报；国家股托管受托方的情况介绍；建立工作小组及工作小组议事规则。

(3)公司四届八次董事会于 2002 年 4 月 18 日召开，会议审议通过了 2001 年度董事会工作报告；2001 年度总经理工作报告；公司 2001 年度报告及摘要；2001 年度财务决算和 2002 年度财务预算报告；2001 年度利润分配预案和 2002 年度利润分配政策；关于续聘会计师事务所的议案；关于会计估计与会计政策变更等问题的议案；关于董事会人选变动的议案；关于召开公司 2001 年度股东大会的事项。本次会议决议公告刊登在 2002 年 4 月 20 日的《上海证券报》和《香港文汇报》上。

(4)公司四届九次董事会于 2002 年 4 月 23 日召开，会议审议通过了公司 2002 年度第一季度报告。本季度报告刊登在 2002 年 4 月 25 日的《上海证券报》和《香港文汇报》上。

(5)公司四届十次董事会于 2002 年 5 月 21 日召开，会议审议通过了选举公司第四届董事会董事长；关于公司高管人员变动事宜。本次会议决议公告刊登在 2002 年 5 月 22 日的《上海证券报》和《香港文汇报》上。

(6)公司四届十一次董事会于 2002 年 5 月 25 日召开，会议审议通过了关于提名独立董事候选人的提案；关于独立董事年度津贴标准的提案；关于修改

公司章程的议案；股东大会议事规则；信息披露管理办法；关于合作开发昆山市张浦镇塔平头村双洋潭东滩地块的议案；关于公司召开 2002 年度第一次临时股东大会的决定。本次会议决议公告刊登在 2002 年 5 月 28 日的《上海证券报》和《香港文汇报》上。

(7)公司四届十二次董事会于 2002 年 6 月 4 日召开,会议审议通过了关于为上海三毛纺织股份有限公司向银行借款担保的议案 ;关于开具银行保函的事宜；关于开展上市公司现代企业制度自查的报告。

(8)公司四届十三次董事会于 2002 年 6 月 13 日召开,会议审议通过了关于为上海三毛纺织股份有限公司向银行借款担保的议案。本次会议决议公告刊登在 2002 年 6 月 14 日的《上海证券报》和《香港文汇报》上。

(9)公司四届十四次董事会于 2002 年 6 月 26 日召开,会议听取了关于银行债务重组的报告和中报事宜汇报。

(10)公司四届十五次董事会于 2002 年 6 月 28 日召开,会议审议通过了关于与银行签订以物抵贷《和解协议书》的议案。本次会议决议公告刊登在 2002 年 6 月 29 日的《上海证券报》和《香港文汇报》上。

(11)公司四届十六次董事会于 2002 年 8 月 6 日召开,会议审议通过了公司 2002 年半年度报告及摘要；关于公司高级管理人员人事变动的议案；关于公司内部机构调整方案；关于向福建兴业银行上海分行闸北支行借款的议案；中纺机劳动合同实施细则。本次会议决议公告刊登在 2002 年 8 月 8 日的《上海证券报》和《香港文汇报》上。

(12)公司四届十七次董事会于 2002 年 9 月 10 日召开,会议审议通过了关于向上海浦东发展银行借款的议案。本次会议决议公告刊登在 2002 年 9 月 11 日的《上海证券报》和《香港文汇报》上。

(13)公司四届十八次董事会于 2002 年 10 月 24 日召开,会议审议通过了公司 2002 年第三季度报告；关于收回上海中纺机征鸿粉末冶金制品有限公司和上海中纺机变速器有限公司投资及权益的议案 ;关于公司与上海银行浦东分行继续签订保函协议书的议案；公司信息披露内控制度。本次会议决议公告刊登在 2002 年 10 月 26 日的《上海证券报》和《香港文汇报》上。

(14)公司四届十九次董事会于 2002 年 11 月 22 日召开,会议审议通过了关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%股权的议案；关于公司购买昆山市张浦镇工业用地的议案；关于公司高级管理人员人事变动议案。本次会议决议公告刊登在 2002 年 11 月 23 日的《上海证券报》和《香港文汇报》上。

(15)公司四届二十次董事会于 2002 年 12 月 6 日召开,会议审议通过了关于向交通银行上海分行杨浦支行展期借款的议案。本次会议决议公告刊登在 2002 年 12 月 7 日的《上海证券报》和《香港文汇报》上。

(16)公司四届二十次董事会于 2002 年 12 月 30 日召开,会议审议通过了关于向交通银行上海分行杨浦支行借款的议案。本次会议决议公告刊登在 2003 年 1 月 2 日的《上海证券报》和《香港文汇报》上。

(17)公司四届二十二次董事会于 2002 年 12 月 31 日召开,会议审议通过了关于签订《变更抵贷物协议书》的议案。

董事会对股东大会决议的执行情况：

2002 年度,公司董事会本着对全体股东负责的精神,认真履行董事会职责,贯彻执行股东大会所作出的各项决议。

6、本次利润分配预案及资本公积金转增股本预案

经上海众华沪银会计师事务所有限公司审计确认,公司 2002 年度共实现净利润为 10,842.38 万元,扣除非经常性损益后的净利润为 1,256.35 万元。至 2002 年末,公司累计未分配利润为-40,418.41 万元,考虑到公司发展的需要,董事会决定公司 2002 年度利润不作分配,也不进行资本公积金转增股本。该分配方案(预案)将提交 2002 年度股东大会审议。

7、其他报告事项

①公司选定的信息披露报纸为《上海证券报》和《香港文汇报》。报告期内无选定报纸的变更情况。

② 根据《企业会计制度》和公司会计政策的有关规定,对公司部分资产进行了个别计提准备 9,252,501.67 元、补提固定资产折旧 7,877,219.88 元、清理无法支付应付款项 2,820,487.17 元和核销在建工程款项 31,459,237.86 元。董事会认为,由于会计政策的变更,对公司历年沉淀的不良资产进行了清理,比较公正、合理,有利于公司今后的发展,同时,对公司 2002 年的财务状况没有产生较大影响。董事会同意会计师事务所对上述资产的清理和计提。

八、监事会报告

1、监事会召开情况：

报告期内监事会共召开 7 次会议

(1)公司四届六次监事会于 2002 年 4 月 18 日召开，会议审议通过了监事会工作报告；审议了公司四届八次董事会通过的董事会工作报告；总经理工作报告；公司 2001 年度报告及摘要；2001 年度财务决算和 2002 年财务预算报告；2001 年度利润分配预案和 2002 年度利润分配政策；关于续聘会计师事务所的议案；关于会计估计与会计政策变更等问题的议案；关于董事会人选变动的议案；关于召开公司 2001 年度股东大会的事项。本次会议决议公告刊登在 2002 年 4 月 20 日的《上海证券报》和《香港文汇报》上。

(2)公司四届七次监事会于 2002 年 4 月 23 日召开，会议审议了公司 2002 年第一季度报告。

(3)公司四届八次监事会于 2002 年 5 月 25 日召开，会议审议了关于提名独立董事候选人的提案；关于独立董事年度津贴标准的提案；审议通过了关于修改公司章程的议案；中国纺织机械股份有限公司股东大会议事规则；中国纺织机械股份有限公司信息披露管理办法；审议了关于合作开发昆山市张浦镇塔平头村双洋潭东滩地块的议案。本次会议决议公告刊登在 2002 年 5 月 28 日的《上海证券报》和《香港文汇报》上。

(4)公司四届九次监事会于 2002 年 6 月 4 日召开，会议审议了关于为上海三毛纺织股份有限公司向银行借款担保的议案；学习了中国证监会证监发[2002]32 号《关于上市公司建立现代企业制度及建设情况的检查》的文件。

(5)公司四届十次监事会于 2002 年 6 月 26 日召开，会议审议了关于银行债务重组的议案。

(6)公司四届十一次监事会于 2002 年 8 月 6 日召开，会议审议了公司 2002 年半年度报告及摘要；关于公司高级管理人员人事变动的议案；关于探讨公司内部机构调整的提案；关于向福建兴业银行上海分行闸北支行借款的议案；中纺机劳动合同实施细则。

(7)公司四届十二次监事会于 2002 年 11 月 22 日召开，会议审议并通过了关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%股权的议案；审议关于公司购买昆山市张浦镇工业用地的议案；关于公司高级管理人员人事变动议案。本次会议决议公告刊登在 2002 年 11 月 23 日的《上海证券报》和《香港文汇报》上。

2、监事会对公司 2002 年度有关事项的独立意见

报告期内，公司监事会按照有关法律、法规及公司章程的规定，依法开展监事会的工作。公司监事会列席了公司第四届第六次至第二十二次董事会中的十二次会议，对公司的决策程序、公司董事、总经理和其他高级管理人员执行公司职务、公司财务及内控制度等进行了监督检查。公司监事会认为：

(1) 公司 2002 年度能够依法运作，公司已逐步建立完善内部控制制度，公司董事、经理执行公司职务时，尚无发现有损害公司利益的行为。

(2) 公司 2002 年度财务核算规范，财务报告真实地反映公司的财务状况和经营成果。公司 2002 年度财务核算规范，财务报告真实地反映公司的财务状况和经营成果。公司 2002 年度对三年以上帐龄的应收款，计提了足额比例的坏帐准备；对五年帐龄以上的存货计提跌价准备；对长期挂帐，无法支付的应付款结转为资本公积；并对已计提减值准备在可预见的将来难以恢复的在建工程予以核销。该些做法符合财政部财会(2002)18 号‘《关于执行〈会计制度〉和相关会计准则有关问题解答》’的通知要求。

(3) 根据本公司资产重组与调整的需要，提高公司资产质量及运营效率，不断优化公司资产结构，本公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6% 股权。监事会认为，本次接受捐赠事项为公司以零价格的方式带来优质资产，这对改变公司的资产结构和资产状况极为有利。本次接受捐赠以经审计后的净资产值为捐赠净值，符合公司和全体股东的利益，该捐赠属关联交易，不存在损害公司及其他股东特别是中、小股东的利益。

九、重要事项

1、报告期内公司重大诉讼、仲裁事项以及在上一年度的报告中披露过，但当时尚未结案的重大诉讼、仲裁事项的进展情况或审理结果及影响

1(1)、本公司和上海市浦东发展银行诉上海鼎盈福印染实业公司委托贷款合同纠纷案于 1998 年 8 月 26 日由上海市第二中级人民法院(1998)沪二中经初字第 418 号民事判决书作出判决：上海市鼎盈福印染实业公司应于判决生效之日起十日内归还本公司和上海市浦东发展银行借款本金 50 万美元及逾期利息，青浦县赵屯工业公司承担连带责任。截至 2002 年 12 月 31 日止本公司已收到人民币 89.64 万元。

(2)、本公司和上海市浦东发展银行诉江苏翔峰化纤纺织集团公司委托贷款合同纠纷案于 2000 年 2 月 16 日由上海市第二中级人民法院(1999)沪二中经初字第 428 号民事判决书作出一审判决：江苏翔峰化纤纺织集团公司应于判决生效之日起十日内归还本公司和上海市浦东发展银行借款本金 200 万美元及逾期利息，东台市台城投资公司应承担连带责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

(3)、本公司和上海市浦东发展银行诉东台市绢纺厂委托贷款合同纠纷案于 2001 年 6 月 15 日由上海市第二中级人民法院(2001)沪二中经初字第 54 号民事判决书作出判决：东台市绢纺厂应于判决生效之日起十日内归还本公司和上海市浦东发展银行借款本金 40 万美元及逾期利息，盐城市信托投资公司承担连带责任。2002 年 6 月 3 日上海市高级人民法院(2001)沪高经终字第 327 号民事判决书就原审被告盐城市信托投资公司不服原判提起上诉作出终审判决，判定盐城市信托投资公司对原审被告东台市绢纺厂的付款义务不承担连带清偿责任。原盐城市信托投资公司东台办事处(后更名为“东台市台城投资公司”)应对其担保行为承担法律责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

(4)、本公司和上海市浦东发展银行诉东台市丝绸公司等单位委托贷款合同纠纷案于 2001 年 1 月 25 日由上海市第二中级人民法院(2001)沪二中经初字第 103 号民事判决书作出判决：东台市丝绸公司等单位应于判决生效之日起十日内归还本公司和上海市浦东发展银行借款 681,384.34 美元，盐城市信托投资公司承担连带责任。2002 年 6 月 3 日上海市高级人民法院(2001)沪高经终字第 328 号民事判决书就原审被告盐城市信托投资公司不服原判提起上诉作出终审判决，判定盐城市信托投资公司对原审被告东台市丝绸公司的付款义务

不承担连带清偿责任。原盐城市信托投资公司东台办事处(后更名为“东台市台城投资公司”)应对其担保行为承担法律责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

(5)、2001 年 8 月, 我公司向上海市杨浦区人民法院提起诉讼, 诉请上海安达棉纺织厂偿还拖欠货款 1,225,576.28 元人民币, 并承担诉讼费。经法院开庭审理后, 于 2002 年 2 月 9 日, 达成调解协议: 安达棉纺织厂向我公司交付旧的 TP520/2 型剑杆织机 6 台, 并承担诉讼费 10,000 元人民币。公司于 2002 年 4 月, 将 6 台旧的 TP520/2 型剑杆织机转让, 得款人民币 20 万元。本案已结案, 并已执行完毕。

(6)、2002 年 3 月 20 日, 我公司向上海市杨浦区人民法院提起对山东滕州织布厂欠货款一案进行诉讼。经法院审理后, 于 2002 年 6 月 17 日法院依法判决被告山东滕州织布厂偿还所欠货款人民币 117 余万元。2002 年 12 月 18 日上海市杨浦区人民法院依法对上述判决予以执行。现查封山东滕州织布厂 1511M 型、1515 型织机 452 台, GA743 型织机 56 台, 并查封该厂厂房及办公楼 1.2 万平方米。本案已结案。

(7)、2002 年 11 月 26 日, 我公司向上海市杨浦区人民法院提起对江苏启东染织厂进行诉讼, 诉请启东染织厂偿还欠款 4,491,990.50 元, 并偿付欠款利息。同时, 对启东染织厂购货担保的启东市长江农村信用合作社和该单位的上级单位启东市惠萍镇人民政府及染织厂法定代表人施斌, 要求其对欠款承担连带清偿责任。同时, 向杨浦区人民法院提起财产保全措施, 法院依法冻结了启东市长江农村信用合作社存款 193.50 万元人民币。目前被告对该案提出管辖异议。2002 年 12 月 20 日, 被杨浦区人民法院依法裁定驳回, 被告不服又向市第二中级人民法院提起上诉, 现市第二中级人民法院对该案管辖权争议正在审理之中。

(8)、2002 年 5 月 7 日常州市金太阳纺织品有限公司以本公司销售的织机质量不合格为由, 向上海市第二中级人民法院提起诉讼, 要求本公司退还货款 376 万元并支付赔款 229 万元。2003 年 1 月 9 日国家纺织工业局纺织机械质量监督检验中心受上海市第二中级人民法院委托, 对诉讼织机进行抽检, 检验结论为符合织机企业标准规定的要求, 判该批产品合格。

(9)、中国银行上海分行诉上海太平洋机械进出口公司、上海机械进出口(集团)有限公司和本公司借款担保纠纷案于 2000 年 8 月 25 日由上海市第二中级人民法院以(2000)沪二中经初字第 205 号、206 号和 207 号民事判决书作出一审判决: 上海太平洋机械进出口公司应于判决生效之日起十日内向中国银行

上海分行归还借款本金 3,400 万元及利息和逾期息，上海机械进出口(集团)有限公司和本公司承担连带清偿责任。

2、报告期内，公司收购及出售资产、吸收合并事项

2002 年 11 月 22 日，公司四届十九次董事会审议通过了《关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%的股权的议案》，本交易事项对应的净资产价值为 102,837,286.51 元。本次接受捐赠将为公司带来优质的资产，进一步优化和改善公司资产结构和资产状况，开拓公司新的业务发展方向和带来公司新的盈利增长点，公司的净资产将得到很大提高，负债率将大幅度降低，同时在业务发展上将形成以织机和环保设备制造、胶粉生产、橡塑制品生产两大类主业并进的发展格局。本次交易事项属关联交易。详见 2002 年 11 月 23 日刊登的《上海证券报》和《香港文汇报》。

3、报告期内，公司发生的重大关联交易事项：见前条。

4、公司重大合同及其履行情况

(1)报告期内，公司无托管、承包、租赁其他公司资产或其他公司托管、承包、租赁本公司资产的事项。

(2)截至 2002 年 12 月 31 日止，公司为上海三毛纺织股份有限公司银行借款 3500 万元提供信用担保；公司为上海中纺机益进机械有限公司银行借款 60 万元提供信用担保；公司为上海中纺机工具公司银行借款 500 万元提供法人股担保。

(3)报告期内，公司未发生委托他人进行现金资产管理事项。

(4)2002 年 6 月 28 日，公司四届十五次董事会通过了《关于公司与银行签订以物抵贷<和解协议书>议案》。详见 2002 年 6 月 29 日的《上海证券报》和《香港文汇报》。

(5)2002 年 5 月 25 日，公司四届十一次董事会通过了《关于合作开发昆山市张浦镇塔平头村双洋潭东滩地块的议案》：

为了盘活公司的存量资产，公司与上海华云房地产开发经营公司合作开发昆山市张浦镇塔平头村双洋潭东滩地块。双方在昆山成立房产开发公司，注册资金 800 万元，其中：我公司占股本 10%；上海华云房地产开发经营公司占股本 90%。该项目总投资约 15,000 万元，公司以上述地块作价投入 1,544 万元，占总投资的 10%；上海华云房地产开发经营公司用现金投入约 13,500 万元，占总投资的 90%。上述事项已于 2002 年 5 月 28 日在《上海证券报》和《香港文汇报》上公告。

(6)2002 年 11 月 22 日，公司四届十九次董事会通过了《关于公司购买昆

山市张浦镇工业用地的议案》：

为了抓住市场机遇，转移中、低档产品生产，调整产品结构，提升产品档次。公司购买昆山市张浦镇工业用地 90 亩。

土地基本情况：土地位于昆山市张浦镇大市工业园区内，与机场路连接的南北公路主干线两侧，交通相对较方便。土地价格为每亩 9.1 万元人民币，合计 819 万元。上述事项已于 2002 年 11 月 23 日在《上海证券报》和《香港文汇报》上公告。

(7)公司在 2002 年 12 月 27 日与上海市杨浦区土地发展中心签署了《上海市杨浦区工业系统收回国有土地使用权的补偿合同》。公司位于上海市河间路 1193 号的铸造分厂属三废污染点，占地面积为 67,780 平方米，按照《上海市国有土地使用权收购、储备、出让试行办法》的有关规定，被上海市杨浦区土地发展中心收回。此事项公司可获得补偿费人民币 12,200.4 万元，作为政府收回该幅土地的动迁补偿费，扣除相关成本、税费后，取得一定收益，同时对公司本年度的净收益产生重大影响。上述事项已于 2002 年 12 月 31 日在《上海证券报》和《香港文汇报》上公告。

5、公司聘任、解聘会计师事务所的情况

报告期内，公司续聘上海众华沪银会计师事务所有限公司负责公司境内审计工作，续聘德豪国际会计师事务所负责公司境外审计工作，同时。本公司支付给会计师事务所的审计报酬为人民币 55 万元。

6、报告期内，公司、公司董事会及董事没有受中国证监会稽查、中国证监会行政处罚、通报批评、证券交易所公开谴责的情形。

7、其他重大事项

(1)资产负债表日后事项中的非调整事项

截至 2003 年 3 月 24 日止，本公司未发生影响本会计报表阅读和理解的重大资产负债表日后事项中的非调整事项。

(2)其他重大事项

A、2002 年 10 月 24 日本公司四届十八次董事会决议，通过本公司于 2002 年 6 月 21 日与子公司上海中纺机变速器有限公司签定的“收回投资及权益协议书”，以 2002 年 8 月 31 日该公司账面净资产为基础，收回本公司投资比例部分的权益，合计 4,388,322.52 元。该项股权收回通过内部往来转账实现，未产生投资损益。

B、2002 年 11 月 5 日，本公司原第一大股东太平洋机电(集团)有限公司分别与江苏南大高科技风险投资有限公司、广州市赛清德投资发展有限公司签

定了《股份转让协议》，以每股 0.145 元的价格向后两者分别转让了原所持本公司 103,556,546 股和 32,138,237 股股权。经国家财政部财企(2002)523、567 号批复同意，上述经转让的股权，其股份性质已由国家股转为社会法人股。截止 2002 年 12 月 31 日，其中 103,556,546 股的股份转让已完成了过户登记手续，其股份性质已由国家股转为社会法人股，其余 32,138,237 股的股份转让系于 2003 年 1 月 10 日完成了过户登记手续。

十、财务会计报告

审计报告

沪众会字(2003)第 0058 号

中国纺织机械股份有限公司全体股东：

我们接受委托，审计了 贵公司 2002 年 12 月 31 日的资产负债表和合并资产负债表、2002 年度的利润及利润分配表和合并利润及利润分配表，以及现金流量表和合并现金流量表。这些会计报表由 贵公司负责，我们的责任是对这些会计报表发表审计意见。我们的审计是依据中国注册会计师独立审计准则进行的。在审计过程中，我们结合 贵公司的实际情况，实施了包括抽查会计记录等我们认为必要的审计程序。

我们认为，上述会计报表符合企业会计准则和企业会计制度的有关规定，在所有重大方面公允地反映了 贵公司及合并的 2002 年 12 月 31 日的财务状况，2002 年度的经营成果和现金流量，会计处理方法的选用遵循了一贯性原则。

上海众华沪银会计师事务所有限公司

中国注册会计师 刘万椿

中国注册会计师 戎凯宇

中国，上海

二〇〇三年三月二十四日

中国纺织机械股份有限公司

2002 年度会计报表附注

1. 公司基本情况

中国纺织机械股份有限公司(以下简称“本公司”),英文名 CHINA TEXTILE MACHINERY STOCK LTD., 为境内公开发行 A、B 股股票并在上海证券交易所上市的股份有限公司。本公司于 1992 年 5 月 5 日经上海市经济委员会批准由中国纺织机械厂改制成为股份有限公司,于 1992 年 6 月 22 日取得由国家工商行政管理局颁发的企股沪总字第 019004 号《企业法人营业执照》。本公司现注册资本为人民币 35,709.15 万元,注册地址为中国上海市长阳路 1687 号。本公司主要从事纺织机械及有关器材的生产与销售等项业务。

截至 2002 年 12 月 31 日止,公司与合并子公司的资产总额为 79,110.04 万元,负债总额为 40,185.49 万元,少数股东权益为 2,803.47 万元,股东权益总额为 36,121.08 万元;2002 年度主营业务收入为 60,407.77 万元,净利润为 10,842.38 万元;2002 年 12 月 31 日累计未分配利润为-40,418.41 万元。

2. 主要会计政策和会计估计

2.1 会计制度

本公司执行企业会计准则和企业会计制度及其补充规定。

2.2 会计年度

本公司的会计期间采用公历制,即自日历 1 月 1 日至 12 月 31 日为一个会计年度。

2.3 记账本位币

本公司以人民币为记账本位币。

2.4 记账基础和计价原则

本公司以权责发生制为记账基础,以实际成本为计价原则。各项财产在取得时按实际成本计量,其后如果发生减值,按企业会计制度规定计提相应的减值准备。

2.5 外币业务核算方法

本公司对发生的外币业务,以业务发生当月 1 日的汇率(指由中国人民银行公布的外币市场汇价中间价,下同)将外币折算成人民币记账;期末对各种外币账户的外币余额按期末日汇率进行调整,调整后的人民币金额与原账面金额之间的差额作为汇兑损益,除与购建固定资产有关的专用借款产生的汇兑损益,在该资产达到预定可使用状态前予以资本化、计入资产成本外,属于筹建期间发生的汇兑损益于发生时计入长期待摊费用,于本公司开始生产经营的当月一次计入损益;属于正常生产经营期间发生的汇兑损益,则直接计入当期损益。

2.6 现金等价物的确定标准

本公司将持有的期限短(一般是指从购买日起三个月内到期)、流动性强、易于转换为已知金额现金、价值变动风险很小的投资列作现金等价物。

本年度本公司无现金等价物。

2.7 短期投资核算方法

2.7.1 本公司的短期投资按取得时实际支付的全部价款扣除其中包含的已宣告但尚未领取的现金股利或利息入账。短期投资持有期间所收到的股利或利息等冲减投资成本;处置时按实际收到的价款扣除账面成本后的差额确认为投资收益或损失,计入当期损益。

2.7.2 期末本公司对短期投资按成本与市价孰低计量,采用单项比较法对市价低于成本的差额,计提短期投资跌价准备,并计入当期损益。

2.7.3 本公司的短期投资中包括委托贷款,期末按委托贷款本金与可收回金额孰低原则计提委托贷款减值准备,列入当期损益。

2.8 坏账核算方法

2.8.1 本公司对坏账损失采用备抵法核算,期末对应收款项(包括应收账款和其他应收款)按账龄分析与个别辨认相结合的方法计提坏账准备,并计入当期损益。期末除对确信可以完全收回的应收款项不计提坏账准备,对有证据表明已难以收回的应收款项加大计提比例直至全额计提坏账准备外,均按应收款项各级账龄的余额和下列比例计提坏账准备:

<u>账龄</u>	<u>计提比例</u>
1 年以内	0%
1—2 年	5%

2—3 年	20%
3 年以上	60%

2.8.2 本公司确认坏账的标准为：当债务人破产或者死亡，以其破产财产或者遗产清偿后，仍然无法收回时；或当债务人逾期未履行其清偿责任，且具有明显特征表明无法收回时，经公司董事会批准确认为坏账损失，冲销原提取的坏账准备；坏账准备不足冲销的差额，计入当期损益。

2.9 存货核算方法

2.9.1 本公司的存货主要包括原材料、在产品、库存商品、房地产开发产品、房地产开发成本、低值易耗品等。原材料、低值易耗品等采用计划成本进行日常核算，通过“材料成本差异”账户核算其实际成本与计划成本的差异；领用和发出时，按当月材料成本差异率计算其应分摊的成本差异，将计划成本调整为实际成本。在产品日常核算以定额成本计价，并计算定额成本差异。库存商品以实际成本计价，发出时以加权平均法计价。房地产开发产品和房地产开发成本按实际成本计价。低值易耗品在领用时按一次摊销法摊销。

2.9.2 期末本公司对存货按成本与可变现净值孰低计量，按单个存货项目的可变现净值低于成本的差额，分项计提存货跌价准备，并计入当期损益。

2.10 长期投资核算方法

2.10.1 本公司对长期股权投资（包括股票投资和其他股权投资），按投资取得时实际支付的价款扣除其中包含的已宣告但尚未领取的现金股利后的金额或有关各方协商确认的价值入账。长期股权投资凡对被投资单位具有控制、共同控制或重大影响的（通常指占被投资单位有表决权资本总额 20%或 20%以上，或虽不足 20%但有重大影响），采用权益法核算；反之，则采用成本法核算。采用权益法核算的长期股权投资，其取得时的成本与本公司在该被投资单位所有者权益中所占份额的差额作为股权投资差额，分十年平均摊销，列入各摊销期的损益。

2.10.2 本公司对长期债权投资（包括债券投资和其他债权投资），按取得时的实际成本入账。长期债券投资实际成本与债券面值的差额作为债券溢价或折价，长期债券投资按期计息，同时按直线法在债券存续期间内摊销溢价或折价，计入各期损益。

2.10.3 期末本公司对长期投资按账面价值与可收回金额孰低计量，对单项投资由于市价持续下跌或被投资单位经营状况恶化等原因导致其可收回金额低于账面价值的差额，分项提取长期投资减值准备，并计入当期损益。

2.11 固定资产计价和折旧方法

2.11.1 本公司的固定资产是指使用期限超过一年，单位价值在人民币 2,000 元以上，为生产商品、提供劳务、出租或经营管理而持有的有形资产。固定资产以取得时的实际成本为原价入账，以年限平均法计提折旧。在不考虑减值准备的情况下，按固定资产的类别、估计的经济使用年限和预计的净残值（原价的 4%）分别确定折旧年限和年折旧率如下：

	<u>折旧年限</u>	<u>年折旧率</u>
房屋及建筑物	35-50	2.74%-1.92%
机器设备	10-20	9.6%- 4.8%
运输设备	8-20	12%- 4.8%
办公及其他设备	8-20	12%- 4.8%

在考虑减值准备的情况下，按单项固定资产扣除减值准备后的账面净额和剩余折旧年限，分项确定并计提各期折旧。

2.11.2 期末本公司对固定资产按账面价值与可收回金额孰低计量，对单项资产由于市价持续下跌、技术陈旧、损坏或长期闲置等原因，导致其可收回金额低于账面价值的差额，分项提取固定资产减值准备，并计入当期损益。

2.12 在建工程核算方法

2.12.1 本公司的在建工程按工程项目分别核算，以实际发生的全部支出入账，并在工程达到预定可使用状态时，按工程全部成本结转固定资产。与购建在建工程直接相关的借款利息支出和外币折算差额等借款费用，在工程项目达到预定可使用状态前予以资本化，计入工程成本；在工程项目达到预定可使用状态后，计入当期损益。

2.12.2 期末本公司对在建工程按账面价值与可收回金额孰低计量，对单项资产可收回金额低于账面价值的差额，分项提取在建工程减值准备，并计入当期损益。

2.13 无形资产计价和摊销方法

2.13.1 本公司的无形资产是指为生产商品、提供劳务、出租或经营管理而持有的没有实物形态的非货币性长期资产，主要包括土地使用权、专有技术及有偿溢价兼其他企业产生的商誉等。无形资产按取得时的实际成本入账，土地使用权、专有技术在其相关合同规定的受益年限内分期平均摊销，计入各摊销期损益；商誉按 10 年平均摊销，计入各摊销期损益。

2.13.2 期末本公司对无形资产按账面价值与可收回金额孰低计量，按单项资产预计可收回金额低于其账面价值的差额，分项提取无形资产减值准备，并计入当期损益。

2.14 长期待摊费用和摊销方法

本公司的长期待摊费用是指已经支出、但将于正常生产经营后摊销或摊销期超过一年的各项费用，主要包括租入固定资产改良支出、生产准备工装费等。长期待摊费用除开办费在开始生产经营当月一次计入损益外，均在各项目的预计受益期间内平均摊销，计入各摊销期的损益。

2.15 收入确认原则

2.15.1 本公司的商品销售在商品所有权上的主要风险和报酬已转移给买方，本公司不再对该商品实施继续管理权和实际控制权，与交易相关的经济利益很可能流入企业，并且与销售该商品相关的收入和成本能够可靠地计量时，确认营业收入的实现。

2.15.2 本公司提供的劳务在同一会计年度开始并完成的，在劳务已经提供，收到价款或取得收取价款的证据时，确认营业收入的实现；劳务的开始和完成分属不同会计年度的，在劳务合同的总收入、劳务的完成程度能够可靠地确定，与交易相关的价款能够流入，已经发生的成本和为完成劳务将要发生的成本能够可靠地计量时，按完工百分比法确认营业收入的实现；长期合同工程在合同结果已经能够合理地预见时，按结账时已完成工程进度的百分比法确认营业收入的实现。

2.15.3 本公司让渡资产使用权取得的利息收入和使用费收入，在与交易相关的经济利益能够流入企业，且收入的金额能够可靠地计量时，确认收入的实现。

2.16 所得税的会计核算方法

本公司所得税的会计核算采用应付税款法。

2.17 合并会计报表的编制方法

2.17.1 合并范围的确定原则：本公司根据财政部（1995）《关于印发〈合并会计报表暂行规定〉的通知》和财会二字（96）2号《关于合并报表合并范围请示的复函》等文件的规定，对拥有控制权的子公司及拥有共同控制权的合营公司，除已关停并转、宣告清理或破产、准备近期售出而短期持有等特殊情况以及对合并而言影响微小者外，均纳入合并会计报表范围。

2.17.2 合并会计报表的方法：本公司的合并会计报表系以母公司和纳入合并范围的下属公司的会计报表以及其它有关资料为依据，在对各公司之间的投资、所有重大交易、往来及结余款项作出抵销后，合并各项目数额编制而成。对合营公司的会计报表采用比例合并法合并。

2.18 重大会计政策变更及其影响

根据财政部财会[2002]18号《关于执行<企业会计制度>和相关会计准则有关问题解答》中的有关规定，经本公司董事会决议，因自2002年1月1日起执行《企业会计准则—固定资产》，故对未使用、不需固定资产由原不计提折旧改为计提折旧。此项会计政策变更采用追溯调整法，调整了期初留存收益及相关项目的期初数；利润及利润分配表的上年数栏，已按调整后的数字填列。

上述会计政策变更事项经追溯调整对前期净利润的影响额为：

事项	累计至 2001 年初影响额	2001 年度 影响额	累计至 2002 年初影响额
计提未使用、不需固定资产折旧	(3,919,652.60)	(4,968,505.93)	(8,888,158.53)
调整影响所得税	-	-	-
	<u>(3,919,652.60)</u>	<u>(4,968,505.93)</u>	<u>(8,888,158.53)</u>

3. 税（费）项

3.1 增值税

本公司按产销商品或提供劳务的增值额计缴增值税，主要商品和劳务的增值税税率为 17%。

3.2 营业税

本公司按应税营业收入的 5%计缴营业税。

3.3 城市维护建设税

本公司按当期应交流转税的 7%计缴城市维护建设税。

3.4 所得税

本公司按应纳税所得额和当期适用之税率计缴所得税，所得税税率为 15%。

3.5 教育费附加

本公司按当期应交流转税的 3%计缴教育费附加。

3.6 河道工程修建维护管理费

本公司按当期应交流转税的 1%计缴河道工程维护修建管理费。

4. 控股子公司及合营企业

序号	子公司及合营企业全称	注册资本 (万元)	经营范围	投资额 (万元)	占股 比例
1	上海中纺机运输服务有限公司	70	货运、机电设备维修	21	30%
2	上海中机金属制品有限公司	250	冷拉、成型加工	90	36%
3	上海中纺机征鸿粉末冶金制品有限公司	120	粉末冶金制品生产、加工	58	48.33%
4	上海中纺机益进机械有限公司	200	工业机械设备加工、销售	98	49%
5	上海中意石油设备制造有限公司	500	石油机械加工、制造	400	80%
6	上海东浩环保装备有限公司	11771	环保装备、电器成套装置 生产、销售	10,331	84.6%
7	上海中纺机工具公司	550	刀、量、夹、模具加工销售	550	100%
8	上海中纺机房地产经营开发公司	1500	房地产开发、经营	1500	100%
9	上海中纺机物资贸易公司	300	金属材料、木材加工、销售	300	100%
10	上海中纺机工贸公司	100	机电产品加工、制造	100	100%
11	上海中纺机通用电气公司	150	电子、电器产品加工、制造	150	100%
12	上海中纺机国际贸易有限公司	260	纺织国际贸易业务	260	100%
13	宁波中榭纺织机械经营有限公司	100	纺织机械及器材加工、销售	100	100%

上述 13 家公司中，除第 13 家拟在 2003 年内关闭不予并表外，其余 12 家均纳入合并报表范围。其中第 1 至第 4 家对其投资虽不足 50%，但因有实际控制权，也将其纳入合并报表范围；第 6 家系 2002 年内因接受股权捐赠而新增子公司，本年度已纳入合并报表范围；另外，上年合并范围内控股 70%的上海中纺机变速器有限公司，因本公司在 2002 年内已将其投资全额收回，而不再纳入合并报表范围。

5. 会计报表主要项目注释

(注：以下内容所涉的金额单位为人民币元；除非特别说明，均系对合并会计报表中主要项目的说明。)

5.1 货币资金

项目	年末数		年初数	
	原币	(折合)人民币	原币	(折合)人民币
现金人民币		251,319.36		251,456.85
美元	1,471.00	12,175.92	16,517.00	136,704.61
银行存款人民币		83,616,652.87		24,902,064.69
美元	1,891,483.38	15,656,375.38	318,592.03	2,636,858.80
日元	397.00	27.40	397.00	25.01
其他货币资金人民币		115,845.42		1,044,803.45
美元	123,235.42	1,020,056.54	2,051,063.04	16,975,828.36
合计		<u>100,672,452.89</u>		<u>45,947,741.77</u>

年末数比年初数增加 1.19 倍，主要系本公司 2002 年度产品销售情况良好，以现销为主，导致货币资金结余增加；另外本年合并范围内新增一家子公司，也导致年末货币资金余额增加。

年末外币银行存款中有 123 万美元(折合人民币 10,181,079.00 元)被质押，其中 83 万美元因本公司向银行贷款而被质押，40 万美元因本公司委托银行开出期限为 6 个月的银行承兑汇票而被质押。

5.2 短期投资

项目	年末数			年初数		
	账面余额	跌价准备	账面净额	账面余额	跌价准备	账面净额
股票投资	5,252,452.64	351,032.17	4,901,420.47	9,842,052.60	-	9,842,052.60
委托贷款	28,814,634.39	23,051,707.51	5,762,926.88	29,708,597.54	23,766,878.03	5,941,719.51
合计	<u>34,067,087.03</u>	<u>23,402,739.68</u>	<u>10,664,347.35</u>	<u>39,550,650.14</u>	<u>23,766,878.03</u>	<u>15,783,772.11</u>

年末账面净额比年初减少 32.43%，主要系股票投资余额减少所致。

5.3 应收票据

票据类别	年末数	年初数
商业承兑汇票	2,650,000.00	2,331,934.33
银行承兑汇票	200,000.00	-
合计	<u>2,850,000.00</u>	<u>2,331,934.33</u>

5.4 应收账款

5.4.1 合并数

账龄	年末数				年初数			
	账面余额	比例	坏账准备	账面净额	账面余额	比例	坏账准备	账面净额
1 年以内	26,315,768.16	33.04%	-	26,315,768.16	10,816,139.89	16.46%	-	10,816,139.89
1-2 年	954,418.23	1.20%	47,720.91	906,697.32	1,575,289.79	2.40%	78,764.49	1,496,525.30
2-3 年	1,761,610.97	2.21%	352,322.20	1,409,288.77	12,349,802.89	18.79%	2,469,960.59	9,879,842.30
3 年以上	45,883,324.99	57.60%	27,529,995.00	18,353,329.99	36,887,915.32	56.13%	22,132,749.18	14,755,166.14
100%计提	4,742,077.80	5.95%	4,742,077.80	-	4,092,034.14	6.22%	4,092,034.14	-
合计	79,657,200.15	100%	32,672,115.91	46,985,084.24	65,721,182.03	100%	28,773,508.40	36,947,673.63

上述应收账款年末数中，无持有本公司 5%(含 5%)以上表决权股份的股东单位欠款。

应收账款年末数中前五名金额合计为 24,213,620.82 元，占全部应收账款的 30.40%。

年末数比年初数增加 27.17%，主要系本年合并范围内新增一家子公司所致。

本公司根据董事会决议对部分长期挂账预计难以收回的应收账款全额计提了坏账准备。

5.4.2 母公司数

账龄	年末数				年初数			
	账面余额	比例	坏账准备	账面净额	账面余额	比例	坏账准备	账面净额
1 年以内	2,451,756.97	4.77%	-	2,451,756.97	902,918.12	1.74%	-	902,918.12
1-2 年	300,663.91	0.58%	15,033.20	285,630.71	878,952.49	1.70%	43,947.62	835,004.87
2-3 年	877,341.49	1.71%	175,468.30	701,873.19	12,206,049.07	23.55%	2,441,209.82	9,764,839.25
3 年以上	45,087,014.85	87.64%	27,052,208.91	18,034,805.94	35,829,576.67	69.14%	21,497,746.00	14,331,830.67
100%计提	2,727,587.86	5.30%	2,727,587.86	-	2,005,843.60	3.87%	2,005,843.60	-
合计	51,444,365.08	100%	29,970,298.27	21,474,066.81	51,823,339.95	100%	25,988,747.04	25,834,592.91

上述应收账款年末数中，无持有本公司 5%(含 5%)以上表决权股份的股东单位欠款。

应收账款年末数中前五名金额合计为 17,904,791.32 元，占全部应收账款的 34.80%。

本公司根据董事会决议对部分长期挂账预计难以收回的应收账款全额计提了坏账准备。

5.5 其他应收款

5.5.1 合并数

账龄	年末数				年初数			
	账面余额	比例	坏账准备	账面净额	账面余额	比例	坏账准备	账面净额
1 年以内	74,737,832.08	66.97%	-	74,737,832.08	9,422,084.38	18.10%	-	9,422,084.38
1-2 年	4,875,013.36	4.37%	243,750.67	4,631,262.69	3,512,835.88	6.75%	175,641.79	3,337,194.09
2-3 年	280,268.88	0.25%	56,053.78	224,215.10	359,000.00	0.69%	71,800.00	287,200.00
3 年以上	5,392,284.13	4.83%	3,235,370.48	2,156,913.65	21,480,322.37	41.26%	12,888,193.42	8,592,128.95
100%计提	26,309,166.87	23.58%	26,309,166.87	-	17,281,935.66	33.20%	17,281,935.66	-
合计	111,594,565.32	100%	29,844,341.80	81,750,223.52	52,056,178.29	100%	30,417,570.87	21,638,607.42

上述其他应收款年末数中涉及本公司关联方的应收款项详见本会计报表附注 6.4。

其他应收款年末数中前五名金额合计为 83,970,398.31 元，占全部其他应收款的 75.25%。

年末数比年初数增加 2.78 倍，主要系本年增加应收土地动拆迁补偿费 6,090.4 万元所致。

本公司根据董事会决议对预计难以收回的其他应收款全额计提坏账准备。本年新增全

额计提坏账准备的应收款项系因债务人财务状况持续恶化，已经资不抵债，故在原计提60%坏账准备的基础上加大补提至100%。

2002 年内本公司收到 1998 年因长期挂账无法收回等原因而注销的应收款项 250 万元。

5.5.2 母公司数

账龄	年末数				年初数			
	账面余额	比例	坏账准备	账面净额	账面余额	比例	坏账准备	账面净额
1 年以内	70,078,155.51	66.44%	-	70,078,155.51	5,012,114.57	11.42%	-	5,012,114.57
1-2 年	4,875,013.36	4.62%	243,750.67	4,631,262.69	352,835.88	0.80%	17,641.79	335,194.09
2-3 年	280,268.88	0.27%	56,053.78	224,215.10	359,000.00	0.82%	71,800.00	287,200.00
3 年以上	4,187,130.31	3.97%	2,512,278.19	1,674,852.12	21,151,706.45	48.20%	12,691,023.87	8,460,682.58
100%计提	<u>26,049,244.39</u>	<u>24.70%</u>	<u>26,049,244.39</u>	<u>-</u>	<u>17,011,013.18</u>	<u>38.76%</u>	<u>17,011,013.18</u>	<u>-</u>
合计	<u>105,469,812.45</u>	<u>100%</u>	<u>28,861,327.03</u>	<u>76,608,485.42</u>	<u>43,886,670.08</u>	<u>100%</u>	<u>29,791,478.84</u>	<u>14,095,191.24</u>

上述其他应收款年末数中涉及本公司关联方的应收款项详见本会计报表附注 6.4。

其他应收款年末数中前五名金额合计为 83,970,398.31 元，占全部其他应收款的 79.62%。

年末数比年初数增加 4.44 倍，主要系本年增加应收土地动拆迁补偿费 6,090.4 万元所致。

本公司根据董事会决议对预计难以收回的其他应收款全额计提坏账准备。本年新增全额计提坏账准备的应收款项系因债务人财务状况持续恶化，已经资不抵债，故在原计提60%坏账准备的基础上加大补提至100%。

2002 年内本公司收到 1998 年因长期挂账无法收回等原因而注销的应收款项 250 万元。

此外，2002 年末会计报表中所列的其他流动资产余额 23,666,229.52 元，系本公司与合并报表范围内子公司之间的往来款，账龄均为一年以内，在合并时抵销。

5.6 预付账款

账龄	年末数		年初数	
	金额	比例	金额	比例
1 年以内	8,481,105.02	91.87%	14,064,079.32	98.47%
1-2 年	616,319.94	6.68%	46,846.65	0.33%
2-3 年	17,374.42	0.19%	95,900.00	0.67%
3 年以上	<u>116,714.27</u>	<u>1.26%</u>	<u>75,474.77</u>	<u>0.53%</u>
合计	<u>9,231,513.65</u>	<u>100%</u>	<u>14,282,300.74</u>	<u>100%</u>

上述预付账款年末数中无持有本公司 5%(含 5%)以上表决权股份的股东单位的款项。

年末数比年初数减少 35.36%，主要系本公司合并报表范围内的子公司将预付的工程款结转开发成本所致。

5.7 存货

项目	年末数			年初数		
	账面余额	跌价准备	账面净额	账面余额	跌价准备	账面净额
原材料	33,339,073.39	4,259,745.31	29,079,328.08	35,845,898.07	3,346,895.10	32,499,002.97
在产品	46,395,882.64	6,248,487.23	40,147,395.41	69,248,282.49	11,230,064.21	58,018,218.28
库存商品	103,608,793.05	18,016,055.86	85,592,737.19	77,578,393.14	16,462,085.35	61,116,307.79
房地产开发产品	2,788,791.69	-	2,788,791.69	4,528,047.29	1,665,124.49	2,862,922.80
房地产开发成本	-	-	-	1,420,000.00	-	1,420,000.00
低值易耗品	4,831,416.08	-	4,831,416.08	5,832,170.92	-	5,832,170.92
合计	<u>190,963,956.85</u>	<u>28,524,288.40</u>	<u>162,439,668.45</u>	<u>194,452,791.91</u>	<u>32,704,169.15</u>	<u>161,748,622.76</u>

5.8 待摊费用

项目	年末数	年初数
养路费	2,574.00	3,565.50
保险费	<u>42,430.15</u>	<u>63,980.94</u>
合计	<u>45,004.15</u>	<u>67,546.44</u>

5.9 长期股权投资

5.9.1 合并数

项目	年末数			年初数		
	账面余额	减值准备	账面净额	账面余额	减值准备	账面净额
股票投资	81,709,172.53	19,917,751.00	61,791,421.53	81,409,172.53	20,231,092.60	61,178,079.93
其他股权投资	<u>33,594,262.35</u>	<u>787,116.22</u>	<u>32,807,146.13</u>	<u>20,758,530.78</u>	<u>5,295,070.56</u>	<u>15,463,460.22</u>
合计	<u>115,303,434.88</u>	<u>20,704,867.22</u>	<u>94,598,567.66</u>	<u>102,167,703.31</u>	<u>25,526,163.16</u>	<u>76,641,540.15</u>

5.9.1.1 股票投资

股票名称	股份类别	股数	占股比例	年末数		备注
				账面余额	减值准备	
申达股份	法人股	1,452,000	小于 5%	3,184,000.00	-	部分质押
嘉宝实业	法人股	1,872,000	小于 5%	4,990,000.00	-	全部质押
联华合纤	法人股	180,000	小于 5%	574,321.00	-	
上海金陵	法人股	2,284,880	小于 5%	2,123,874.79	-	全部质押
丰华股份	法人股	1,267,200	小于 5%	4,759,914.00	-	全部质押
龙头股份	法人股	2,400,000	小于 5%	7,800,000.00	-	全部质押
棱光实业	法人股	1,092,960	小于 5%	1,099,912.00	-	
第一百货	法人股	211,411	小于 5%	695,924.96	-	部分质押
电器股份	法人股	408,000	小于 5%	1,297,484.00	-	全部质押
华联商厦	法人股	504,900	小于 5%	1,290,454.53	-	部分质押
豫园商城	法人股	3,397,680	小于 5%	10,895,300.77	-	全部质押
氯碱化工	法人股	847,000	小于 5%	3,170,000.00	-	部分质押
永生数据	法人股	547,515	小于 5%	2,276,100.00	-	全部质押
第一食品	法人股	336,753	小于 5%	622,083.04	-	部分质押
申能股份	法人股	100,000	小于 5%	280,000.00	-	全部质押
上海三毛	法人股	887,040	小于 5%	2,400,000.00	-	全部质押
东海股份	法人股	216,000	小于 5%	230,716.44	-	全部质押
PT 水仙	法人股	2,200,000	小于 5%	7,800,000.00	7,800,000.00	
白猫股份	法人股	2,904,000	小于 5%	12,004,000.00	8,202,664.00	
中国华源集团有限公司	法人股	13,500,000	2.814%	10,000,000.00	-	

上海太平洋机械进出口公司	法人股	90	30%	3,915,087.00	3,915,087.00
上海大世界股份有限公司	法人股	150,000	小于 5%	300,000.00	-
合计				<u>81,709,172.53</u>	<u>19,917,751.00</u>

上述股票投资中,对上海太平洋机械进出口公司、PT 水仙和白猫股份(原 PT 双鹿)的投资自以前年度起,因其财务状况严重恶化,本公司已计提了相应的减值准备。其中白猫股份(原 PT 双鹿)于 2002 年 4 月 18 日起恢复上市交易,本公司已按所持法人股数和其 2002 年度经审计的每股净资产增加额在 2002 年度中冲回 313,341.60 元原计提的减值准备。

5.9.1.2 其他股权投资

被投资公司名称	投资期限	占股比例	初始投资额	本期权益 增减值	累计权益 增减值	年末账面余额	减值准备
宁波中榭纺织机械有限公司	2 年	100%	1,000,000.00	(126,614.24)	83,041.21	1,083,041.21	-
上海青城房地产发展有限公司	14 年	26.67%	4,000,000.00	(4,520.70)	(272,489.50)	3,727,510.50	-
上海宝罗锻造厂	长期	32.3%	321,116.22	-	-	321,116.22	321,116.22
上海中茂工贸合作公司	长期	50%	250,000.00	-	-	250,000.00	250,000.00
上海新中纺机综合服务部	长期	50%	216,000.00	-	-	216,000.00	216,000.00
昆山市金岛房地产开发有限公司	10 年	10%	17,439,538.05	-	-	17,439,538.05	-
上海佳华房地产有限公司	长期	10%	10,371,773.57	-	-	10,371,773.57	-
上海中奇物业管理有限公司	30 年	55%	55,000.00	(19,717.20)	(19,717.20)	35,282.80	-
上海华孚润滑油品有限公司	15 年	18.52%	150,000.00	-	-	150,000.00	-
合计			<u>33,803,427.84</u>	<u>(150,852.14)</u>	<u>(209,165.49)</u>	<u>33,594,262.35</u>	<u>787,116.22</u>

上述部分其他股权投资因被投资单位经营状况严重恶化等原因,已全额计提减值准备。

5.9.2 母公司数

项目	年末数			年初数		
	账面余额	减值准备	账面净额	账面余额	减值准备	账面净额
股票投资	81,409,172.53	19,917,751.00	61,491,421.53	81,409,172.53	20,231,092.60	61,178,079.93
其他股权投资	<u>163,726,191.60</u>	<u>787,116.22</u>	<u>162,939,075.38</u>	<u>49,053,142.91</u>	<u>5,295,070.56</u>	<u>43,758,072.35</u>
合计	<u>245,135,364.13</u>	<u>20,704,867.22</u>	<u>224,430,496.91</u>	<u>130,462,315.44</u>	<u>25,526,163.16</u>	<u>104,936,152.28</u>

5.9.2.1 股票投资

股票名称	股份类别	股数	占股比例	年末数		备注
				账面余额	减值准备	
申达股份	法人股	1,452,000	小于 5%	3,184,000.00	-	部分质押
嘉宝实业	法人股	1,872,000	小于 5%	4,990,000.00	-	全部质押
联华合纤	法人股	180,000	小于 5%	574,321.00	-	
上海金陵	法人股	2,284,880	小于 5%	2,123,874.79	-	全部质押
丰华股份	法人股	1,267,200	小于 5%	4,759,914.00	-	全部质押
龙头股份	法人股	2,400,000	小于 5%	7,800,000.00	-	全部质押
棱光实业	法人股	1,092,960	小于 5%	1,099,912.00	-	
第一百货	法人股	211,411	小于 5%	695,924.96	-	部分质押
电器股份	法人股	408,000	小于 5%	1,297,484.00	-	全部质押
华联商厦	法人股	504,900	小于 5%	1,290,454.53	-	部分质押
豫园商城	法人股	3,397,680	小于 5%	10,895,300.77	-	全部质押
氯碱化工	法人股	847,000	小于 5%	3,170,000.00	-	部分质押
永生数据	法人股	547,515	小于 5%	2,276,100.00	-	全部质押
第一食品	法人股	336,753	小于 5%	622,083.04	-	部分质押

申能股份	法人股	100,000	小于 5%	280,000.00	-	全部质押
上海三毛	法人股	887,040	小于 5%	2,400,000.00	-	全部质押
东海股份	法人股	216,000	小于 5%	230,716.44	-	全部质押
PT 水仙	法人股	2,200,000	小于 5%	7,800,000.00	7,800,000.00	
白猫股份	法人股	2,904,000	小于 5%	12,004,000.00	8,202,664.00	
中国华源集团有限公司	法人股	13,500,000	2.814%	10,000,000.00	-	
上海太平洋机械进出口公司	法人股	90	30%	<u>3,915,087.00</u>	<u>3,915,087.00</u>	
合计				<u>81,409,172.53</u>	<u>19,917,751.00</u>	

5.9.2.2 其他股权投资

被投资公司名称	投资期限	占股比例	初始投资额	本期权益 增减值	累计权益 增减值	年末账面余额	减值准备
上海青城房地产发展有限公司	14 年	26.67%	4,000,000.00	(4,520.70)	(272,489.50)	3,727,510.50	-
上海宝罗锻造厂	长期	32.3%	321,116.22	-	-	321,116.22	321,116.22
上海中茂工贸合作公司	长期	50%	250,000.00	-	-	250,000.00	250,000.00
上海新中纺机综合服务部	长期	50%	216,000.00	-	-	216,000.00	216,000.00
昆山市金岛房地产开发有限公司		10%	17,439,538.05	-	-	17,439,538.05	-
上海东浩环保设备有限公司	30 年		103,308,421.97	-	-	103,308,421.97	-
上海中纺机益进机械有限公司	10 年	49%	980,000.00	50,506.70	72,150.43	1,052,150.43	-
上海中纺机工具公司	长期	100%	5,500,000.00	927,328.67	-	5,500,000.00	-
上海中纺机房产经营开发公司	长期	100%	15,000,000.00	-	32,354.38	15,032,354.38	-
上海中纺机征鸿粉末冶金制品有限公司	10 年	48.33%	580,000.00	43,227.48	65,083.89	645,083.89	-
上海中纺机运输服务有限公司	17 年	30%	210,000.00	23,788.42	51,922.12	261,922.12	-
上海中机金属制品有限公司	10 年	36%	900,000.00	265,186.55	427,571.25	1,327,571.25	-
上海中纺机物资贸易公司	长期	100%	3,000,000.00	-	745.34	3,000,745.34	-
上海中纺机工贸公司	长期	100%	1,000,000.00	-	-	1,000,000.00	-
上海中纺机通用电气公司	长期	100%	1,500,000.00	190.64	188,461.10	1,688,461.10	-
上海中意石油设备有限公司	10 年	80%	4,000,000.00	708,255.55	2,425,355.73	6,425,355.73	-
上海中纺机国际贸易有限公司	20 年	100%	2,600,000.00	(388,884.39)	(340,799.68)	2,259,200.32	-
宁波中榭纺织机械有限公司	2 年	25%	<u>250,000.00</u>	<u>(31,653.56)</u>	<u>20,760.30</u>	<u>270,760.30</u>	-
合计			<u>161,055,076.24</u>	<u>1,593,425.36</u>	<u>2,671,115.36</u>	<u>163,726,191.60</u>	<u>787,116.22</u>

上述部分股权投资因被投资单位经营状况严重恶化等原因，已全额计提减值准备。

5.10 固定资产

	房屋及建筑物	机器设备	运输设备	办公及其他设备	合计
原价：					
年初数	131,353,810.85	215,847,539.58	7,864,080.47	10,106,636.94	365,172,067.84
本年增加	24,056,244.51	76,981,399.23	3,626,499.12	471,219.11	105,135,361.97
本年减少	<u>45,465,658.18</u>	<u>23,985,425.68</u>	<u>757,189.33</u>	<u>3,832,919.62</u>	<u>74,041,192.81</u>
年末数	<u>109,944,397.18</u>	<u>268,843,513.13</u>	<u>10,733,390.26</u>	<u>6,744,936.43</u>	<u>396,266,237.00</u>
累计折旧：					
年初数	30,106,937.17	116,189,741.27	3,469,674.29	4,352,045.30	154,118,398.03
本年增加	9,116,557.39	19,657,036.55	1,715,401.43	863,976.94	31,352,972.31
本年减少	<u>12,246,276.85</u>	<u>16,546,736.23</u>	<u>340,293.80</u>	<u>2,738,334.69</u>	<u>31,871,641.57</u>
年末数	<u>26,977,217.71</u>	<u>119,300,041.59</u>	<u>4,844,781.92</u>	<u>2,477,687.55</u>	<u>153,599,728.77</u>

账面净值：

年初数	<u>101,246,873.68</u>	<u>99,657,798.31</u>	<u>4,394,406.18</u>	<u>5,754,591.64</u>	<u>211,053,669.81</u>
年末数	<u>82,967,179.47</u>	<u>149,543,471.54</u>	<u>5,888,608.34</u>	<u>4,267,248.88</u>	<u>242,666,508.23</u>

减值准备：

年初数	2,245,657.10	846,720.68	352,644.33	7,629.80	3,452,651.91
本年增/(减)	-	(45,000.00)	-	(7,548.80)	(52,548.80)
年末数	<u>2,245,657.10</u>	<u>801,720.68</u>	<u>352,644.33</u>	<u>81.00</u>	<u>3,400,103.11</u>

净额：

年初数	<u>99,001,216.58</u>	<u>98,811,077.63</u>	<u>4,041,761.85</u>	<u>5,746,961.84</u>	<u>207,601,017.90</u>
年末数	<u>80,721,522.37</u>	<u>148,741,750.86</u>	<u>5,535,964.01</u>	<u>4,267,167.88</u>	<u>239,266,405.12</u>

上述固定资产原值本年增加中包括自在建工程转入数为 29,647,241.57 元,年末数中有原值为 1,058 万元的房屋已用于向银行抵押借款。

5.11 在建工程

工程项目名称	资金 来源	年末数			年初数		
		账面余额	减值准备	账面净额	账面余额	减值准备	账面净额
喷气机专项工程	贷款	-	-	-	58,915,693.36	31,459,237.86	27,456,455.50
其它零星工程	自筹	396,551.00	-	396,551.00	907,092.46	-	907,092.46
合计		<u>396,551.00</u>	<u>-</u>	<u>396,551.00</u>	<u>59,822,785.82</u>	<u>31,459,237.86</u>	<u>28,363,547.96</u>

本年内在建工程增加总额为 1,811,233.91 元,转入固定资产总额为 29,647,241.57 元,其中喷气机专项工程系经董事会批准,以原账面成本减去已计提的减值准备后的净额 27,456,455.50 元转入固定资产,其他减少总额为 130,989.30 元。

5.12 无形资产

项目	土地使用权	专有技术	商誉	合计
原始金额	17,108,172.00	554,302.22	309,722.53	17,972,196.75

年初数：

账面余额	16,318,564.05	356,594.22	30,750.28	16,705,908.55
减：减值准备	-	-	-	-
账面净额	16,318,564.05	356,594.22	30,750.28	16,705,908.55

本年增加	14,394,189.50	27,774,266.69	-	42,168,456.19
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本年减少：

本年转出	16,357,284.05	-	-	16,357,284.05
本年摊销		356,594.22	30,750.28	387,344.50
本年提/(冲)减值准备	-	-	-	-
小计	16,357,284.05	356,594.22	30,750.28	16,744,628.55

年末数：

账面余额	14,355,469.50	27,774,266.69	-	42,129,736.19
减：减值准备	-	-	-	-
账面净额	<u>14,355,469.50</u>	<u>27,774,266.69</u>	<u>-</u>	<u>42,129,736.19</u>

无形资产的本年增加数除本公司于当年购入一宗土地使用权外，主要系合并范围内新增一家子公司所拥有的无形资产增加所致，本年转出数系本公司于年内以土地使用权作为项目投资，成立昆山市金岛房地产开发有限公司。

本公司董事会经估算认为：上述无形资产未发生预计未来可收回金额低于其账面余额的情况，故未计提无形资产减值准备。

5.13 长期待摊费用

	生产准备			租入固定资	
	工装费	电话初装费	模具费	产改良支出	合计
原始发生额	652,221.00	288,458.40	17,094.02	66,037.20	1,023,810.62
年初数	508,844.30	-	5,694.02	-	514,538.32
本年增加	-	57,140.97	-	13,758.03	70,899.00
本年减少	49,143.50	-	5,694.02	-	54,837.52
本年摊销	<u>459,700.80</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>459,700.80</u>
年末数	<u>-</u>	<u>57,140.97</u>	<u>-</u>	<u>13,758.03</u>	<u>70,899.00</u>
累计摊销额	603,077.50	231,317.43	11,400.00	52,279.17	898,074.10
剩余摊销期限		24 个月		24 个月	

5.14 短期借款

借款种类	年末数	年初数
信用借款	600,000.00	-
保证借款	80,750,000.00	188,250,000.00
抵押借款	20,500,000.00	74,300,000.00
质押借款	<u>19,750,000.00</u>	<u>32,000,000.00</u>
合计	<u>121,600,000.00</u>	<u>294,550,000.00</u>

上述年末保证借款中，借款 460 万元由太平洋机电（集团）有限公司提供保证；借款 4,900 万元由上海三毛纺织股份有限公司提供保证；借款 965 万元由上海三毛纺织股份有限公司和太平洋机电（集团）有限公司共同提供保证；借款 150 万元由上海电机成套联合公司提供保证；借款 1,600 万元由南京斯威特集团有限公司提供保证。

上述年末抵押借款 2,050 万元抵押物为自有房产及有关土地使用权。

上述年末质押借款中，借款 1,300 万元的质押物为法人股；借款 675 万元的质押物为 83 万美元定期存单。

上述年末借款中，向上海浦东发展银行的借款 1,300 万元和向交通银行上海分行杨浦支行的借款 3,940 万元已逾期，本公司已在 2003 年 3 月办理了续借手续。

5.15 应付票据

票据种类	年末数	年初数
银行承兑汇票	3,100,000.00	-
商业承兑汇票	2,507,397.29	-
合计	5,607,397.29	-

应付票据年末数中，无持有本公司 5%（含 5%）以上表决权股份的股东单位应付的票据。

5.16 应付账款

年末数	年初数
122,272,850.00	120,739,396.76

应付账款年末数中，无持有本公司 5%（含 5%）以上表决权股份的股东单位的应付款项。

5.17 预收账款

年末数	年初数
50,577,504.89	58,208,849.17

预收账款年末数中，无持有本公司 5%（含 5%）以上表决权股份的股东单位的款项。

5.18 应交税金

税金种类	年末数	年初数
增值税	1,712,875.67	(500,958.13)
营业税	65,452.38	582,590.48
企业所得税	3,266.80	10,202.89
城市维护建设税	128,171.81	93,538.55
投资方向调节税	119,874.56	119,874.56
房产税	1,682,138.49	2,250,406.51
个人所得税	53,806.84	6,390.07
土地使用税	4,102,829.25	3,022,829.25
合计	7,868,415.80	5,584,874.18

5.19 其他应交款

应交款种类	年末数	年初数
教育费附加	71,716.73	42,936.43
义务兵优待金	431.29	4,091.15
堤防费	(1,848.53)	13,378.43
河道工程修建维护管理费	18,424.04	2,789.68
合计	<u>88,723.53</u>	<u>63,195.69</u>

5.20 其他应付款

年末数	年初数
<u>53,092,299.75</u>	<u>43,428,516.77</u>

上述其他应付款中涉及关联方的应付款项详见本会计报表附注 6.4。

5.21 预提费用

项目	年末数	年初数
利息	-	18,260,791.49
场地租赁费	<u>210,000.00</u>	-
合计	<u>210,000.00</u>	<u>18,260,791.49</u>

上述预提费用年末数比年初减少 98.85%，主要系由于上年末预提的借款利息中有 14,075,929.06 元通过债务重组被银行豁免，其余利息已经支付。

5.22 一年内到期的长期负债

借款种类	年末数	年初数
保证借款	25,383,717.21	36,612,739.48
借款利息	<u>8,362,774.90</u>	-
合 计	<u>33,746,492.11</u>	<u>36,612,739.48</u>

上述年末保证借款本金 3,066,666.33 美元(折合人民币 25,383,717.21 元)，由中国华源集团有限公司提供保证，截至 2002 年 12 月 31 日止，该借款已逾期；上述借款利息均已逾期。

5.23 股本

项目	年末数	年初数
未上市流通股份：		
发起人股份	211,231,534.80	211,231,534.80
其中：		
国家持有股份	85,366,988.80	188,923,534.80
境内法人持有股份	125,864,546.00	22,308,000.00
境外法人持有股份	-	-
其他	-	-
募集法人股份	-	-
内部职工股	-	-
优先股或其他	-	-
未上市流通股份合计	211,231,534.80	211,231,534.80
已上市流通股份：		
人民币普通股	25,740,000.00	25,740,000.00
境内上市的外资股	120,120,000.00	120,120,000.00
境外上市的外资股	-	-
其他	-	-
已上市流通股份合计	145,860,000.00	145,860,000.00
股份总数	357,091,534.80	357,091,534.80

上述本公司的股份每股面值人民币 1 元。

上述年末股本与本公司注册资本一致，已经上海审计事务所于 1997 年 11 月 11 日出具沪审事业[1997]1430 号《验资报告》验证。股本本年内未发生变动，有关股份性质变动情况详见本会计报表附注 9.5。

5.24 资本公积

项目	年末数	年初数
股本溢价	185,683,572.78	185,683,572.78
外币资本折算差额	(24,640,253.20)	(24,640,253.20)
接受非现金资产捐赠准备	103,308,421.97	-
其他资本公积	115,934,526.56	1,000.00
合计	380,286,268.11	161,044,319.58

上述资本公积年末数比年初数增加 219,241,948.53 元，主要包括：

(1) 2002 年内本公司接受股权捐赠(以零价格受让)103,308,421.97 元，详见本会计报表附注 9.1；

(2) 2002 年内本公司通过以物抵贷方式取得债务重组收益 113,113,039.39 元，详见本会计报表附注 9.2；

(3) 2002 年内本公司清理无法支付的应付款项 2,820,487.17 元。

5.25 盈余公积

	法定盈余公积	法定公益金	任意盈余公积	合计
追溯调整前年初数	15,132,344.22	1,071,397.00	12,027,454.27	28,231,195.49
加：追溯调整数	(41,804.99)	(41,804.99)	-	(83,609.98)
追溯调整后年初数	15,090,539.23	1,029,592.01	12,027,454.27	28,147,585.51
本年增加	254,892.27	254,892.27	369,463.87	879,248.41
本年减少	257,038.24	257,038.24	495,625.66	1,009,702.14
年末数	<u>15,088,393.26</u>	<u>1,027,446.04</u>	<u>11,901,292.48</u>	<u>28,017,131.78</u>

追溯调整数-83,609.98 元系本公司会计政策变更进行追溯调整影响年初盈余公积所致，详见本会计报表附注 5.26。

本年增加盈余公积 879,248.41 元系合并报表范围内的子公司于本年计提的金额，本年减少 1,009,702.14 元系本年合并范围内减少一家子公司所致。

5.26 未分配利润

项目	年末数	年初数
调整前年初未分配利润	(502,924,089.42)	(508,682,091.98)
加：追溯调整年初数	<u>(8,804,548.55)</u>	<u>(3,919,652.60)</u>
调整后年初未分配利润	(511,728,637.97)	(512,601,744.58)
加：本年净利润	108,423,777.57	1,643,526.48
其他转入	-	-
可供分配利润	(403,304,860.40)	(510,958,218.10)
减：提取法定盈余公积	254,892.27	492,207.35
提取法定公益金	254,892.27	492,207.35
提取任意盈余公积	<u>369,463.87</u>	<u>795,707.31</u>
年末未分配利润	<u>(404,184,108.81)</u>	<u>(512,738,340.11)</u>

本年追溯调整年初数-8,804,548.55 元系本公司于 2002 年 1 月 1 日起执行《企业会计准则—固定资产》，对未使用、不需固定资产由原不计提折旧改为计提折旧，此项会计政策变更采用追溯调整法。该项会计政策变更的累积影响数为-8,888,158.53 元，其中调减 2001 年初未分配利润 3,919,652.60 元，调减 2001 年度净利润 4,968,505.93 元，相应调减 2001 年末盈余公积 83,609.98 元，合计调减 2002 年年初未分配利润 8,804,548.55 元。

2002 年调整后的年初未分配利润大于 2001 年年末未分配利润 1,009,702.14 元，系

本年合并范围内减少一家子公司所致。

5.27 主营业务收入及成本

5.27.1 合并数

5.27.1.1 分行业列示：

行业	本年数		上年数	
	营业收入	营业成本	营业收入	营业成本
织机及配件	504,495,606.50	445,223,685.15	316,546,762.47	276,434,244.29
无级变速器	13,939,843.83	9,133,349.56	14,363,748.08	9,310,322.30
粉末冶金	6,257,531.46	4,378,636.74	4,311,907.77	2,811,014.05
通用机械	9,583,644.23	7,732,154.42	6,825,207.01	5,290,756.24
房地产	964,936.00	1,120,600.00	45,902,738.30	43,195,080.48
运输业务	23,928,213.92	21,889,580.52	14,801,193.35	13,744,701.14
石油机械	27,110,263.14	18,464,092.21	33,454,406.60	23,979,622.90
其他	37,564,819.43	28,607,129.12	32,782,288.05	26,641,747.25
小计	623,844,858.51	536,549,227.72	468,988,251.63	401,407,488.65
减：内部抵销	19,767,171.63	19,767,171.63	19,568,925.52	19,568,925.52
合计	<u>604,077,686.88</u>	<u>516,782,056.09</u>	<u>449,419,326.11</u>	<u>381,838,563.13</u>

5.27.1.2 分地区列示：

地区	本年数		上年数	
	营业收入	营业成本	营业收入	营业成本
上海市	193,847,574.00	168,076,193.00	146,066,831.61	129,049,002.05
江苏省	122,889,677.35	103,458,731.28	155,880,088.60	132,261,375.34
山东省	85,557,378.08	74,647,806.70	57,555,541.11	49,719,560.32
浙江省	86,873,574.10	73,440,880.83	44,984,959.99	37,160,019.48
湖南省	4,934,990.64	4,122,794.89	9,520,486.37	7,258,263.20
天津市	6,445,685.48	5,639,420.51	7,121,600.00	6,158,028.06
重庆市	8,030,284.45	6,800,546.80	6,618,146.58	5,726,229.17
广东省	27,667,898.87	23,881,790.15	6,103,200.00	5,105,188.29
河北省	19,121,795.52	16,779,271.07	6,100,300.00	5,274,900.73
安徽省	14,053,526.37	11,807,939.19	5,145,500.00	3,760,358.73
江西省	2,285,512.14	2,003,363.33	4,529,500.00	3,923,465.83
福建省	5,902,839.40	5,159,104.55	3,980,300.00	3,411,305.79
黑龙江省	4,105,011.98	3,595,790.68	3,008,700.00	2,588,261.68
湖北省	5,241,142.43	4,573,549.07	2,980,000.00	2,502,040.35
河南省	4,512,398.17	3,819,739.13	2,505,200.00	1,952,044.82
四川省	5,077,487.50	4,847,510.53	1,581,400.00	1,122,377.02
陕西省	10,035,452.65	8,781,262.72	1,861,123.93	1,589,998.88
北京市	10,025,285.09	8,790,166.34	50,000.00	32,409.10
辽宁省	4,770,629.06	4,186,579.51	1,465,673.44	1,264,612.89
其他省	<u>2,466,715.23</u>	<u>2,136,787.44</u>	<u>1,929,700.00</u>	<u>1,548,046.92</u>
小计	623,844,858.51	536,549,227.72	468,988,251.63	401,407,488.65

减：内部抵销	<u>19,767,171.63)</u>	<u>19,767,171.63</u>	<u>19,568,925.52</u>	<u>19,568,925.52</u>
合计	<u>604,077,686.88</u>	<u>516,782,056.09</u>	<u>449,419,326.11</u>	<u>381,838,563.13</u>

本年度主营业务收入较上年增加 34.41%，主要系本公司的主要产品纺织机械市场回暖，虽然销售价格下降，但销售数量大幅增长，使得销售额比上年有较大增加。

本公司向前五名客户销售总额为 20,639.60 万元，占本公司全部主营业务收入的 34.17%。

5.27.2 母公司数

行业	本年数		上年数	
	营业收入	营业成本	营业收入	营业成本
织机及配件	<u>504,495,606.50</u>	<u>445,223,685.15</u>	<u>316,546,762.47</u>	<u>276,434,244.29</u>

5.28 主营业务税金及附加

项目	本年数	上年数
营业税	(15,849.67)	2,201,423.12
城市维护建设税	1,650,435.38	1,636,479.11
教育费附加	<u>753,925.68</u>	<u>716,674.63</u>
合计	<u>2,388,511.39</u>	<u>4,554,576.86</u>

本年主营业务税金及附加比上年减少 47.56%主要系本公司下属子公司应税营业收入有较大减少，导致相应营业税金及附加有较大减少。

5.29 其他业务利润

项目	本年数			上年数		
	收入	支出	利润	收入	支出	利润
材料销售	3,737,256.83	2,429,972.88	1,307,283.95	5,795,345.08	4,738,580.61	1,056,764.47
房屋租赁、咨询	2,802,404.67	158,823.20	2,643,581.47	2,538,226.57	141,542.22	2,396,684.35
代收水电能源费	4,904,228.76	4,904,228.76	-	4,821,794.29	4,901,883.58	(80,089.29)
自营房出售	2,159,142.50	118,752.84	2,040,389.66	1,046,900.00	1,052,134.50	(5,234.50)
其他	<u>213,748.85</u>	<u>214,482.84</u>	<u>(733.99)</u>	<u>1,013,366.83</u>	<u>159,466.06</u>	<u>853,900.77</u>
合计	<u>13,816,781.61</u>	<u>7,826,260.52</u>	<u>5,990,521.09</u>	<u>15,215,632.77</u>	<u>10,993,606.97</u>	<u>4,222,025.80</u>

5.30 财务费用

项目	本年数	上年数
利息支出	13,254,908.40	23,022,467.34
减：利息收入	584,909.01	222,935.54
利息净支出/(净收益)	12,669,999.39	22,799,531.80
加：汇兑净损失/(净收益)	12,608.88	(1,782.06)
其他	50,518.93	70,576.99
合计	12,733,127.20	22,868,326.73

本年度利息支出比上年减少 42.43%，主要系本年度银行借款大幅减少所致。

5.31 投资收益

5.31.1 合并数

项目	本年数	上年数
股票投资收益	2,778,835.49	17,717,825.16
债权投资收益	-	(31,688.76)
股权转让收益(处置股权收益)	220,878.40	23,513,299.51
收到成本法核算的被投资企业 分配来的利润	851,686.16	2,297,708.73
对被投资企业当期损益按权益法 核算的调整金额	(150,852.14)	23,265.43
转回长期投资减值准备	313,341.60	3,580,583.85
转回短期投资跌价准备	364,138.35	-
合计	4,378,027.86	47,100,993.92

上述投资收益本年数比上年数减少 90.71%，主要系股票投资收益和股权转让收益大幅减少所致。

5.31.2 母公司数

项目	本年数	上年数
股票投资收益	2,778,835.49	17,717,825.16
债券投资收益	-	(31,688.76)
股权转让收益(处置股权收益)	220,878.40	22,864,299.51
收到成本法核算的被投资企业		
分配来的利润	851,686.16	2,297,708.73
对被投资企业当期损益按权益法		
核算的调整金额	3,844,836.65	4,913,396.35
转回长期投资减值准备	313,341.60	3,580,583.85
转回短期投资跌价准备	364,138.35	-
合计	<u>8,373,716.65</u>	<u>51,342,124.84</u>

5.32 补贴收入

项目	本年数	上年数
三废拆迁补偿	-	6,500,000.00
新产品专项扶持	-	95,000.00
其他补贴	-	47,554.00
合计	<u>-</u>	<u>6,642,554.00</u>

上述补贴收入上年数中 6,500,000.00 元系本公司根据上海市经济委员会沪经节(2000)726 号、1013 号函,收到其拨入的三废拆迁补偿;95,000.00 元系上海市财政局拨给公司的新产品专项扶持资金补贴。

5.33 营业外收入

项目	本年数	上年数
土地动拆迁补偿净收益	93,727,638.65	-
处置固定资产净收益	1,841,761.93	723,136.04
赔偿收入	289,566.67	1,393,672.37
其他	164,203.28	152,741.85
合计	<u>96,023,170.53</u>	<u>2,269,550.26</u>

上述营业外收入本年数较上年数增长 41.31 倍,主要系本年取得大额土地动拆迁补偿净收益所致,详见本会计报表附注 9.3。

5.34 营业外支出

项目	本年数	上年数
处置固定资产净损失	331,926.26	620,226.92
赔偿及罚款支出	6,860.41	33,528.10
中专技校经费	-	1,520,000.00
计提/(转回)固定资产减值准备	(2,548.80)	3,452,651.91
捐赠支出	-	60,000.00
债务重组损失	15,150.00	-
其他	32,400.00	50.25
合计	383,787.87	5,686,457.18

上述营业外支出本年数较上年数减少 93.25%，主要系本公司上年计提了固定资产减值准备 3,452,651.91 元所致。

5.35 现金流量表中重要的其他收支项目

5.35.1 收到的金额较大的其他与经营活动有关的现金

项目	本年数
保证金收入	15,000,000.00
暂借款	1,576,832.37
往来款	11,432,990.97
存款利息收入	584,909.01

5.35.2 支付的金额较大的其他与经营活动有关的现金

项目	本年数
管理费用	18,855,349.39
营业费用	7,871,729.91
往来款	9,480,096.14

5.35.3 收到的其他与投资活动有关的现金

项目	本年数
接受捐赠子公司的现金收入	34,383,257.21

本公司在 2002 年度内受赠(零价格受让)上海东浩环保装备有限公司 84.6%的股权，因此在年末货币资金余额中包括该公司账面 34,383,257.21 元货币资金。

6. 关联方关系及其交易

6.1 存在控制关系的关联方

6.1.1 存在控制关系的关联方简况

企业名称	与本企业 业关系	注册 地址	主营业务	经济 性质	法定 代表人
上海中纺机运输服务有限公司	子公司	上海	货运、机电设备维修	有限公司	杜本文
上海中机金属制品有限公司	子公司	上海	冷拉、成形加工	有限公司	郑伯华
上海中纺机征鸿粉末冶金制品有限公司	子公司	上海	粉末冶金制品生产、加工	有限公司	郑伯华
上海中纺机益进机械有限公司	子公司	上海	工业机械设备加工、销售	有限公司	郑伯华
上海中意石油设备制造有限公司	子公司	上海	石油机械加工、制造	有限公司	郑伯华
上海东浩环保装备有限公司	子公司	上海	环保装备、电器成套装置生产、销售	有限公司	唐鸿兴
上海中纺机工具公司	子公司	上海	刀、量、夹、模具批发、零售	股份制	王国斌
上海中纺机房地产经营开发公司	子公司	上海	房地产开发、经营	股份制	蔡耀华
上海中纺机物资贸易公司	子公司	上海	金属材料、木材加工、制造	股份制	俞黎明
上海中纺机工贸公司	子公司	上海	机电产品加工、制造	股份制	庄建国
上海中纺机通用电气公司	子公司	上海	电子、电器产品加工、制造	股份制	王妙璋
上海中纺机国际贸易有限公司	子公司	上海	纺织国际贸易业务	有限公司	郑伯华
宁波中榭纺织机械经营有限公司	子公司	宁波	纺织机械及器材加工、销售	有限公司	郑伯华

6.1.2 存在控制关系的关联方的注册资本及其变化(金额单位：万元)

企业名称	年初数	本年增/(减)数	年末数
上海中纺机运输服务有限公司	70	-	70
上海中机金属制品有限公司	250	-	250
上海中纺机征鸿粉末冶金制品有限公司	120	-	120
上海中纺机益进机械有限公司	200	-	200
上海中意石油设备制造有限公司	500	-	500
上海东浩环保装备有限公司	1,814	9,957	11,771
上海中纺机工具公司	550	-	550
上海中纺机房地产经营开发公司	1,500	-	1,500
上海中纺机物资贸易公司	300	-	300
上海中纺机工贸公司	100	-	100
上海中纺机通用电气公司	150	-	150
上海中纺机国际贸易有限公司	260	-	260
宁波中榭纺织机械经营有限公司	100	-	100

6.1.3 存在控制关系的关联方所持股份或权益及其变化(金额单位：万元)

企业名称	年初数		本年增/(减)数		年末数	
	金额	比例(%)	金额	比例(%)	金额	比例(%)
上海中纺机运输服务有限公司	21	30			21	30
上海中机金属制品有限公司	90	36			90	36
上海中纺机征鸿粉末冶金制品有限公司	58	48.33			58	48.33
上海中纺机益进机械有限公司	98	49			98	49
上海中意石油设备制造有限公司	400	80			400	80
上海东浩环保装备有限公司	-	-	10,331	84.6	10,331	84.6
上海中纺机工具公司	550	100			550	100
上海中纺机房地产经营开发公司	1,500	100			1,500	100
上海中纺机物资贸易公司	300	100			300	100
上海中纺机工贸公司	100	100			100	100
上海中纺机通用电气公司	150	100			150	100
上海中纺机国际贸易有限公司	260	100			260	100
宁波中榭纺织机械经营有限公司	100	100			100	100

6.2 不存在控制关系但有关联交易的关联方

企业名称	与本公司关系	注册地址
南京斯威特集团有限公司	占股 29%的股东的股东的母公司	南京
太平洋机电(集团)有限公司	占股 23.91%的股东	上海
上海太平洋机械进出口公司	占股 30%的被投资企业	上海
上海华云房产开发经营公司	受本公司第二大股东控制的企业	上海

6.3 关联交易事项

企业名称	交易类型	本年数	上年数	交易条件
南京斯威特集团有限公司	股权捐赠(以零价格转让)	103,308,421.97	-	已经独立财务顾问报告审核
太平洋机电(集团)有限公司	股权转让	-	19,660,170.10	已经独立财务顾问报告审核
太平洋机电(集团)有限公司	资产和债务剥离	-	133,440,000.00	已经独立财务顾问报告审核
太平洋机电(集团)有限公司	支付往来款	2,685,000.00	-	往来款
上海太平洋机械进出口公司	代垫款	150,000.00	-	往来款
上海太平洋机械进出口公司	收回往来款	-	7,163,783.23	往来款
上海华云房产开发经营公司	收到往来款	-	10,000,000.00	往来款
上海华云房产开发经营公司	收履约保证金	15,800,000.00	-	与非关联方相同

6.4 关联方应收应付款项余额

企业名称	款项余额性质	年末数	年初数
太平洋机电(集团)有限公司	其他应收款	5,113,512.03	2,428,512.03
上海太平洋机械进出口公司	其他应收款	10,209,416.77	10,059,416.77
上海华云房产开发经营公司	应收票据	-	2,331,934.33
上海华云房产开发经营公司	其他应收款	2,331,934.33	-
上海华云房产开发经营公司	其他应付款	15,800,000.00	-

6.5 其他关联交易事项

2002 年度本公司关键管理人员的报酬（包括货币和非货币形式）总额为 85.20 万元（2001 年度为 72.13 万元）。2002 年度本公司关键管理人员包括董事、总经理、副总经理、监事、财务总监和董事会秘书等共 17 人（2001 年度为 12 人），其中在本公司领取报酬的为 12 人（2001 年度为 12 人）。

7. 承诺及或有事项

7.1 以资产向银行抵押及质押取得借款

7.1.1 本年年末借款中，包括本公司以自有房产及有关土地使用权作抵押向上海浦东发展银行借款 1,300 万元，向中国银行上海市金桥支行借款 750 万元；以法人股作质押向交通银行上海分行杨浦支行借款 800 万元，以美元定期存单作质押向上海银行浦东分行借款 675 万元。

7.1.2 本公司以法人股作质押为子公司取得上海银行浦东分行借款 500 万元，提供保证担保为子公司取得中国建设银行上海市杨浦支行借款 60 万元。

7.2. 为其他单位提供债务担保

截至 2002 年 12 月 31 日止，本公司和上海二毛爱斯纺织实业有限公司共同为上海三毛纺织股份有限公司银行借款 3,000 万元提供保证担保，本公司和上海申一毛条有限公司共同为上海三毛纺织股份有限公司银行借款 500 万元提供保证担保。

7.3 诉讼事项

7.3.1 截至 2002 年 12 月 31 日本公司对其他企业的主要诉讼事项

7.3.1.1 本公司和上海市浦东发展银行诉上海鼎盈福印染实业公司委托贷款合同纠纷案于 1998 年 8 月 26 日由上海市第二中级人民法院（1998）沪二中经初字第 418 号民事判决书作出判决：上海市鼎盈福印染实业公司应于判决生效之日起十日内归还本公司和上海市浦东发展银行借款本金 50 万美元及逾期利息，青浦县赵屯工业公司承担连带责任。截至 2002 年 12 月 31 日止本公司已收到人民币 89.64 万元。

7.3.1.2 本公司和上海浦东发展银行诉江苏翔峰化纤纺织集团公司委托贷款合同纠纷案于 2000 年 2 月 16 日由上海市第二中级人民法院（1999）沪二中经初字第 428 号民事

判决书作出一审判决：江苏翔峰化纤纺织集团公司应于判决生效之日起十日内归还本公司和上海浦东发展银行借款本金 200 万美元及逾期利息，东台市台城投资公司应承担连带责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

7.3.1.3 本公司和上海市浦东发展银行诉东台市绢纺厂委托贷款合同纠纷案于 2001 年 6 月 25 日由上海市第二中级人民法院（2001）沪二中经初字第 54 号民事判决书作出判决：东台市绢纺厂应于判决生效之日起十日内归还本公司和上海浦东发展银行借款本金 40 万美元及逾期利息，盐城市信托投资公司承担连带责任。2002 年 6 月 3 日上海市高级人民法院（2001）沪高经终字第 327 号民事判决书就原审被告盐城市信托投资公司不服原判提起上诉作出终审判决，判定盐城市信托投资公司对原审被告东台市绢纺厂的付款义务不承担连带清偿责任。原盐城市信托投资公司东台办事处（后更名为“东台市台城投资公司”）应对其担保行为承担法律责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

7.3.1.4 本公司和上海市浦东发展银行诉东台市丝绸公司等单位委托贷款合同纠纷案于 2001 年 6 月 25 日由上海市第二中级人民法院（2001）沪二中经初字第 103 号民事判决书作出判决：东台市丝绸公司等单位应于判决生效之日起十日内归还本公司和上海浦东发展银行借款 681,384.34 美元，盐城市信托投资公司承担连带责任。2002 年 6 月 3 日上海市高级人民法院（2001）沪高经终字第 328 号民事判决书就原审被告盐城市信托投资公司不服原判提起上诉作出终审判决，判定盐城市信托投资公司对原审被告东台市丝绸公司的付款义务不承担连带清偿责任。原盐城市信托投资公司东台办事处（后更名为“东台市台城投资公司”）应对其担保行为承担法律责任。截至 2002 年 12 月 31 日止本公司尚未收到以上本金和欠息。

7.3.2 截至 2002 年 12 月 31 日止其他企业对本公司的主要诉讼事项

7.3.2.1 2002 年 5 月 7 日常州市金太阳纺织品有限公司以本公司销售的织机质量不合格为由，向上海市第二中级人民法院提起诉讼，要求本公司退还货款 376 万元并支付赔款 229 万元。2003 年 1 月 9 日国家纺织工业局纺织机械质量监督检验中心受上海市第二中级人民法院委托，对诉讼织机进行抽检，检验结论为符合织机企业标准规定的要求，判该批产品合格。经与代理诉讼律师讨论，本公司认为胜诉可能性较大。

7.3.2.2 中国银行上海分行诉上海太平洋机械进出口公司、上海机械进出口（集团）有限公司和本公司借款担保纠纷案于 2000 年 8 月 25 日由上海市第二中级人民法院以（2000）沪二中经初字第 205 号、206 号和 207 号民事判决书作出一审判决：上海太平洋机械进出口公司应于判决生效之日起十日内向中国银行上海分行归还借款本金 3400 万元及利息和逾期息，上海机械进出口（集团）有限公司和本公司承担连带清偿责任。

8. 资产负债表日后事项中的非调整事项

截至本会计报表签发日（2003 年 3 月 24 日）止，本公司未发生影响本会计报表阅读和理解的重大资产负债表日后事项中的非调整事项。

9. 其他重要事项

9.1 2002 年 11 月 21 日, 本公司现任大股东江苏南大高科技风险投资有限公司之股东南京斯威特集团有限公司和本公司签定《股权转让协议》, 双方约定南京斯威特集团有限公司将其持有的上海东浩环保装备有限公司 84.6%的股权按其审定后的账面价值赠与(以零价格转让)本公司。2002 年 11 月 22 日, 本公司四届十九次董事会决议通过了《关于公司接受南京斯威特集团有限公司捐赠其持有的上海东浩环保装备有限公司 84.6%股权的议案》, 上海证券有限责任公司和上海市锦天城律师事务所分别对此事项出具了《独立财务顾问报告》和《法律意见书》, 同年 12 月 23 日本公司 2002 年度第二次临时股东大会通过了该议案。上述事项本公司已按照有关规定在上海证券报予以公告。根据议案的规定本公司于年末对受赠(以零价格受让)的股权进行了会计处理, 上海东浩环保装备有限公司 2002 年 12 月 31 日经审定的净资产为人民币 1.22 亿元, 其对应的捐赠(以零价格转让)股权价值为人民币 1.03 亿元。

9.2 根据 2002 年 6 月 27 日上海市杨浦区人民法院(2002)杨执字第 1855-1860、1862-1863 号《和解协议书》、2002 年 9 月 30 日中国工商银行上海市杨浦支行出具给本公司的《债务结清通知》及 2002 年 12 月 31 日该行和本公司签订的《变更抵贷物协议书》确定的内容, 本公司以原拥有的长阳路 1687 号西 50,000 平方米土地使用权及其相应的地上建筑物和 4,500 万元现金抵偿原欠该行的贷款本金 17,080 万元, 并被豁免 1,407.59 万元利息。上述事项使本公司获得 11,311.30 万元债务重组收益。

9.3 根据 2002 年 12 月 27 日本公司与上海市杨浦区土地发展中心签定的《上海市杨浦区工业系统收回国有土地使用权的补偿合同》规定, 该中心支付本公司动迁补偿费 12,200.4 万元, 收回原本公司拥有的河间路 1193 号土地使用权。2002 年内本公司已履行了注销原土地使用证等补偿合同规定的所有条款, 该地块权属已归该中心所有。本公司据此确认了该土地动拆迁补偿净收益 9,372.76 万元。

9.4 2002 年 10 月 24 日本公司四届十八次董事会决议，通过本公司于 2002 年 6 月 21 日与子公司上海中纺机变速器有限公司签定的“收回投资及权益协议书”，以 2002 年 8 月 31 日该公司账面净资产为基础，收回本公司投资比例部分的权益，合计 4,388,322.52 元。该项股权收回通过内部往来转账实现，未产生投资损益。

9.5 2002 年 11 月 5 日，本公司原第一大股东太平洋机电(集团)有限公司分别与江苏南大高科技风险投资有限公司、广州市赛清德投资发展有限公司签定了《股份转让协议》，以每股 0.145 元的价格向后两者分别转让了原所持本公司 103,556,546 股和 32,138,237 股股权。经国家财政部财企(2002)523、567 号批复同意，上述经转让的股权，其股份性质将由国家股转为社会法人股。截止 2002 年 12 月 31 日，其中 103,556,546 股的股份转让已完成了过户登记手续，其股份性质已由国家股转为社会法人股，其余 32,138,237 股的股份转让系于 2003 年 1 月 10 日完成了过户登记手续。

10. 补充资料

本公司 2002 年度按国际会计准则编制的 B 股会计报表由德豪国际会计师事务所进行审计。其与按中国会计准则编制的 A 股会计报表的净利润、净资产分别列示如下(金额单位：千元)：

	净利润		净资产	
	2002 年度	2001 年度	2002 年末	2001 年末
按国际会计准则列报	123,633	12,409	328,965	(13,910)
坏账准备的调整	-	(13,654)	-	-
存货跌价准备的调整	-	4,506	-	-
固定资产折旧的调整	(15,209)	(1,617)	32,246	47,455
按中国会计准则列报	108,424	1,644	361,211	33,545

11. 净资产收益率及每股收益

报告期利润	净资产收益率(%)			
	2002 年		2001 年	
	全面摊薄	加权平均	全面摊薄	加权平均
主营业务利润	23.51	96.75	187.88	192.60
营业利润	3.00	12.33	-139.15	-142.65
净利润	30.02	123.55	4.90	5.02
扣除非经常性损益的净利润	3.48	14.32	-112.72	-115.55

报告期利润	每股收益 (元/股)			
	2002 年		2001 年	
	全面摊薄	加权平均	全面摊薄	加权平均
主营业务利润	0.24	0.24	0.18	0.18
营业利润	0.03	0.03	-0.13	-0.13
净利润	0.30	0.30	0.0046	0.0046
扣除非经常性损益的净利润	0.04	0.04	-0.11	-0.11

12. 会计报表之批准

本会计报表于 2003 年 3 月 24 日业经本公司董事会批准通过。

十一、备查文件目录

- 1、载有法定代表人、财务负责人、会计经办人员签名并盖章的会计报表。
- 2、载有会计师事务所盖章，注册会计师签名并盖章的审计报告原件。
- 3、报告期内在中国证监会指定报纸上公开披露过的所有公司文件的正本及公司的原稿。

上述备查文件在中国证监会、上海证券交易所要求提供时，或股东依据法规或公司章程要求查阅时，公司保证能及时提供。

中国纺织机械股份有限公司

钱建忠

二〇〇三年三月二十四日

资 产 负 债 表

编制单位：中国纺织机械股份有限公司

2002年12月31日

金额单位：元

资 产	注释号	年末数		年初数		负债及股东权益	注释号	年末数		年初数	
		合并	母公司	合并	母公司			合并	母公司	合并	母公司
流动资产：						流动负债：					
货币资金	5.1	100,672,452.89	26,886,597.13	45,947,741.77	30,753,445.37	短期借款	5.14	121,600,000.00	91,000,000.00	294,550,000.00	288,950,000.00
短期投资	5.2	10,664,347.35	10,664,347.35	15,783,772.11	15,783,772.11	应付票据	5.15	5,607,397.29	3,200,000.00		
应收票据	5.3	2,850,000.00		2,331,934.33	2,331,934.33	应付账款	5.16	122,272,850.00	103,577,204.28	120,739,396.76	101,477,126.50
应收股利			973,471.12			预收账款	5.17	50,577,504.89	46,134,840.53	58,208,849.17	52,062,799.02
应收利息						应付工资					
应收账款	5.4	46,985,084.24	21,474,066.81	36,947,673.63	25,834,592.91	应付福利费		6,015,010.47	5,124,751.69	8,171,934.60	7,722,179.53
其他应收款	5.5	81,750,223.52	76,608,485.42	21,638,607.42	14,095,191.24	应付股利		776,207.82		1,653,894.28	
预付账款	5.6	9,231,513.65	3,242,411.06	14,282,300.74	1,568,453.11	应交税金	5.18	7,868,415.80	7,656,179.83	5,584,874.18	4,788,767.04
应收补贴款						其他应付款	5.19	88,723.53	64,028.56	63,195.69	19,970.97
存货	5.7	162,439,668.45	138,245,578.07	161,748,622.76	141,284,984.09	其他应付款	5.20	53,092,299.75	52,388,167.79	43,428,516.77	31,853,565.82
待摊费用	5.8	45,004.15		67,546.44		预提费用	5.21	210,000.00	210,000.00	18,260,791.49	18,260,791.49
						预计负债					
一年内到期的长期债权投资				119,100.00	119,100.00						
其他流动资产			23,666,229.52			一年内到期的长期负债	5.22	33,746,492.11	33,746,492.11	36,612,739.48	36,612,739.48
流动资产合计		414,638,294.25	301,761,186.48	298,867,299.20	231,771,473.16	其他流动负债		0.00			5,559,894.98
						流动负债合计		401,854,901.66	343,101,664.79	587,274,192.42	547,307,834.83
长期投资：						长期负债：					
长期股权投资	5.9	94,598,567.66	224,430,496.91	76,641,540.15	104,936,152.28	长期借款		0.00	0.00		
长期债权投资						应付债券					
长期投资合计		94,598,567.66	224,430,496.91	76,641,540.15	104,936,152.28	长期应付款					
其中：合并价差(贷差以“-”号表示 合并报表填列)						专项应付款					
其中：股权投资差额(贷差以“-”号表示 合并报表						其他长期负债					
固定资产：						长期负债合计		0.00	0.00		
固定资产原价	5.10	396,266,237.00	303,032,268.78	365,172,067.84	343,366,889.24	递延税项：					
减：累计折旧		153,599,728.77	130,457,599.99	154,118,398.03	140,980,066.49	递延税款贷项					
固定资产净值		242,666,508.23	172,574,668.79	211,053,669.81	202,386,822.75	负 债 合 计		401,854,901.66	343,101,664.79	587,274,192.42	547,307,834.83
减：固定资产减值准备		3,400,103.11	3,040,412.51	3,452,651.91	3,040,412.51						
固定资产净额		239,266,405.12	169,534,256.28	207,601,017.90	199,346,410.24	少数股东权益(合并报表填列)		28,034,725.68		7,874,559.88	
工程物资											
在建工程	5.11	396,551.00	396,551.00	28,363,547.96	27,989,883.80	股东权益：					
固定资产清理						股本	5.23	357,091,534.80	357,091,534.80	357,091,534.80	357,091,534.80
固定资产合计		239,662,956.12	169,930,807.28	235,964,565.86	227,336,294.04	资本公积	5.24	380,286,268.11	380,286,268.11	161,044,319.58	161,044,319.58
无形资产及其他资产：						盈余公积	5.25	28,017,131.78	24,579,783.12	28,147,585.51	24,579,783.12
无形资产	5.12	42,129,736.19	8,190,000.00	16,705,908.55	16,349,314.33	其中：法定公益金		1,027,446.04		1,029,592.01	
长期待摊费用	5.13	70,899.00		514,538.32	459,700.80	减：未确认的投资损失（合并报表填列）					
其他长期资产						未分配利润	5.26	-404,184,108.81	-400,746,760.15	-512,738,340.11	-509,170,537.72
无形资产及其他资产合计		42,200,635.19	8,190,000.00	17,220,446.87	16,809,015.13						
递延税项：						外币报表折算差额(合并报表填列)					
递延税款借项						股 东 权 益 合 计		361,210,825.88	361,210,825.88	33,545,099.78	33,545,099.78
资 产 总 计		791,100,453.22	704,312,490.67	628,693,852.08	580,852,934.61	负 债 及 股 东 权 益 总 计		791,100,453.22	704,312,490.67	628,693,852.08	580,852,934.61

法定代表人：钱建忠

主管会计工作的负责人：石李芳

会计机构负责人：孙蓓华

利 润 及 利 润 分 配 表

编制单位：中国纺织机械股份有限公司						2002年度						金额单位：元			
项 目	注释号	本年数		上年数		项 目	注释号	本年数		上年数					
		合并	母公司	合并	母公司			合并	母公司	合并	母公司				
一、主营业务收入	5.27	604,077,606.88	504,495,606.50	449,419,326.11	316,546,762.47	六、可供分配的利润		-403,304,860.40	-400,746,760.15	-510,958,218.10	-509,170,537.72				
减：主营业务成本	5.27	516,782,056.09	445,223,685.15	381,838,563.13	276,434,244.29	减：提取法定盈余公积		254,892.27		492,207.35					
主营业务税金及附加	5.28	2,388,511.39	1,933,118.13	4,554,576.86	1,672,982.25	提取法定公益金		254,892.27		492,207.35					
二、主营业务利润（亏损以“－”号填列）		84,907,119.40	57,338,803.22	63,026,186.12	38,439,535.93	提取职工奖励及福利基金									
加：其他业务利润（亏损以“－”号填列）	5.29	5,990,521.09	8,056,615.06	4,222,025.80	3,860,046.42										
减：营业费用		22,947,493.09	17,947,033.53	19,007,934.72	13,249,929.40										
管理费用		44,394,182.56	29,965,757.45	72,051,319.39	59,346,930.90										
财务费用	5.30	12,733,127.20	12,777,525.69	22,868,326.73	22,797,203.19	七、可供股东分配的利润		-403,814,644.94	-400,746,760.15	-511,942,632.80	-509,170,537.72				
三、营业利润（亏损以“－”号填列）		10,822,837.64	4,705,101.61	-46,679,368.92	-53,094,481.14	减：应付优先股股利									
加：投资收益（损失以“－”号填列）	5.31	4,378,027.86	8,373,716.65	47,100,993.92	51,342,124.84	提取任意盈余公积		369,463.87		795,707.31					
补贴收入	5.32			6,642,554.00	6,595,000.00	应付普通股股利									
营业外收入	5.33	96,023,170.53	95,706,287.74	2,269,550.26	1,991,035.13	转作股本的普通股股利									
减：营业外支出	5.34	383,787.87	361,328.43	5,686,457.18	5,190,152.35	八、未分配利润（未弥补亏损以“-”号表示）		-404,184,108.81	-400,746,760.15	-512,738,340.11	-509,170,537.72				
四、利润总额（亏损总额以“－”号填列）		110,840,248.16	108,423,777.57	3,647,272.08	1,643,526.48										
减：所得税		177,232.75		94,234.92		补充资料：									
少数股东损益（合并报表填列）		2,239,237.84		1,909,510.68		1.出售、处置部门或被投资单位所得收益		220,878.40	220,878.40	23,513,299.51	22,864,299.51				
加：未确认投资损失（合并报表填列）						2.自然灾害发生的损失									
						3.会计政策变更增加（减少）利润总额				-4,968,505.93	-4,806,028.69				
五、净利润（净亏损以“－”号填列）		108,423,777.57	108,423,777.57	1,643,526.48	1,643,526.48	4.会计估计变更增加（减少）利润总额				-15,148,303.23	-14,822,035.13				
加：年初未分配利润		-511,728,637.97	-509,170,537.72	-512,601,744.58	-510,814,064.20	5.债务重组损失		15,150.00							
其他转入						6.其 他									

法定代表人：钱建忠

主管会计工作的负责人：石李芬

会计机构负责人：孙韶华

上海市股份有限公司二〇〇二年度会计报表
现金流量表

编制单位:中国纺织机械股份有限公司				2002年度				金额单位:元			
项 目	注释号	合并	母公司	项 目	注释号	合并	母公司	补 充 资 料	注释号	合并	母公司
一、经营活动产生的现金流量:				三、筹资活动产生的现金流量:				1. 将净利润调节为经营活动的现金流量:			
销售商品、提供劳务收到的现金		527,645,002.45	438,642,525.75	吸收投资所收到的现金		-	-	净利润(亏损以“-”号表示)		108,423,777.57	108,423,777.57
收到的税费返还		432,101.33	-	其中:子公司吸收少数股东权益性投资收到的现金		-	-	加:少数股东损益(亏损以“-”号表示)		2,239,237.84	-
收到的其他与经营活动有关的现金	5.35.1	31,452,980.09	61,333,744.90	借款所收到的现金		106,150,000.00	100,550,000.00	减:未确定的投资损失		-	-
经营活动现金流入小计		559,530,083.87	499,976,270.65	收到的其他与筹资活动有关的现金		-	-	加:计提的资产减值准备		-6,842,280.72	-6,379,441.55
				筹资活动现金流入小计		106,150,000.00	100,550,000.00	固定资产折旧		20,108,409.45	18,966,172.21
购买商品、接受劳务支付的现金		367,476,402.07	306,557,847.46					无形资产摊销		387,344.50	30,750.28
支付给职工以及为职工支付的现金		65,611,328.89	55,489,593.06	偿还债务所支付的现金		178,090,000.00	177,490,000.00	长期待摊费用摊销		473,846.80	459,700.80
支付的各项税费		30,619,656.02	23,035,032.73	分配股利、利润或偿付利息所支付的现金		19,843,701.03	18,187,311.16	待摊费用的减少(减:增加)		22,542.29	-
支付的其他与经营活动有关的现金	5.35.2	38,789,040.61	25,071,475.08	其中:支付少数股东的股利		1,468,177.98	-	预提费用的增加(减:减少)		673,294.95	210,000.00
经营活动现金流出小计		502,496,427.59	410,153,948.33	支付的其他与筹资活动有关的现金		-	-	处置固定资产、无形资产和其他长期资产的损失(减:收益)		-95,237,944.92	-95,116,265.34
				其中:子公司依法减资支付给少数股东的现金		-	-	固定资产报废损失		471.00	-
经营活动产生的现金流量净额		57,033,656.28	89,822,322.32	筹资活动现金流出小计		197,933,701.03	195,677,311.16	财务费用		13,269,953.13	13,001,741.24
				筹资活动产生的现金流量净额		-91,783,701.03	-95,127,311.16	投资损失(减:收益)		-3,700,547.91	-7,696,236.70
								递延税款贷项(减:借项)		-	-
								存货的减少(减:增加)		16,881,294.36	7,598,154.30
				四、汇率变动对现金的影响		-15,344.73	-15,344.73	经营性应收项目的减少(减:增加)		3,335,750.05	26,917,394.85
二、投资活动产生的现金流量:								经营性应付项目的增加(减:减少)		-3,001,402.11	23,326,574.66
收回投资所收到的现金		5,100,486.19	9,285,621.63	五、现金及现金等价物净增加额		44,543,632.12	-14,847,927.24	其 他		-	-
取得投资收益所收到的现金		-	1,663,228.63					经营活动产生的现金流量净额		57,033,656.28	89,822,322.32
处置固定资产、无形资产和其他长期资产所收回的现金		62,131,851.00	901,921.00					2. 不涉及现金收支的投资和筹资活动:		-	
收到的其他与投资活动有关的现金	5.35.3	34,303,257.21	-					债务转为资本		-	-
投资活动现金流入小计		101,615,594.40	11,930,771.24					一年内到期的可转换公司债券		-	-
								融资租入固定资产		-	-
购建固定资产、无形资产和其他长期资产所支付的现金		11,325,493.80	9,677,285.91					3. 现金及现金等价物净增加情况:			
投资所支付的现金		800,000.00	800,000.00					现金的期末余额		90,491,373.89	16,705,518.13
支付的其他与投资活动有关的现金		10,181,079.00	10,181,079.00					减:现金的期初余额		45,947,741.77	30,753,445.37
投资活动现金流出小计		22,306,572.80	20,658,364.91					加:现金等价物的期末余额		-	-
								减:现金等价物的期初余额		-	-
投资活动产生的现金流量净额		79,309,021.60	-8,727,593.67					现金及现金等价物净增加额		44,543,632.12	-14,847,927.24

法定代表人:钱建忠

主管会计工作的负责人:石孝芳

会计机构负责人:孙磊华

资 产 减 值 准 备 明 细 表

编制单位：中国纺织机械股份有限公司

2002年度

金额单位：元

项 目	年初余额		本年增加数		本年转回数		年末余额	
	合并	母公司	合并	母公司	合并	母公司	合并	母公司
一、坏账准备合计	59,191,079.27	55,780,225.88	4,580,220.34	3,981,551.23	1,254,841.90	930,151.81	62,516,457.71	58,831,625.30
其中：应收账款	28,773,508.40	25,988,747.04	4,212,297.60	3,981,551.23	313,690.09		32,672,115.91	29,970,298.27
其他应收款	30,417,570.87	29,791,478.84	367,922.74		941,151.81	930,151.81	29,844,341.80	28,861,327.03
二、短期投资跌价准备合计			351,032.17	351,032.17			351,032.17	351,032.17
其中：股票投资			351,032.17	351,032.17			351,032.17	351,032.17
债券投资								
三、存货跌价准备合计	32,704,169.15	29,521,588.10	3,947,604.48	1,266,413.85	8,127,485.23	5,825,162.13	28,524,288.40	24,962,839.82
其中：库存商品	18,127,209.84	15,753,776.50	1,851,609.55		1,962,763.53	86,249.30	18,016,055.86	15,667,527.20
原材料	3,346,895.10	2,939,992.62	1,266,413.85	1,266,413.85	353,563.64		4,259,745.31	4,206,406.47
在产品	11,230,064.21	10,827,818.98	829,581.08		5,811,158.06	5,738,912.83	6,248,487.23	5,088,906.15
四、长期投资减值准备合计	25,526,163.16	25,526,163.16			4,821,295.94	4,821,295.94	20,704,867.22	20,704,867.22
其中：长期股权投资	25,526,163.16	25,526,163.16			4,821,295.94	4,821,295.94	20,704,867.22	20,704,867.22
长期债权投资								
五、固定资产减值准备合计	3,452,651.91	3,040,412.51			52,548.80		3,400,103.11	3,040,412.51
其中：房屋、建筑物	2,245,657.10	2,245,657.10					2,245,657.10	2,245,657.10
通用设备	854,350.48	794,755.41			52,548.80		801,801.68	794,755.41
运输设备	352,644.33						352,644.33	
六、无形资产减值准备合计								
其中：专利权								
商标权								
七、在建工程减值准备	31,459,237.86	31,459,237.86			31,459,237.86	31,459,237.86		
八、委托贷款减值准备	23,766,878.03	23,766,878.03			715,170.52	715,170.52	23,051,707.51	23,051,707.51

法定代表人：钱建忠

主管会计工作的负责人：石李芬

会计机构负责人：孙蓓华

- 1、在产品跌价准备本年转回主要系产品成本降低、跌价率下降所致；
- 2、长期股权投资减值准备本年转回系本公司注销部分全额计提减值准备的股权投资所致。
- 3、在建工程减值准备本年转回系本公司将喷气机专项工程中已计提减值准备的部分注销，并转入固定资产所致。

China Textile Machinery Co., Limited

2002 Annual Report

Important Notice

- 1.1 The board of directors undertakes that there is no misstatements, misleading information or significant omissions, and will take the individual and joint responsibility of truthfulness, accuracy and integrity of the information in the report.
- 1.2 Shanghai Zonghua Huyin Certified Public Accountants is the auditor of the Company's Financial Report of this year and a standardised and non-biased audit report has been thus released.
- 1.3 Herein, the Company Board Director Mr. Qian Jianzhong, CFO Ms. Shi Lifeng and Financial Department Manager Ms. Shun Peihua declare that the Financial Report of Year 2002 is true and with no omission.

Content

I. Basic Information of the Company.....	2
II. Brief Accounting Data	4
III. Changes in Capital Stock and Shareholder Info.....	7
IV. Board Directors, Supervisors and Senior Staff.....	12
V. Management and Operation System.....	15
VI. Brief Info on Shareholder Meetings.....	19
VII. Report by the Board of Directors	21
VIII. Report by the Board of Supervisors	29
IX. Events.....	32
X. Financial Report	38
XI. List of Reference Materials	68

I. Basic Information of the Company

1. Legal Chinese Name: **中国纺织机械股份有限公司**
Abbr. Of Chinese Name: **中纺机**
English Name : CHINA TEXTILE MACHINERY CO., LTD.
Abbr. Of English Name : CTM
2. Legal Representative : Qian Jianzhong
3. Secretary of the Board : Li Wenli
Authorized representative: Ying Mingang
Add : No. 1687, Changyang Rd., Shanghai
Tel : (021)65432970
Fax : (021)65455130
Email : ctmzjbk @ online.sh.cn
4. Registered add : No. 1687, Changyang Rd., Shanghai
Office add : No. 1687, Changyang Rd., Shanghai
Zip Code : 200090
Website : <http://www.ctmco.com.cn>
Email : ctmzjbk @ online.sh.cn
5. Appointed media for info disclosure: Shanghai Securities News
and Hongkong Wen Wei Po
Website appointed by China Security Regulatory Commission for
disclosure of annual report:
<http://www.sse.com.cn>
Preparation and filing place of the annual report: security
dept. Of China Textile Machinery Co., Ltd.
6. Stock listing place : Shanghai Security Exchange
Stock Abb. : A share ST CTM B share ST CTM B
Stock Code : A share 600610 B share 900906
7. Other info
Initial registration date: June 22nd 1992
Initial registration add : No. 818 Longdong Rd., Pudong New Area,
Shanghai
Latest registration date : Aug. 27th, 1997

Latest registration add : No. 1687, Changyang Rd., Shanghai
Registration No. Of legal cooperation business licence : Qi Gu
Hu Zong Zi No. 019004 (city bureau)
Taxation Registration No. : 310042607200164
Employed accounting firms:
Shanghai Zonghua Huyin Certified Public Accountants
12F Ocean Mansion, NO. 550 East Yan'an Rd, Shanghai
Horwath Intl. Certified Public Accountants
12F Ocean Mansion, NO. 550 East Yan'an Rd, Shanghai

II. Brief Accounting Data

A. Major financial indexes of this year (consolidated sheet)

Item	(currency unit: RMB)
Total profits	110,840,248.16
Net profits	108,423,777.57
Net profits apart from P&L	
Caused by non-operational activities*	12,563,516.51
Revenue from core businesses	84,907,119.40
Revenue from other businesses	5,990,521.09
Business profit	10,822,837.64
Investment income	4,378,027.86
Subsidized income	-
Non-operating net income and expenses	95,639,382.66
Net cash flow from operating activities	57,033,656.28
Net increase of cash and cash equivalents	44,543,632.12

* Note : Items and accounts apart from P&L caused by non-operational activities, which include:

(1) Stock transfer income	220,878.40
(2) Non-operating income	96,023,170.53
(3) Non-operating expense	383,787.87
Total	95,860,261.06

B. Explanations for differences results from different accounting standards:

Based on the domestic accounting standards, the net profit as provided in A share audit report by Shanghai Zhonghua Certified Public Accountants is 108,423,800 yuan. Based on the international accounting standards, the net profit as provided in B share audit report by Horwath Certified public Accountants is 123,633,000 yuan. The difference between the A share and B share financial reports on net profit and net assets are listed as below:

Item	(Currency unit : RMB 1,000 yuan) :			
	Net profit		Net assets	
	<u>Year 2002</u>	<u>Year 2001</u>	<u>End of 2002</u>	<u>End of 2001</u>

Based on international accounting standard	123,633	12,409	328,965	-13,910
Provision for bad debt	-	-13,654	-	-
Provision for inventory depreciation	-	4,506	-	-
Provision for depreciation of fixed assets	-15,209	-1,617	32,246	47,455
Based on Chinese accounting standard	108,424	1,644	361,211	33,545

C. Brief accounting data and financial indexes for the last three years (consolidated sheet)

(unit: RMB yuan)

Item	2002	2001		2000	
		Afer Adjustment	Before adjustmen	Afer Adjustment	Before adjustment
Turnover From					
Core businesses	604,077,686.88	449,419,326.11	449,419,326.11	386,688,212.00	386,688,212.00
Net profit	108,423,777.57	1,643,526.48	6,612,032.41	-356,639.71	3,563,012.89
Total assets	791,100,453.22	628,693,852.08	637,582,010.61	810,269,723.01	814,189,375.61
Shareholders' equity	361,210,825.88	33,545,099.78	42,433,258.31	31,901,573.30	35,821,225.90
Earnings per share (Dilluted)	0.304	0.0046	0.02	-0.001	0.01
Earnings per share apart from					
non-operational activities P&L	0.04	-0.11	-0.11	-0.13	-0.13
Net assets Per share	1.012	0.094	0.12	0.089	0.10
Net assets Per share					
After adjustment	0.9534	0.0267	0.05	-0.04	-0.03
Net cash flow					
Per share from investing activities	0.16	0.13	0.13	0.10	0.10
Income rate of net assets (%)	30.02%	4.90%	15.58%	-1.12%	9.95%

Note: net assets income rate and per share earings calculated based on China Security Regulatory Commission issued Regulation on Info Disclosure for Listed Companies No. 9.

Profit during	Net assets	Earning per
Report period	Per share(%)	share(yuan)

	Fully diluted	Weighted average	Fully diluted	Weighted average
Revenue from core business	23.51	96.75	0.24	0.24
Revenue from operational activities	3.00	12.33	0.03	0.03
Net profits	30.02	123.55	0.30	0.30
Earnings per share apart from P&L from non-operational activities	3.48	14.32	0.04	0.04

D. Changes of shareholders' interest and reasons for fluctuation in the report period

Item	Amount at the beginning	Up	Down	Amount at the end
Share capital	357,091,534.80	-	-	357,091,534.80
Share reserve fund	161,044,319.58	219,241,948.53	-	380,286,268.11
Balance of reserve fund	28,147,585.51	879,248.41	1,009,702.14	28,017,131.78
among which :	1,029,592.01	254,892.27	257,038.24	1,027,446.04
Public benefit fund	-512,738,340.11	109,433,479.71	879,248.41	-404,184,108.81
Undistributed profit	33,545,099.78	329,554,676.65	1,888,950.55	361,210,825.88
Shareholder equity total				

Reasons of change:

(1) The increase of share capital is 219,241,948.53 yuan, which includes the donated 103,308,421.97yuan worth stock, paid-in-kind stock, which is 113,113,039.39 and cancel of 2,820,487.17 yuan worth payables.

(2) The reserve fund increases by 879,248.41 yuan, which is the amount withdrew by the subsidiaries of the Company as listed in the consolidated report. And the decrease by 1,009,702.14yuan is caused by the fact that 1 subsidiary less than last year was covered in the consolidated report.

III. Changes in Capital Stock and Shareholder Info

A. Form of changes in capital stock (unit: share)

Year Beginning	Changes (+, -)		Year End	
	Mix, gift, accu. fund	transferred, newly issued shares	others	sum
1. Shares not in circulation				
(1) Promoter shares				
Including:				
State shares	188,923,535	-103,556,546	-103,556,546	85,366,989
Domestic legal person shares		103,556,546	103,556,546	103,556,546
Foreign legal person shares				
Others				
(2) Subscribed legal person shares	22,308,000			22,308,000
(3) Staff share				
(4) Priority shares or others				
Total shares not in circulation	211,231,535			211,231,535
2. Shares in circulation				
(1) RMB-denominated				
Ordinary shares listed in the				
PRC	25,740,000			25,740,000
(2) Domestically-listed B shares	120,120,000			120,120,000
(3) Overseas-listed shares				
(4) Others				
Total shares in circulation	145,860,000			145,860,000
3. Stocks in total	357,091,535			357,091,535

Note : during the report period, the number of state shares see decrease and the number of domestically-listed legal person shares increase by 103,556,546 shares, which mainly results from 29% of all the Company shares being transferred from Shanghai Electric (Group) Company (authorized operator being Pacific Magnelectronic (Group) Co., Ltd.) to Jiangsu Nanda High-tech Risk Investment Co., Ltd. as approved by the Finance Ministry

Nov. 2002, ref. Cai Qi (2002) No. 523.

B. Introduction of shareholders

(1) By the end of the report period, the Company had 28,233 shareholders, among which, there are 13,455 A share holders and 14,788 B share holders.

(2) Shareholders with over 5% of all the Company shares

① The authorized operating organization of over 5% state shares of the company, Pacific Magnelectronic (Group) Co., Ltd., does not impawn or freeze any of its shares. And in Nov. 2002, part of all the Company shares held by its mother company, Shanghai Electric (Group) Company, i.e. 29% of all the Company shares, were approved by the Finance Ministry to be transferred to Jiangsu Nanda High-tech Risk Investment Co., Ltd. The reference document code is Cai Qi (2002) No. 523.

② Holder of over 5% circulating shares of the Company, Jiangsu Nanda High-tech Risk Investment Co., Ltd., bought in 29% of all the Company shares from Shanghai Electric (Group) Company (authorized operator being Pacific Magnelectronic (Group) Co., Ltd.) in Nov. 2002, as approved by the Finance Ministry, ref. Cai Qi (2002) No. 523. None of the above mentioned shares are impawned or frozen.

List of the top 10 shareholders by Dec.31, 2002 :

						Unit: share
Serial No.	Shareholder Name	Year end	+/-	%	Type	
1	Jiangsu Nanda Hitech Risk Investment Co., Ltd.	103,556,546	103,556,546	29	legal person	
2	Shanghai Pacific Magnelectronic (Group)Co,Ltd.	85,366,989	-103,556,546	23.91	state shares	
3	Shanghai CTM Technology Development & Management Company	3,680,000	-310,000	1.03	circulating	
4	Shanghai Dongrun Investment	3,432,000	-	0.96	legal person	
5	Shanghai 17 th Cotton Mill	3,432,000	-	0.96	legal person	
6	Shanghai South Shanghai Real Estate Co, Ltd.	3,432,000	-	0.96	legal person	
7	Chen Yi	3,343,512	2,517,740	0.94	circulating	
8	Shanghai shenda Co, Ltd.	1,716,000	-	0.48	legal person	

9	Shanghai Narcissus Appliance Co., Ltd.	1,716,000	-	0.48	legal person
10	Chen Jie	1,630,490	1,057,670	0.46	legal person

Note: Among the above listed shareholders :

(1) Shanghai CTM Technology Development & Management Company, Mr. Chen Yi and Mr. Chen Jie own B shares.

(2) The top 10 shareholders are neither related, nor Consistent Behavior entities as defined in 《Management Rules for Information Disclosure of Listed Companies》. And it's not know whether the rest of the circulating shareholders are related/ Consistent Behavior entities or not.

(3) Jiangsu Nanda High-tech Risk Investment Co., Ltd. bought in all the 29% shares it holds from Shanghai Electric (Group) Company (authorized operator being Pacific Magnelectronic (Group) Co., Ltd.) in Nov. 2002 as approved by the Finance Ministry, ref. Cai Qi (2002) No. 523.

(3) Introduction to the dominant shareholder and the practical controller

The new dominant shareholder was changed into Jiangsu Nanda High-tech Risk Investment Co., Ltd. Dec. 20th 2002, and the new practical controller is Nanjing West New Technology Incubation Co., Ltd., relating info disclosed on Shanghai Securities News and Hongkong Wen Wei Po Dec. 18th 2002.

① Introduction to Jiangsu Nanda High-tech Risk Investment Co., Ltd.

Office add : Rm 601 BLD 029, Hi-tech Mansion, High-tech Development Zone, Nanjing

Legal person: Mr. Zuo Jiancheng

Registered capital: RMB 50 million yuan

Business scope : R&D, manufacturing, marketing and sales of, and risk investment on products related to IT, photoelectricity technology, environment technology and biology technology.

Major shareholders : Nanjing West New Technology Incubation Co., Ltd., which holds 80% of all its shares ; Nanjing University, 10% ; Nanjing Chunqiu Pharmaceutical Co., Ltd., 8% ; Nanjing Kaiwei Tele-communication Technology Co., Ltd., 2%.

② Introduction to Nanjing West New Technology Incubation Co., Ltd.

Office add : Rm 701, Hi-tech Mansion, High-tech Development Zone, Nanjing

Legal person: Mr. Diao Long

Registered capital: RMB 50 million yuan

Business scope : R&D, manufacturing, marketing and sales of products of electronic, machinery, chemical, tele-communication, power and soil instrumental industries; trading of construction materials.

Major shareholders: Nanjing West (Group) Co., Ltd., which holds 55% of all of its shares ; Yan Xiaoqun, 28.39% ; Wushan Industrial (General) Company 10.65% ; and Xi'an Tongyou Tech Co., Ltd., 5.96%.

(4) Brief introduction to shareholders with over 10% value

① Jiangsu Nanda High-tech Risk Investment Co., Ltd. and Nanjing West New Technology Incubation Co., Ltd.

(please refer to the (3) ① and (3) ②)

② As the dominant shareholder of the Company, Pacific Magnelectronic (Group) Co., Ltd. itself is affiliated to Shanghai Electric (Group) Company. Therefore, Shanghai Electric (Group) Company is the end dominant shareholder of the Company.

Shanghai Electric (Group) Company

Legal representative : Wang Chengming

Date of foundation : Year 1996

Registered capital : RMB 4.73 billion yuan

Company type : liability limited

Share ownership : state-owned

Business scope : genearl contracting of electric power project,equipment assembly or separate delivery, contracting of labor and industry investment; manufacturing and marketing of magelectronic equipment and equipment of relevant industries; technology consultancy and training for domestic or overseas projects; authorized state assets management and operation; domestic trade (excluding items specially regulated).

Pacific Magnelectronic (Group) Co., Ltd.

Legal representative : Zhu Yuhuo

Date of foundation : Aug. 1994

Registered capital : RMB 1 billion yuan

Company type : liability limited

Share ownership : state-owned

Business scope : textile machinery, textile facilities, garment machinery,

magnelectronic equipment, enviroment protection equipment, building decoration, IT engineering project,office automation, metal materials, construction materials, textile raw materials,hardware & electric appliances, daily necessities, garments and accessories,equipment rental and self-supported I&E business authorized by National Foreign Trade & Commerce Committee.

IV. Board Directors, Supervisors and Senior Staff

1. Basic info

Name list of board directors, supervisors and senior staff

Name	Sex	Age	Title	office term	unit : share		
					Shares held	Shares held	+/-
					at term	at term	
					beginning	end	
Qian Jianzhong	male	47	Chairman of the Board	02.5-04.6	0	0	
Li Peizhong	male	48	Vice-chairman	01.6-04.6	0	0	
Chen Hewen	male	55	Vice-chairman, Party committee secretary	01.6-04.6	7000	7000	
Zheng Bohua	male	50	board director, GM	01.6-04.6	10000	10000	
Zuo Jiancheng	male	35	Board Director	02.5-03.2	0	0	
Shi Lifen	female	47	Board Director, CFO	01.6-03.2	12000	12000	
Xu Limin	male	40	Board Director Vice party secretary Chairman of trade union	01.6-03.2	0	0	
Fei Fangyu	male	55	independent board director	02.6-04.6	0	0	
Gao Yong	male	50	independent board director	02.6-04.6	0	0	
Xu Zucheng	male	46	Head Supervisor	01.6-03.2	0	0	
Hu Xiajuan	female	53	No. 2 Supervisor Secretary of discipline committee	01.6-03.2	1100	1100	
Yu Zhifen	male	55	Supervisor	01.6-03.2	0	0	
Sun Peihua	female	46	Supervisor	01.6-04.6	0	0	
Zhu Zhihong	male	35	Supervisor and vice-chairman of the Supervisory	01.6-03.2	0	0	
Li Yongming	male	49	Vice GM	01.6-04.6	1030	1030	
Tang Xingjia	male	54	Vice GM	01.6-04.6	1030	1030	
Li Wenli	female	33	Board secretary	02.8-04.6	0	0	

Note :

(1) During the report period, Mr. Qian Jianzhong declared his office as the

chairman of the Board of Directors.

(2) Mr. Li Peizhong, vice president of Pacific Magnelectronic (Group) Co., Ltd., has stayed on board as the vice-chairman of the Board of the Directors since 1995.

(3) Mr. Zuo Jiancheng, chairman of the Board of Directors of Jiangsu Nanda High-tech Risk Investment Co., Ltd., declared office as a board director in Aug. 2002. He resigned Feb. 2003 as approved on the Year 2003 1st Special Board Meeting.

(4) Board Directors, Ms. Shi Lifeng and Mr. Xu Liming resigned Feb. 2003 as approved on the Year 2003 1st Special Board Meeting.

(5) 2 independent board directors, Mr. Fei Fangyu and Mr. Gao Yong declared their offices during the report period.

(6) Head supervisor, Mr. Xu Zhucheng, resigned Feb. 2003 as approved on the Year 2003 1st Special Board Meeting. He has held office as the union leader and Secretary of discipline committee with Pacific Magnelectronic (Group) Co., Ltd. since 1999.

(7) Supervisor, Mr. Yu Zhifeng, resigned Feb. 2003 as approved on the Year 2003 1st Special Board Meeting. He has held office as CFO with Pacific Magnelectronic (Group) Co., Ltd. since Dec. 2001.

(8) Supervisors, Ms. Hu Xiajuan and Mr. Zhu Zhiwen resigned Feb. 2003 as approved on the Year 2003 1st Special Board Meeting.

(9) Board secretary Ms. Li Wenli declared her office during the report period.

2. Salary

Board directors, supervisors and senior staff receive basic salary plus bonus, which is based on the Company and their personal job performance.

During the report period, 6 board directors, 3 supervisors and 3 senior staff received total annual salary 853,345 yuan from the Company. The top 3 yearly salary among board directors amount to 300,000 yuan and the top 3 yearly salary among senior staff amount to 248,225 yuan. Statistics related: 6 persons over 80,000 yuan; 6 persons below 80,000 yuan.

And each independent board director receives 30,000 yuan subsidiary per year, travelling expenses reimbursed as occurred.

And there are Mr. Qian Jianzhong, Mr. Zuo Jiancheng, Mr. Xu Zhucheng and Mr. Yu Zhifen, who are not paid by the Company.

3. Hiring and firing of senior management

During the report period, board directors, Mr. Zhang Wenqing and Mr. Hu Zhiyuan Li Fen resigned as approved on the Year 2003 1st Special Board Meeting. And meanwhile, Mr. Qian Jianzhong and Mr. Zuo Jiancheng were employed as board directors of the 4th session of Board of Directors. And board secretary Mr. Pan Xinguang resigned as approved on the 16th Meeting of the 4th Session of Board of Directors, meanwhile, Ms. Li Wenli was employed as board secretary. Mr. Zhou Junyan and Ms. Fu Xiaoqun resigned as Chief Engineer and Vice GM.

4. Employment overview

By Dec 31st 2001, the Company has 2,855 employees totally.

a. In terms of professional staff, there are 2,390 production, 42 sales, 167 technical, 46 accounting and 210 admin;

b. In terms of education, there are 7 with master's degree, 60 with university diploma and 212 with 2-3 year college diploma and 2,576 with less education. In terms of skills, 19 were awarded with the title senior technician, 150 technician and 204 junior technician.

c. The Company has been paying for 462 retirees.

V. Management and Operation System

1. Status of company management and operation organization

Since its being listed, the Company has been carefully observing the Company Law, Security Law, relevant regulation issued by CSRC and Regulation for Listing Activities with Shanghai Security Exchange, continuously improving its legal cooperation management system, regulating its operation and reinforcing info disclosure. Currently, the Company is seeking revision of Articles of Association and development of Bylaws of Shareholder Meeting and Board of Directors in accordance to the regulatory document, Management Regulations for Listed Companies, jointly issued by CSRC and National Trade & Commerce Committee on Jan 7th of 2002. Details of the current management system of the Company is as follows :

(1) Shareholder meetings: the Company has ensured equal status shareholder, especially mid and small shareholders, Security Department has been set up to maintain smooth and effective communication between the Company and its shareholders; the Company has been handling shareholder visits and telephones with attention to keep shareholders aware of operation status of the Company; the Company has also developed Bylaws for Shareholder Meeting in accordance with the CSRC-issued Suggestions on Regulating of Shareholder Meeting to regulate calling and proceeding of shareholder meetings. Shareholder meeting venue has been chosen so as that as many shareholders as possible can attend the shareholder meeting conveniently to carry out their voting right. There are also witness provided by lawyer. Related trade of the Company has been fair, pricing basis fully disclosed and related shareholders have given up voting right.

(2) Relation with the dominant shareholder: the dominant shareholder has been realizing its shareholder equity through shareholder meetings without disturbing decision or operation of the Company; the Company and the dominant shareholder have been independent from each other in personnel, assets, finance, organization and business activities. The Board of Directors, Board of Supervisors and other inner organizations are able to run independently.

(3) Board directors and the board : the Company has carefully observed the Articles of Association in board directors selection and election procedure of board

directors. Number and composition of board directors have been conforming to relevant laws, regulations and Articles of Association. There have been Bylaws of Board of Directors developed. Board directors have been responsible, hardworking in attending all board meetings and shareholder meetings, learning all relevant laws and regulations and rights and responsibilities of board directors. The Company has employed 2 independent board directors, who hold no positions other than this. And the 2 independent board directors have been carrying out their duties in accordance with relevant laws and regulations and taking care of interest of the Company and shareholders.

(4) Supervisor and the Board of Supervisors : Number and composition of supervisors have been conforming to relevant laws, regulations and Articles of Association. There have been Bylaws of Board of Supervisors developed. The supervisors have been responsible and hardworking in supervising lawfulness and rightfulness of financial activities and behaviors of board directors, managers and other senior staff.

(5) Performance evaluation and mechanism for motivation and inter-control : the Company is currently engaged in developing a set of open and transparent performance evaluation and motivation & control standards for board directors, supervisors and managers make employment of managers open, transparent and conforming to relevant laws and regulations.

(6) Interest-related parties : the Company has respected and protected adequately any rightful interests and banks, creditors such as legal cooperation, employees and customers to have mutual strength in promoting consecutive and healthy growth of the Company.

(7) Info disclosure and transparency : Board secretary is responsible for info disclosure, reception of visiting and consultation of shareholders and reinforcing communication with shareholders. The Company has been following laws, regulations and Articles of Association to disclose info truthfully, accurately, completely and timely, there has been no public accuse by Shanghai Security Exchange. The Company has thus ensured equal chance in info acquisition by all shareholders and timely disclosure of detailed background info and stock holding status of shareholders or practical controller of the Company.

(8) Features of being independent from the dominant shareholder:

a. Independent businesses : The Company is independent in its business channels, operation systems and decision-making procedures.

b.Organization : The Company does not share HR department, office or production area with the dominant shareholder and it is independent in personnel and salary management in that its GM, vice GMs and other senior management staff all receive salary from the Company, holding no positions other than board director with shareholders.

c. Assets : the Company's production and accessory equipment and facilities, land use right, trademark and intangible assets such as patented or non-patented assets are independent, and its purchasing and marketing systems run independently too.

d. Accounting: the Company has its independent finance department, with an independent accounting and financial management system developed and maintained, with independent bank account and independent taxation.

2. Weak chains and improvement measures

(1) To solve the problem of talent combination of the Board, 1 independent board director, who is a certified accountant and experienced senior manager, was employed in year 2003.

(2) Information disclosure is a weak chain of the Company. The resolution for this is to start with mind-setting change, add sense of info disclosure and sense of responsibility and reinforce it with inner control rules and procedures, build up a multi-level info disclosure system and meanwhile absorb in relevant experiences from other companies to make our system more perfect. Finally, we will make sure info disclosure is always an important part of the our daily operation and management.

(3) To increase efficiency and independence of the Board of Directors, 4 special committees including Strategy Committee, Audit Committee, Performance Evaluation & Salary Committee and Nomination Committee, which report to the Board of the Directors, will come into being during the 2nd half year of 2003.

(4) The Company is promoting technology renovation and prioritizing its product mixing, meanwhile reforming its management machnisam. To increase inner control, especially self-disipline of the management, decisions made have

been made open to public. We will start with self-discipline and regulated operations to make our company one with modern mechanism and our staff with common sense of self-discipline. To regulate our management and operation system, we have to define job responsibilities and work procedures very clearly to make the system operatable.

(5) The Company has to increase its competitiveness in the market as well as protect itself from all kinds of risks. Currently, company capital has been centralized for more efficient control. Another measure for better control is to keep to the rules set for bank loan assuring for any subsidiaries of the Company. More supervision, clear job responsibility, responsibilities authorized to different level of management and standard operation procedures are the way to minimize risk.

3. Performance of independent board directors

The 2 independent board directors have attended 6 board meetings in year 2002 since they declared their offices. They have been carrying out their duties in accordance with relevant laws and regulations and taking care of interest of the Company and shareholders. Their independent opinion has been applied to Nanjing West (Group) Co., Ltd.'s donation of 84.6% stock of Shanghai Donghao Environment Equipment Co., Ltd. to the Company, which is the related trade being fair and unharmed for the Company's interest.

VI. Brief Info on Shareholder Meetings

There have been 3 shareholder meetings held during the report period, which are Year 2001 Annual Shareholder Meeting, the 1st Special Shareholder Meeting of Year 2002 and the 2nd Special Shareholder Meeting of Year 2002.

1. Year 2001 Annual Shareholder Meeting

The meeting schedule was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on April 20th 2002. The meeting was held May 21st 2002 in the Company office building, on which 139 shareholders or their proxies (representing 199,967,662 shares, which is 55.999% of all) showed up.

Following proposals were passed:

- (1) Year 2001 Board Report ;
- (2) Year 2001 Supervisor Board Report ;
- (3) Year 2001 Final Accounting and Year 2002 Budgeting Report ;
- (4) Year 2001 Profit Distribution Plan ;
- (5) Proposal on Extending Contract with Current Accounting Service Provider ;

(6) Proposal on personnel changes to the board, in which board directors Mr. Zhang Wenqing and Mr. Hu Zhiyuan resigned and Mr. Qian Jianzhong and Mr. Zuo Jiancheng were nominated.

Shanghai Zhendan Law Firm monitored and witnessed the entire course of the meeting and provided a relevant legal advice letter. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on May 22nd 2002.

2. 1st Special Shareholder Meeting of Year 2002

The meeting schedule was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on May 28th 2002. The meeting was held June 28th 2002 in the Company office building, on which 42 shareholders or their proxies (representing 197,595,209 shares, which is 55.33% of all) showed up.

Following proposals were passed:

- (1) Proposal on Candidit List of Independent Board Directors, in which Mr.

Fei Fangyu and Mr. Gao Yong were nominated as the independent board directors of the 4th session board;

(2) Proposal on Budget of Annual Subsidiary of Independent Board Directors (30,000 yuan/ year) ;

(3) Proposal on Amendment of Company Constitution ;

(4) Shareholder Meeting Rules of Procedure

Shanghai Zhendan Law Firm monitored and witnessed the entire course of the meeting and provided a relevant legal advice letter. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on June 29th 2002.

3. 2nd Special Shareholder Meeting of Year 2002

The meeting schedule was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on Nov. 23rd 2002. The meeting was held Dec. 23rd 2002 in the Company office building, on which 83 shareholders or their proxies (representing 199,616,646 shares, which is 55.90% of all) showed up.

Following proposals were passed:

Proposal on the Company's Accepting the Donation of 84.6% Shares of Shanghai Donghao Environment Protection Equipment Co., Ltd. from Nanjing West (Group) Co., Ltd.

Shanghai Zhendan Law Firm monitored and witnessed the entire course of the meeting and provided a relevant legal advice letter. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on Dec. 24th 2002.

VII. Report by the Board of Directors

1. Company Performance

(1) Scope and status of core business

Core business scope : manufacturing and marketing of textile machinery and related equipment, leading products among which are tatting machine, non-tatting machine, stepless derailleur, powder metallurgy products and gas filling machines with measuring control.

Operation performance : income from year 2002 core business operation is RMB 604,077,700 yuan, a 34.41% % increase compared to same period of last year, profit of core business is 84,907,100 yuan, a increase of 21,880,900 yuan.

(2) Basic facts about core businesses

unit : yuan

Industry/ product	Core business income	Core business cost	Gross profit (%)	Core business profit + (%)	Core business profit - (%)	Gross profit +/- (%)
GA615 w/shuttle	115,871,676.02	93,143,249.91	19.62	59.35	44.26	75.07
GA708 Jet	35,714,529.91	36,201,283.08	-1.36	110.53	107.36	-53.23
GA74 Jiangan	26,718,923.06	23,559,786.69	11.82	-86.29	-85.60	-26.24
GA736 Jiangan	226,564,174.72	185,818,535.52	17.98	2,774.95	2,471.23	116.77
Xinlong weaving machine	84,211,453.00	90,357,529.01	-7.30	909.14	875.45	-33.68
Fittings and accessories	15,414,849.79	16,143,300.94	-4.73	-2.58	12.66	-150.04
Stepless derailleur	13,939,843.83	9,133,349.56	34.48	-2.95	-1.90	-1.99
Powder metallurgy	6,257,531.46	4,378,636.74	30.03	45.12	55.77	-13.74
General machinery	9,583,644.23	7,732,154.42	19.32	40.42	46.14	-14.07
Real estate	964,936.00	1,120,600.00	-16.13	-97.90	-97.41	-373.49
Forwarding business	23,928,213.92	21,889,580.52	8.52	61.66	59.26	19.36
Petrol machinery	27,110,263.14	18,464,092.21	31.89	-18.96	-23.00	12.61
Others	37,564,819.43	31,090,572.41	17.23	14.59	16.70	-7.99
Counteracted	-19,767,171.63	-19,767,171.63	-	1.01	1.01	-
Total	604,077,686.88	519,265,499.38	14.04	34.41	35.99	-6.63

(3) Sales figures of core businesses

unit : yuan

Region	Core business income	+/- (%)
Shanghai	193,847,574.00	32.71
Jiangsu	122,889,677.35	- 21.16
Zhejiang	86,873,574.10	93.12

Shandong	85,557,378.08	48.65
Guangdong	27,667,898.87	353.33
Heibei	19,121,795.52	213.46
Anhui	14,053,526.37	173.12
Shanxi	10,035,452.65	439.21
Beijing	10,025,285.09	19,950.57
Chongqing	8,030,284.45	21.34
Tianjin	6,445,685.48	- 9.49
Fujian	5,902,839.40	48.30
Hubei	5,241,142.43	75.88
Sichuan	5,077,487.50	221.08
Hunan	4,934,990.64	-48.16
Liaoning	4,770,629.06	225.49
Henan	4,512,398.17	80.12
Heilongjiang	4,105,011.98	36.44
Jiangxi	2,285,512.14	- 49.54
Shanxi	1,083,563.44	967.55
Hainan	645,410.26	6,354.10
Yunnan	388,803.42	- 69.72
Ningxia	175,491.45	114.01
Jilin	106,459.31	850.53
Guangxi	25,000.00	- 75.25
Xinjiang	20,000.85	- 78.72
Inner Mongolia	17,739.32	- 85.22
Guizhou	3,000.00	- 90.00
Qinghai	1,247.18	- 98.70
Counteracted	-19,767,171.63	1.01
Total	604,077,686.88	34.41

(4) Business performances of dominant shareholders and other shareholders

Company name	(%)	core business	core business net profit income
			(10,000 yuan) (10,000 yuan)
Shanghai Zhongyi Petroleum Equipment Co., Ltd.	80	processing and manufacturing of petroleum machinery	2,711.03 221.33
CTM Yijin Machinery Co., Ltd.	49	processing and selling Of industry machinery	958.36 40.31
CTM Metal Powder Products Company	48.33	processing and manufacturing Of powder metallurgy products	625.75 44.97
CTM Metal Product Company	36	processing of cold drawing and forming	3,756.48 73.66
CTM Transportation Company	30	maintenance and forwarding of magelectronic equipment	2,392.82 32.43

(5) Major suppliers and customers

Top 5 suppliers	RMB 148,347,900 yuan	% of annual purchase value	40.87
Top 5 customers	RMB 206,396,000 yuan	% of annual sales value	34.17

(6) Operational problems and solutions

There has been rat race competition in the industry of textile machinery industry and the Company has lost market share during such orderless price war.

To ensure sustainable development of the Company, we have focused on following aspects :

- a. Development of core technology and continuously improve existing technology, deepening adjustment of product mix, quickening of product upgrading, enhancing competitiveness of leading products;
- b. Strict management and production QA, market exploring and expansion of market share;
- c. Independent accounting, cut and move of employees, overall upgrading of personnel qualification and production cost saving.

2. Investment

(1) An ongoing real estate development project, partner Shanghai Huayun Real Estate Development and Management Company, location Zhangpu Town, Kunshan City, total investment 15,440,000 yuan, no profit yet.

(2) Industrial-purpose land 90 Mu (a Chinese area unit) purchased at 8,190,000 yuan, land use right certificate obtained, no profit yet.

3. Financial status (consolidated report)

Financial status and operation performance of the Company:

currency unit : yuan

Item	2002	2001	change in(%)
Total assets	791,100,453.22	628,693,852.08	25.83
Long-term loans	-	-	-
eholders' equity	361,210,825.88	33,545,099.78	976.79
Revenue from main operations	84,907,119.40	63,026,186.12	34.72
Net profits	108,423,777.57	1,643,526.48	6,497.02

Reasons for fluctuation:

(1) The 25.83% increase of total assets is out of the donated stock, debt restructure, compensation for land claimed back and better operation performance of this year.

(2) The 976.79% increase of shareholder equity results from the donated stock, debt restructure, compensation for land claimed back and better operation performance of this year

(3) Reason for the 34.72% increase of core business profit is out of remarkable increase of sales volume thanks to the going up textile machinery market although the unit price has been driven down.

(4) Reason for the 6,497.02% increase of net profit is the increase of core business profit, successful cost saving and a sum of compensation for land claimed back by government.

4. Year 2003 Prospect

In year 2003, the Company will still focus on development and creation based on aasset restructuring to maximum profit of all shareholders.

(1) To make profit : more technology will be involved in products, production cost will be brought down further to be competitive and hold market share, especially for the core business, textile machinery.

(2) To seek for global cooperation: put strength on R&D meanwhile introduces advanced techonology to catch up with the rest of the world. This will not only be a policy.

(3) To engage in industry integrator: to grow into the No. 1 textile machinery manufacturer in China, CTM will purchase, rent, merge or restructure with other strong competitors, domestic or overseas.

(4) Capital operation to introduce: year 2003 will see restructuring of shareholder, debts, encashing inventory capital and introducing of good assets to improve efficiency of capital operation.

5. Routine work of the Board

Board meetings during the report period:

There have been totally 17 board meetings during the report period.

(1) 6th meeting of the 4th session of Board of Directors was held on Feb. 22nd 2002, on which the report on transferring part of the state shares of the Company to Qinghai Dongsheng Chemical Co., Ltd. and Jiangsu Nanda High-tech Risk Investment Co., Ltd. was read.

(2) 7th meeting of the 4th session board was held on March 12th 2002, on which Pacific Magnelectronic (Group) Co., Ltd. reported on entrusting part of the state shares of the Company to a certain operator; background of entrusted state share operator, building up board committees and setting up rules of procedures for them.

(3) 8th meeting of the 4th session board was held on April 18th 2002. On this meeting, there have been following proposals passed: the Year 2001 Board Report, the Year 2001 GM Report, Year 2001 Annual Report and its digest, Year 2001 Final Accounting and Year 2002 Budgeting Report, Year 2001 Pre-plan for Profit Distribution, Year 2002 Prediction of Profit Distribution Policy, proposal on extending accounting services with current Financial Report Auditor, Accounting Estimation, Change of Accounting Standard and Other Issues, Change of Personnel of the Board of Directors and Issues Relating to Coming Shareholder Meeting of Year 2001. Resolution info of the meeting was published on Shanghai Securities News and Hongkong Wen Wei Po on April 20th 2002.

(4) 9th meeting of the 4th session board was held on April 23rd 2002, on which the 1st Quart Report was passed. The quartly report was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on April 23rd 2002.

(5) 10th meeting of the 4th session Board of Directors was held on May 21st 2002. New board chairman was elected and changes to senior management staff were made. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on May 22nd 2002.

(6) 11th meeting of the 4th session of Board of Directors was held on May 25th 2002, on which following proposals were passed: Nomination of Independent Board Directors; Amendment on Company Constitution; Rules of Procedure for Shareholder Meeting; Management Rules on Information Disclosure; co-development of real estate on at Zhangpu Town in Kunshan City; Decision on the 1st Special Shareholder Meeting of Year 2002. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on May 28th

2002.

(7) The 12th meeting of 4th session Board of Directors was held on June 4th 2002. Following proposals were passed on the meeting: Proposal on Assuring for San Mao Textile Co., Ltd. Bank Loaning ; Issuing Assuring Letter; and Report on Self-discipline Mechanism of Modern Listed Company.

(8) The 13th meeting of 4th session Board of Directors was held on June 13th 2002, on which the proposal on assuring for bank loaning of Shanghai Sanmao Textile Co., Ltd. was passed. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on June 14th 2002.

(9) The 14th meeting of 4th session Board of Directors was held on June 26th 2002, on which the report on recombination of debts out of bank loans and the report on issues concerned by the Mid-year Report were read.

(10) The 15th meeting of 4th session Board of Directors was held on June 28th 2002, on which the proposal on the Reconciliation Agreement on paying off bank loans in kind was passed. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on June 29th 2002.

(11) The 16th meeting of 4th session Board of Directors was held on Aug. 6th 2002, on which the Year 2002 Mid-year Report and its digest; Proposal on Personnel Change to Senior Management; Proposal on Adjustment of Company Organization; Proposal on Loaning from Fujian Xingye Ban, Shanghai Branch, Zhabei Office; and CTM Labor Contract Working Rules. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wen Wei Po on Aug. 8th 2002.

(12) The 17th meeting of 4th session Board of Directors was held on Sept. 10th 2002, on which the proposal on loaning from Shanghai Pudong Development Bank was passed. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on Sept. 11th 2002.

(13) The 18th meeting of 4th session Board of Directors was held on Oct. 24th 2002, on which following proposals were passed: the 3^d Quart Report of Year 2002, Proposal on Drawing Back of Investment and Interest on CTM Zhenghong Powder Metallurgy Products Co., Ltd. and Shanghai CTM Deraillieur Co., Ltd. ; Proposal on Extending of Assuring Contract with Shanghai Bank, Pudong Branch; and Inner Control Rules on Information Disclosure. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on Oct. 26th 2002.

(14) The 19th meeting of 4th session Board of Directors was held on Nov. 22nd 2002, on which following proposals were passed: Proposal on the Company's accepting the 84.6% shares of Shanghai Donghao Environment Protection Equipment Co., Ltd. Donated by Nanjing West (Group) Co., Ltd. ; Proposal on Purchasing Industrial-purposed Land at Zhangpu Town in Kunshan City; and Proposal on Change of Personnel of Senior Management. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on Nov. 23rd 2002.

(15) The 20th meeting of 4th session Board of Directors was held on Dec. 6th 2002. The proposal on loaning from Transportation Bank, Shanghai Branch, Yangpu Office was passed. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on Dec. 7th 2002.

(16) The 21st meeting of 4th session Board of Directors was held on Dec. 30th 2002. The proposal on loaning from Transportation Bank, Shanghai Branch, Yangpu Office was passed. The meeting resolution was disclosed on Shanghai Securities News and Hongkong Wenwei Po on Jan. 2nd 2003.

(17) The 22nd meeting of 4th session Board of Directors was held on Dec. 31st 2002, on which the proposal on Amendment of the Reconciliation Agreement was passed.

Status of implementation of resolutions : During 2001, the Company Board of Directors has been responsible to all shareholders in carrying out their own job responsibilities and any resolutions came out of shareholder meetings.

6. Pre-plan for profit distribution and capital accumulation transferring to capital stock

As audit result provided by Shanghai Zonghua Huysin Certified Public Accountants, the Company realized net profit of 108,423,800 yuan , and 12,563,500 yuan net profit, which does not include non-operational P&L, in 2002 as shown on the audited consolidated sheet. Because accumulated undistributed profit till end of year 2002 is a negative - 404,184,100 yuan, the Board of Directors decided that there will be no distribution of year 2002 profit, nor will there be capital accumulation transferred into capital stock. The pre-plan will be submitted for approval on year 2002 shareholder meeting.

7. Other issues

- ① The Company keeps Shanghai Securities News and Hongkong Wen Wui Po as designated media for info disclosure. During the report period, no change to designed media for info disclosure.
- ② Based on Enterprise Accounting Standards and the Company rules and policies on accounting, following items have been included in this year's financial report: special provision 9,252,501.67 yuan on part of the Company assets and provision on asset depreciation 7,877,219.88 yuan, liquidation of unable due payment 2,820,487.17 yuan and cancel in-progress project fund 31,459,237.86 yuan. The Board holds the opinion that it is good for the future development of the Company to dispose history bad assets, and it will not cause impact on the Company financial status of Year 2002, therefore gives approval on it.

VIII. Report by the Board of Supervisors

1. Meetings of the Board of Supervisors :

During the report period, there have been 7 meetings held by the Board of Supervisors.

(1) The 6th meeting of the 4th session of Board of Supervisors was held on April 18th 2002. There are following proposals passed: Supervisory Board Report, Board of Directors' Report (which was passed on 8th meeting of the 4th session Board), GM Report, Year 2001 Annual Report and its digest, Year 2001 Final Accounting and Year 2002 Budgeting Report, Pre-plan of Year 2001 Profit Distribution, Report on Extending Contract with Current Financial Report Auditor, Accounting Estimation, Change of Accounting Standard and Other Issues, Change of Personnel of the Board of Directors and Issues Relating to Shareholder Meeting of Year 2001. Resolution info of this meeting was published on Shanghai Securities News and Hongkong Wen Wui Po on April 20th 2002.

(2) The 7th meeting of the 4th session Board of Supervisors was held on April 23rd 2002, on which the 1st Quarter Report of Year 2002 was passed.

(3) The 8th meeting of the 4th session Board of Supervisors was held on May 25th 2002, on which following proposals were passed: Proposal on Nomination of Independent Directors; Proposal on Budget of Independent Directors' Annual Subsidiary ; Proposal on Amendment of Company Constitution, Rules of Procedure for CTM Shareholder Meeting ; Management Rules for CTM Information Disclosure ; and Proposal on Co-development of Real Estate at Zhangpu Town in Kunshan City. Resolution info of the meeting was published on Shanghai Securities News and Hongkong Wen Wei Po on May 28th 2002.

(4) The 9th meeting of the 4th session Board of Supervisors was held on June 4th 2002, on which the Proposal on Assuring for Bank Loaning of Shanghai Sanmao Textile Co., Ltd. was passed and a CSSR issued document, Concept and Survey of Modern Enterprise Mechanism of Listed Companies (ref. Zheng Jian Fa [2002]32) was read.

(5) The 10th meeting of the 4th session Board of Supervisors was held on June 26th 2002, on which the Proposal on Re-structuring of Bank Debts.

(6) The 11th meeting of the 4th session Board of Supervisors was held on

Aug.6th 2002, on which there were following proposals passed: Mid-term Report of Year 2002 and its digest; Proposal on Personnel Change of Senior Management; Proposal on Adjustment on Company Organization; Proposal on Loaning with Fujian Xingye Bank, Shanghai Branch, Zhabei Office; and Working Rules on Implementation of CTM Labor Contract.

(7) The 12th meeting of the 4th session Board of Supervisors was held on Nov. 22nd 2002, on which the Proposal on CTM's Accepting the 84.6% Shares of Shanghai Donghao Environment Protection Equipment Co., Ltd. Donated by Nanjing West (Group) Co., Ltd.; Proposal on Purchasing of Industrial-purposed Land at Zhangpu Town in Kunshan City; and Proposal on Personnel Change of Company Senior Managemtn. Resolution info of this meeting was published on Shanghai Securities News and Hongkong Wen Wei Po on November 23rd 2002.

2. Independant options on year 2001 issues

During the report period, the Company Board of Supervisors have been carrying out their job responsibilities in accordance with laws, regulations and Articles of Association. The Board of Supervisors attended 12 meetings among the 6th to 22nd meetings of the 4th session Board of Directors to monitor decision making of the Company, work behaviors of board directors, GM and other senior management staff, finance and inner control systems. Hereunder are views from the Board of Supervisors :

(1) The Company has been operating lawful in 2002, with inner control system improved step by step, board directors, managers and other senior staff done no harm to interest of the Company.

(2) Year 2002 accounting activities of the Company have been criterion conforming, finance report reflecting the truth of the Company finance and operation performance. Bad debt provision for over 3-year-old receivables and depreciation provision for over 5-year-old inventories have been taken into account, long-in-book payables have been transferred to capital fund, and in-progress projects not likely to recover have been cancelled. The above mentioned accounting practices conform to Reply to Questions Relating to Implementation of Accounting Standards and Other Applicable Rules, as issued by the Finance Ministry, ref. Cai Kuai (2002) No.18.

(3) To facilitize asset re-combination, improve operation efficiency and optimize

assets structure, the Company has accepted 84.6% shares of Shanghai Donghao Environment Protection Equipment donated by Nanjing West (Group) Co., Ltd. The Supervisory Board holds the opinion that the shares received are quality assets obtained at 0 cost, which are good for improving CTM's assets combination, and good for interest of all shareholders of CTM. The shares were audited and evaluated before being donated. This is a case of related of trade.

(4) Based on the need of reorganization and adjustment of the Company assets, the Company signed the Agreement on Peeling off Debt from Assets with Pacific Magnelectronic (Group) Co., Ltd. on November 26th 2001. It is a related trade yet non-harm to the Company.

IX. Events

1. Important lawsuits and arbitration cases during the report period and any progress, results or influence of those kinds, which are not disclosed in the last annual report.

(1) A verdict to the lawsuit filed against Shanghai Dingyingfu Printing and Dying Industry Company by Pudong Development Bank and CTM on consigned bank loaning was passed Aug. 26th 1998 by Shanghai No. 2 Mid People's Court, ref. (1998) Hu Er Zhong Jing Chu Zi No. 418. The verdict says Shanghai Dingyingfu Printing and Dying Industrial Co., Ltd. will pay back principal 500,000USD and penalty interest to CTM and Pudong Development Bank, and Zhaotun Industrial Company, Qingpu County is related and responsible for paying too. Till March 2002 CTM had collected part of the principal, RMB 896,400 yuan. The case is closed yet part of payment ongoing.

(2) Pudong Development Bank and the Company filed a lawsuit with Shanghai No. 2 Mid People's Court against Jiangsu Xiangfeng Fibre Textile (Group) Co., Ltd.. The 1st instance verdict, ref. (1999) Hu Er Zhong Jing Chu Zi No. 428) passed on Feb. 16th 2000 is in 10 days Jiangsu Xiangfeng shall pay off the principal 2 million USD and overdue penalty interest, and Dongtai Investment Company is related and responsible to pay too. The payment has not been made till Dec. 31st 2002.

(3) June 15th 2001, Yancheng Entrust Investment Company did not accept the Shanghai No. 2 Mid People's Court's verdict, which says in 10 days Dongtai Fine Silk Spinning Company shall pay off principal 400,000 USD and overdue penalty interest to CTM and Pudong Development Bank; and Yancheng Entrust Investment Company is related and responsible for paying too, ref. (2001) Hu Er Zhong Jing Chu Zi No. 54. Yancheng appealed for further trial by People's High Court of Shanghai. The final verdict, ref. (2001) Hu Gao Jing Zhong Zi No. 327, passed by Shanghai High Court June 3rd 2002 is Yancheng Entrust Investment Company is not responsible for paying. The former Yangcheng Entrust Investment Company changed (new name being Taicheng Investment Company) is liable for its assuring behavior legally. The payment has not been made till Dec. 31st 2002.

(4) In June 2001, Yancheng Entrust Investment Company did not accept the Shanghai No. 2 Mid People's Court's verdict, which says Yancheng is related and

responsible to pay off Dongtai Silk Company's debt 681,384.34 USD to CTM and Pudong Development Bank, ref. (2001) Hu Er Zhong Jing Chu Zi No. 103, and appealed for further trial by People's High Court of Shanghai. The final verdict passed by Shanghai High Court June 3^d 2002 is Yancheng Entrust Investment Company is not responsible for paying. The formal Yangcheng Entrust Investment Company changed (new name being Taicheng Investment Company) is liable for its assuring behavior legally. The payment has not been made till Dec. 31st 2002.

(5) In Aug. 2001, CTM filed a lawsuit against Shanghai Anda Cotton Spinning Factory with Shanghai Yangpu District People's Court to get back overdue purchase order payment RMB 1,225,576.28 yuan. After the trial on court, a reconsiliation was made Feb. 9th 2002 that Anda Cotton Spinning Factory will pay in kind in form of 6 second-hand weaving machines of model TP520/2 and pay for legal service fee RMB 10,000 yuan. The Company sold the 6 weaving machines at RMB 200,000 yuan totally in April 2002. The case is closed and enforcement completed.

(6) In March 20th 2002, CTM filed a lawsuit against Shandong Tengzhou Cloth Weaving Plant with Shanghai Yangpu District People's Court to get back overdue purchase order payment. The verdict passed June 17th 2002 is the defendant shall pay off the overdue purchase payment, which amounts to RMB1,170,000. Shanghai Yangpu District People's Court started to implement the verdict Dec. 18th 2002 and sealed up 452 units of model 1511M and 1515 weaving machines and 56 units of model GA743, and shut down 12,000 SQM of Shangdong Tengzhou's office area. The case is closed.

(7) On Nov 26th 2002, CTM filed a lawsuit with Shanghai Yangpu District People's Court against Jiangsu Qidong Weaving and Dying Plant to pay 4,491,990.50 yuan overdue purchaes payment and a certain amount of interest thus occured. Meanwhile, Changjiang Rural Area Credit Union and Mr. Shi Bin, the legal person of Qidong Weaving and Dying Plant's superior unit, The Municipal Government of Huiping Town, Qidong City, who assured for the mentioned amont of debt, were held responsible for paying too. Meanwhile, Shanghai Yangpu District People's Court froze 1,935,000 worth bank account of Changjiang Rural Area Credit Union as requested by CTM. The defendant questioned jurisdiction of Shanghai Yangpu District People's Court and appealed. Dec. 20th 2002, Shanghai Yangpu District People's Court overruled the defendant's appeal. The defendant appealed the 2nd

time to Shanghai No. 2 Mid People's Court, and till now, the case is still in trial.

(8) On May 17th 2002, Jiangsu Changzhou Golden Sun Textile Co., Ltd. filed a lawsuit with Shanghai No. 2 Mid People's Court against CTM because of the quality problems with the textile machines sold to them. The plaintiff wanted refund, which is 3,760,000 yuan, and requested compensation to the financial loss thus caused, which is 2,290,000 yuan (totally 6,050,000 yuan). As consigned by Shanghai No. 2 Mid People's Court, the Textile Machinery Quality Monitor Center, which affiliated to the Bureau of State Textile Industry inspected the concerned textile machines and made the conclusion that they were quality standard conformed.

(9) The Bank of China, Shanghai Branch filed a lawsuit against the 3 companies, which are Shanghai Pacific Machinery I&E Company, Shanghai Machinery I&E (Group) Co., Ltd. and CTM. The first instance verdicts passed by Shanghai No. 2 Mid People's Court on Aug. 25th 2000, ref. (2000) Hu Er Zhong Jing Chu Zi No. 205, 206 and 207 are Shanghai Pacific Machinery I&E Company shall pay off principal 34,000,000 yuan and overdue penalty interest, and Shanghai Machinery I&E (Group) Company and CTM are related and responsible to pay too.

2. Selling, merging and buying during the report period

The 19th Meeting of the 4th Session of Board of Directors on Nov. 22nd 2002 passed the Proposal on CTM's Accepting the 84.6% Shares of Shanghai Donghao Environment Protection Equipment Co., Ltd. Donated by Nanjing West (Group) Co., Ltd. The shares received are evaluated to be of 102,837,286.51 yuan net asset value, which are quality assets, good for improving the Company's assets' structure and brings new business area and new growth point. The net assets value of the Company has thus increased remarkably and debt rate dropped remarkably. Meantime, the core business products will be of two groups, one features textile machinery and environment protection equipment, and the other features glue powder and rubber & plastics. The case is a related trade. The relevant information was published on Shanghai Securities News and Hongkong Wen Wei Po on Nov. 23rd 2002.

3. Important related trade during the report period (details refer to section 2)

4. Important contracts

(1) During the report period, there were no trusteeship, contract or rental cases involving with the Company.

(2) By December 31st 2002, the Company provided warranty for 35,000,000 yuan worth bank loan for Shanghai Sanmao Textile Co., Ltd., and for Shanghai CTM Yijin Machinery Co., Ltd., 600,000 yuan. Besides the above mentioned, the Company also provided warranty for 5 million worth legal person shares for Shanghai CTM Tooling Company.

(3) During the report period, the Company has not entrusted management of cash capital.

(4) The Proposal on Reconciliation Agreement on Paying off Bank Loan in Kind was passed on the 15th Meeting of the 4th Session of Board of Directors on June 28th 2002.

The relevant information was announced on Shanghai Securities News and Hongkong Wen Wei Po on June 29th 2002.

(5) The 11th Meeting of the 4th Session of Board passed the Proposal on Co-developing of Real Estate at Zhangpu Town in Kunshan City May 25th 2002.

To liquidize inventory capital, CTM and Shanghai Huayun Real Estate Development and Management Company jointly invested 8 million yuan to register a real estate company to develop East Share of Shuangyang Lake of Pingtou Village, Zhangpu Town, Kunshan City. Among the 8 million yuan registered capital, 10% invested by CTM and 90% by Shanghai Huayun. The total investment on the development project is about 150,000,000 yuan, in which 15,440,000 yuan worth of land is invested in kind by CTM, which is 10% of all, and 135,000,000 yuan invested in cash by Shanghai Huayun, which is 90% of all. The relevant information was announced on Shanghai Securities News and Hongkong Wen Wei Po on May 28th 2002.

(6) The 19th Meeting of the 4th Session of Board of Directors held on Nov. 22nd 2002 passed the Proposal on Purchasing Industrial-purposed Land at Zhangpu Town in Kunshan City.

To relocate production of middle or low scale of products and optimize product mixing, the Company bought 90 Mu of industrial-purposed land at

Zhangpu Town in Kunshan City.

Basic facts about the purchased land: it is located in Dashi Industry Park of Zhangpu Town in Kunshan City, convenient to travel around by crossing the South-North major roads connecting the local airport, unit price being 91,000 yuan/mu, total price 8,190,000 yuan. The relevant information was announced on Shanghai Securities News and Hongkong Wen Wei Po on Nov. 23rd 2002.

(7) The Compensation Agreement on the state-owned land claimed back by the industrial government authority of Shanghai Yangpu District was signed at Shanghai Yangpu District Land Development Center on Dec. 27th 2002. The land claimed back by government used to a polluted area, where the affiliated Foundry Plant is located, detailed address being No. 1193 Hejian Rd. Shanghai, total area 67,780 SQM. Relaimed by Shanghai Yangpu District Land Development Center according to Management Rules for Purchasing, Storing and Transferring of Use Right of State-owned Land in Shanghai (trial), the Company received a sum of moving compensation of 122,004,000 yuan. Since there is profit after fees and taxes cost, this case heavily influences the net profit of the Company this year. The relevant information was announced on Shanghai Securities News and Hongkong Wen Wei Po on Dec. 31st 2002.

5. Employment of Certified Public Accountants

The Company has extended the service contracts with Hbrwath Intl. Certified Public Accountants and Shanghai Zhonghua Huyin Certified Public Accountants, who are responsible for overseas and domestic auditing. Payments for both of the mentioned auditors are RMB 550,000 yuan.

6. No discipline, administrative penalty and criticism in form of announcement by CSRC and public accusation by security exchanges during the report period.

7. Other events

(1) Non-adjustment issues after issuance of the balance sheet

Till the day the financial report was issued (March 24th 2003) there had been no issues that would affect understanding of the financial report.

(2) Other events

A. On the 18th Meeting of the Board of Directors on Oct. 24th 2002, the Agreement on Investment Withdraw signed June 21st 2002 with the Company's subsidiary, Shanghai CTM Deraillleur Co., Ltd. was passed. Based on the net assets value, the total 4,388,322.52 yuan was withdrew through internal account movement on Aug. 31st 2002, no investment P&L occurred.

B. On Nov. 5th 2002, the former donimant shareholder Pacific Magnelectronic (Group) Co., Ltd., Jiangsu Nanda High-tech Risk Investment Co., Ltd. and Guangzhou Saiqingde Investment & Development Co., Ltd. signed a Stock Transfer Agreement, Pacific sold 103,556,546 state shares and 32,138,237 social legal person shares of CTM to the latter two at a price of 0.145 yuan/share. The transfer was approved by the National Finance Ministry, ref. Cai Qi (2002) 523 and 567. Till Nov. 31st 2002, the 103,556,546 state shares had been changed into social legal person shares and transferred to Jiangsu Nanda and the 32,138,237 social legal person shares have been transferred till Jan. 10th 2003.

X. Finance Report

AUDITORS' REPORT TO THE SHAREHOLDERS OF CHINA TEXTILE MACHINERY STOCK LIMITED

(incorporated in the People's Republic of China with limited liability)

We have audited the financial statements of China Textile Machinery Stock Limited ("the Company") and its subsidiaries (collectively "the Group") for the year ended 31 December 2002 on pages 2 to 30 which have been prepared in accordance with International Accounting Standards.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors of the Company are responsible for the preparation of financial statements that give a true and fair view. In preparing financial statements that give a true and fair view, it is fundamental that appropriate accounting policies are selected and applied consistently.

It is our responsibility to form an independent opinion, based on our audit, on those accounts and to report our opinion to you.

BASIS OF OPINION

We conducted our audit in accordance with International Auditing Standards issued by the International Federation of Accountants. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgments made by the Directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Group's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations that we considered necessary in order to provide us with sufficient evidence to give reasonable assurance as to whether the financial statements are free from material misstatement. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion, the financial statements give a true and fair view, in all material respects, of the state of affairs of the Group as at 31 December 2002 and of its profit and cash flows for the year then ended.

BDO International
Certified Public Accountants
Shanghai, China, 24 March 2003

CHINA TEXTILE MACHINERY STOCK LIMITED

CONSOLIDATED INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2002

		<u>2002</u>	<u>2001</u>
	Note	RMB '000	RMB '000
Turnover	4	604,078	449,419
Cost of sales		<u>(501,573)</u>	<u>(356,773)</u>
		102,505	92,646
Other revenue	5	8,871	6,715
Selling expenses		(22,948)	(19,008)
Administrative expenses		(43,718)	(82,771)
Other operating expenses	6	<u>(2,772)</u>	<u>(10,241)</u>
Profit/(Loss) from operations		41,938	(12,659)
Financial expenses	7	(13,318)	(23,091)
Gain from investment	8	3,480	20,007
Gain from disposal of long-term investment	9	<u>221</u>	<u>23,513</u>
Profit before taxation and abnormal gains		32,321	7,770
Abnormal gains	10	<u>93,728</u>	<u>6,643</u>
Profit before taxation	11	126,049	14,413
Income taxation	12	<u>(177)</u>	<u>(94)</u>
Net profit before minority interests		125,872	14,319
Minority interests		<u>(2,239)</u>	<u>(1,910)</u>
Net profit for the year		123,633	12,409
Transfer to:			
Statutory reserve		(255)	(492)
Statutory public welfare fund		(255)	(492)
General reserve		<u>(369)</u>	<u>(796)</u>
Retained profit for the year		<u>122,754</u>	<u>10,629</u>
Basic earnings per share	13	<u>RMB 0.346</u>	<u>RMB 0.035</u>

The accompanying notes form an integral part of these financial statements.

CHINA TEXTILE MACHINERY STOCK LIMITED

CONSOLIDATED BALANCE SHEET

AS AT 31 DECEMBER 2002

	Note	<u>2002</u>	<u>2001</u>
		RMB'000	RMB'000
Non-current assets			
Intangible assets	14		
		42,130	16,706
Fixed assets	15		
		207,020	160,146
Construction in progress	16		
		397	28,364
Long-term investments	17		
		94,598	76,641
Other long-term assets	18		
		<u>71</u>	<u>515</u>
		344,216	282,372
Current assets			
Inventories	19		
		162,440	161,748
accounts receivable	20		
		46,985	36,948
Notes receivable			
		2,850	2,332
Prepayments and other receivables	21		
		90,982	35,921
Short-term investments			
		10,664	15,903
Other current assets			
		45	67
Cash and cash equivalents			
		<u>100,672</u>	<u>45,948</u>
		414,638	298,867
		-----	-----
Current liabilities			
Accounts payable			
		122,273	120,739
Notes payable			
		5,607	----
Accruals and other payables			
		109,984	128,133
Short-term loans	22		
		155,346	331,163
Tax payable			
		7,868	5,585
Dividends payable			
		<u>776</u>	<u>1,654</u>
		401,854	587,274
		-----	-----
Net current assets/(liabilities)		<u>12,784</u>	<u>(288,407)</u>
Total assets less current liabilities			
carried forward		357,000	(6,035)

	Note		<u>2002</u>		<u>2001</u>
		RMB'000	RMB'000	RMB'000	RMB'000
Total assets less current liabilities brought forward			357,000		(6,035)
Non-current liabilities					
Long-term loans		----	----	----	----
			357,000		(6,035)
Minority interests			<u>(28,035)</u>		<u>(7,875)</u>
Net assets			<u>328,965</u>		<u>(13,910)</u>
Shareholders' equity					
Share capital	23		357,092		357,092
Reserves	24		398,054		178,943
Accumulated losses	24		<u>(426,181)</u>		<u>(549,945)</u>
			<u>328,965</u>		<u>(13,910)</u>
On behalf of the Board					

Director

Director

The accompanying notes form an integral part of these financial statements.

CHINA TEXTILE MACHINERY STOCK LIMITED

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2002

		<u>2002</u>		<u>2001</u>	
	Note	RMB'000	RMB'000	RMB'000	RMB'000
Operating activities					
Net cash inflow from operating activities	25		56,448		47,520
Investing activities					
Interest received		585		223	
Net cash inflow from accepting donated subsidiary	26	34,383		----	
Proceeds from disposal of fixed assets		1,032		683	
Proceeds from disposal of long-term investment		169		758	
Proceeds from disposal of short-term investment		9,116		21,872	
Dividend received		----		2,298	
Abnormal gains-government subsidy of land removal and replacement		61,100		----	
Purchasing of fixed assets		(3,135)		(3,187)	
Increase in short-term investment		----		(2,183)	
Net cash outflow of disposal of subsidiary	27	(4,185)		----	
Obtaining of intangible assets		(8,190)		----	
Increase in long-term investment					
		<u>(800)</u>		<u>----</u>	
Net cash inflow from investing activities			90,075		20,464

CHINA TEXTILE MACHINERY STOCK LIMITED

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2002

(Continued)

		<u>2002</u>		<u>2001</u>	
	Note	RMB'000	RMB'000	RMB'000	RMB'000
Financing activities					
Dividend paid to minority interest		(1,468)		(735)	
Interest expenses		(18,376)		(14,897)	
Repayment of bank loan		(178,090)		(354,553)	
New borrowed bank loan		106,150		326,700	
Secured fixed-term deposit		(10,181)		----	
Net cash outflow from financing activities			(101,965)		(43,485)
Effect of foreign exchange rate			<u>(15)</u>		<u>2</u>
Increase in cash and cash equivalents			44,543		24,501
Cash and cash equivalents at 1 January 2002			<u>45,948</u>		<u>21,447</u>
Cash and cash equivalents at 31 December 2002			<u>90,491</u>		<u>45,948</u>

The accompanying notes form an integral part of these financial statements.

CHINA TEXTILE MACHINERY STOCK LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2002

	Share capital	Capital surplus	Other reserves	Accumulated gains/(losses)	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
Balance at 1 January 2001					
	357,092	157,103	20,060	(556,654)	(22,399)
Changes in accounting policies	<u>----</u>	<u>----</u>	<u>----</u>	<u>(3,920)</u>	<u>(3,920)</u>
Restated balance at 1 January 2001					
	357,092	157,103	20,060	(560,574)	(26,319)
Profit after taxation for 2001				12,409	
	<u>----</u>	<u>----</u>	<u>----</u>		12,409
Transfer to reserves					
	<u>----</u>	<u>----</u>	<u>1,780</u>	<u>(1,780)</u>	<u>----</u>
Balance at 31 December 2001	357,092	157,103	21,840	(549,945)	(13,910)
Profit after taxation for 2002	<u>----</u>	<u>----</u>	<u>----</u>	123,633	123,633
Transfer to reserves	<u>----</u>	<u>----</u>	879	(879)	<u>----</u>
Other increases					
	<u>----</u>	219,242	<u>----</u>	<u>----</u>	219,242
Decrease from disposal of subsidiary	<u>----</u>	<u>----</u>	<u>(1,010)</u>	<u>1,010</u>	<u>----</u>
Balance at 31 December 2001					
	<u>357,092</u>	<u>376,345</u>	<u>21,709</u>	<u>(426,181)</u>	<u>328,965</u>

The accompanying notes form an integral part of these financial statements.

CHINA TEXTILE MACHINERY STOCK LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2002

(Expressed in RMB Yuan)

1. Group background

China Textile Machinery Stock Limited and its subsidiaries (“the Company” or collectively with its subsidiaries “the Group”) were established in the People’s Republic of China (the “PRC”). On 5 May 1992, the Shanghai Municipal People’s Government approved the reorganization of the Company into a stock limited company. Subsequently, the Shanghai Branch of the People’s Bank of China approved the issuance by the Company of “A” shares and “B” shares in June 1992, which are currently listed on the Shanghai Securities Exchange.

The Company is mainly engaged in producing and selling textile machinery. To date, the Group has 13 subsidiaries across China with total assets of RMB758,854 thousand and staffs of almost 4,200. The activities of the Group’s subsidiaries are set out in Note 3 of the financial statements.

2. Principal accounting policies

(a) Statement of compliance

The financial statements of the Group have been prepared in accordance with International Accounting Standards (“IAS”). The Group also prepares a set of financial statements that comply with the PRC accounting regulations. A reconciliation of the Group’s results and shareholders’ equity under IAS and PRC accounting regulations is presented in note 30 of the financial statement. A summary of the principal accounting policies is set out below.

(b) Basis of preparation of the accounts

The Group adopts accrual basis when recording its business transactions. The measurement basis used in the preparation of the financial statements is historical cost.

2. Principal accounting policies-continued

(c) Basis of consolidation

The consolidated financial statements of the Group include the financial statements of the Company and all its subsidiary companies made up to 31 December each year. The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statement from or to the date of their acquisition or disposal, as appropriate.

All material inter-company transactions and balances are eliminated on consolidation.

(d) Subsidiary companies

A subsidiary company is a company in which the Group holds, directly or indirectly, more than 50 percent of the equity interest as long-term investment, or has the power to cast the majority of votes at meetings of management committee. Details of the Company's subsidiary companies are set out in note 3 of the financial statements.

(e) Jointly controlled entities

A jointly controlled entity is an entity that operates under a contractual arrangement between the Group and other parties, where the contractual arrangement establishes that the Group and one or more of the other parties share joint control over the economic activity of the entity.

(f) Investments

① Investments held on a continuing basis for an identified long-term purpose are classified as "non-trade investment". Investment securities are stated in the balance sheet at cost less any provisions for diminution in value. Provisions are made when the fair values have declined below the carrying amounts, unless there is evidence that the decline is temporary, and are recognized as an expense in the income statement, such provisions being determined for each investment individually.

Provisions against the carrying value of investment securities are written back when the circumstances and events that led to the write-down or write-off cease to exist and there is persuasive evidence that the new circumstances and events will persist for the foreseeable future.

② All other securities (whether held for trading or otherwise) are stated in the balance sheet at fair value. Changes in fair value are recognized in the income statement as they arise. Securities are presented as "trading securities" when they are acquired principally for the purpose of generating a profit from short-term fluctuations in price.

2. Principal accounting policies-continued

(f) Investments-continued

- ③ Gains or losses on disposal of investments in securities are determined as the difference between the estimated net disposal proceeds and the carrying amount of the investments and are accounted for in the income statement as they arise.

(g) Intangible assets

Rights to use land are amortized on a straight-line basis over the periods of rights.

(h) Fixed assets

Fixed assets are carried in the balance sheet on the following basis:

① Fixed assets are stated in the balance sheet at cost less accumulated depreciation.

② The carrying amount of fixed assets is reviewed periodically in order to assess whether the recoverable amount has declined below the carrying amount. When such a decline has occurred, the carrying amount is reduced to the recoverable amount. The amount of reduction is recognized as an expense in the income statement. In determining the recoverable amount, expected future cash flows generated by the fixed assets are discounted to their present values.

When the circumstances and events that led to the write-down or write-off cease to exist, any subsequent increase in the recoverable amount of an asset is written back to the income statement. The amount written back is reduced by the amount that would have been recognized as depreciation had the write-down or write-off not occurred.

③ Subsequent expenditure relating to a fixed asset that has already been recognized is added to the carrying amount of the asset when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing asset, will flow to the enterprise. All other subsequent expenditure is recognized as an expense in the period in which it is incurred.

④ Gains or losses arising from retirement or disposal of a fixed asset are determined as the difference between the estimated net disposal proceeds and the carrying amount of the asset and are recognized in the income statement on the date of retirement or disposal.

2. Principal accounting policies-continued

(i) Depreciation and amortization

Depreciation is calculated to write off the costs or valuation of fixed assets, after taking into account their estimated residual values, over their estimated useful lives using the straight-line method. The estimated useful lives are as follows:

Buildings

35-50 years

Machinery

and

equipment

10-20 years

Motor

vehicles

8-20 years

Furniture

and

office

equipment

8-20 years

No depreciation is provided on construction in progress.

(j) Construction in progress

Construction in progress comprises factories, office buildings and machinery under construction, including the related furniture, fixtures and equipment. All are states at cost. The cost of construction includes interest expenses relating to borrowings used during the construction period. Such capitalization of interest expenses ceases when the assets under construction are completed and ready for their intended use.

(k) Revenue recognition

Provided it is probable that the economic benefits will flow to the Group and the revenue and costs, if applicable, can be measured reliably. Revenue, probably obtained by the “Group” is recognized in the income statement as follows:

① Sale of goods

Revenue is recognized when goods are delivered at the customers’ premises which is taken to be the point in time when the customer has accepted the goods and the related risks and rewards of ownership. Revenue excludes value added or other sales taxes and is after deduction of any trade discounts.

② Rental income from operating leases

Rental income receivable under operating leases is recognized on a straight-line basis over

the term of the lease.

③ Dividends

Dividend income from unlisted investments other than associates and jointly controlled entities is recognized when the shareholder's right to receive payment is established.

2. Principal accounting policies-continued

④ Interest income

Interest income is accrued on a time-apportioned basis on the principal outstanding and at the rate applicable.

(l) Inventories

Inventories are carried at the lower of cost and net realizable value.

Raw materials, spare parts and low-value consumable articles are measured at purchasing price. When using or distribution, they are calculated with the weighted average cost formula. The working-in-progress and finished goods comprise all costs of raw materials, direct labor costs and adequate allocated indirect costs .

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

When inventories are sold, the carrying amount of those inventories is recognized as an expense in the period in which the related revenue is recognized. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, is recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs.

(m) Property under development

Properties under development are stated at specifically identified cost, including materials and supplies, labor costs, capitalized borrowing costs and other direct expenses, less any provisions considered necessary by the directors.

(n) Properties for sale

Properties for sale are stated at the lower of their net carrying value on reclassification from properties held for development and net realization value. Net realization value represents the estimated selling price less all cost to be incurred in selling. Revenue is recognized when the legal title of property is transferred to the buyer.

2. Principal accounting policies-continued

(0) Taxation

Income tax is stated in accordance with the Group's statutory financial statements, which are prepared under the accounting principles applicable to enterprises established in the PRC. Pursuant to Chinese tax regulations, the income tax rate applicable to the group is 15%. Value added tax (" VAT"), sales tax and city construction tax are also levied on the Group.

(p) Translation of foreign currencies

Foreign currency transactions during the year are translated into RMB at the exchange rates ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated into RMB at the exchange rates ruling at the balance sheet date. Exchange gains and losses are dealt with in the income statement.

(q) Operating leases

Rental payable under operating leases is accounted for in the income statement on a straight-line basis over the periods of the respective leases.

(r) Pension contribution

According to the regulation of Shanghai Municipal Government Authorities, employees in the Group should cover the pension insurance and the Group should pay the retirement fund managing by Shanghai Municipal Government Authorities at the rate of 22.5% on the gross payroll of the on-the-job employees.

(s) Borrowing costs

Borrowing costs are expensed in the income statement in the period in which they are incurred, except to the extent that they are capitalized as being directly attributable to the acquisition, construction or production of an asset which necessarily takes a substantial period of time to get ready for its intended use or sale.

(t) Related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

2. Principal accounting policies-continued

(u) Cash equivalents

Cash equivalents are short-term, highly liquid investments which are readily convertible into known amounts of cash without notice and which were within three months of maturity when acquired. For the purposes of the cash flow statement, cash equivalents would also include advances from banks repayable within three months from the date of the advance.

3. Subsidiary companies

As at 31 December 2002, the Company owned the following significant subsidiary companies established in the PRC.

Company's name	Registered city	Registered capital'000	Equity interest	Main activities
CTM Transportation Co., Ltd.	Shanghai,China	700	30%	Provision of transportation services
CTM Metal Product Co., Ltd.	Shanghai,China	2,500	36%	Cold drawing of metal materials
CTM ZHENGHONG Metal Powder Products Co.,Ltd.	Shanghai,China	1,200	48.33%	Manufacture of metal powder products
CTM YIJIN Machinery Co., Ltd.	Shanghai,China	2,000	49%	Installation and maintenance of machinery
CTM Sinital Petroleum Machinery Co., Ltd.	Shanghai,China	500	80%	Manufacture and sale of petroleum machinery
Shanghai Donghao Environmental Protection Equipment Co., Ltd.	Shanghai,China	117,710	84.60%	Environmental protection equipment, manufacture and sale of electric set equipment
CTM Tool Company	Shanghai,China	5,500	100%	Trading of tools and moulds
CTM Real Estate Development Company	Shanghai,China	15,000	100%	Property development and investment
CTM Resources Company	Shanghai,China	3,000	100%	Trading of raw materials
CTM Industry and Trade Company	Shanghai,China	1,000	100%	Manufacture of parts
CTM General Electric Company	Shanghai,China	1,050	100%	Manufacture and processing of electric products
CTM International Trade Co.,Ltd.	Shanghai,China	2,600	100%	International textile trade
NingBo ZHONGXIE Textile Machinery Co., Ltd.	Shanghai,China	1,000	100%	Processing and sale of textile machinery

The Group accepts 84.6% ordinary share donating of Shanghai Donghao Environment Protection Equipment Co., Ltd (at zero cost). As at the balance sheet date, the net asset of that company is RMB122,114 thousand, from which the capital surplus of the Company is RMB103,308 thousand.

CTM Speed Varity Co., Ltd. (subsidiary of the Group at 1 January 2002) has been disposed at the value of RMB4,388 thousand, from which no gain or loss arises.

4. Turnover

Turnover represents the invoiced value of goods sold to customers net of value added tax and other sales taxes and trade discounts, after eliminating inter-company transactions.

The Group's revenue mainly consists of sales of textile machinery and fittings. The revenue from other activities is not significant to the Group and is therefore not separately disclosed.

5. Other revenue

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
proceeds from selling raw materials	1,307	1,057
Rental income	2,644	2,397
Gains from disposal of fixed assets	1,842	723
Insurance reparation	284	1,291
Interest income	585	223
Others		
	<u>2,209</u>	<u>1,024</u>
	<u>8,871</u>	<u>6,715</u>

6. Other operating expenses

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Taxation	2,389	4,554
Provision for written down and written off of fixed assets	(3)	3,453
Loss from disposal of fixed assets	332	620
School-running costs	-----	1,520
Others	<u>54</u>	<u>94</u>
	<u>2,772</u>	<u>10,241</u>

7. Financial expenses

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Interest expense	13,255	23,022
Loss/(gain) from foreign exchange	13	(2)
others	<u>50</u>	<u>71</u>
	<u>13,318</u>	<u>23,091</u>

8. Gain from investment

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Gain from share investments	2,779	17,718
(Loss)/Gain from bond investments	-	(32)
Profit remitted from associates	852	2,298
(loss)/Gains from changes of share-holders' equity under the equity method	<u>(151)</u>	<u>23</u>
	<u>3,480</u>	<u>20,007</u>

9. Gain from disposal of long-term investment

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
	<u>221</u>	<u>23,513</u>

During 2002, the Group disposes some part of its investments, from which the gain is RMB 221 thousand. (Gain occurred in 2001 is from transferring long-term investments of other company's share)

10. Abnormal gains

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Net government subsidy of land removal and replacement	93,728	----
Government grant	<u>----</u>	<u>6,643</u>
	<u>93,728</u>	<u>6,643</u>

According to the agreement, Shanghai YangPu Land Development Center should pay to the Company RMB122,004 thousand as subsidy of land removal and replacement. The Company has completed all the items included in the agreement in 2002. The Center has the ownership of the land. The net subsidy of land removal and replacement is RMB 93,728 thousand.

Shanghai Municipal Economic Commission has reimbursed RMB 6,500 thousand to the Company for land removal and replacement of molding workshop in 2001.

11. Profit before taxation

Profit before taxation is arrived after charging/(crediting) the following:

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Charged :		
Depreciation of fixed assets	4,899	17,246
Interest expenses	13,255	23,022
Less: Transfer to properties under development	-	-
Transfer to construction in progress	-	-
	<u>13,255</u>	<u>23,022</u>
Provision/(written back of provision) for doubtful debt	3,326	2,364
Provision for slow moving and obsolete inventories	(4,930)	7,459
Provision/(written back of provision) for long-term investments	(4,821)	(3,581)
Provision/(written back of provision) for fixed assets	(53)	3,453
Provision/(written back of provision) for short-term investment	(364)	-
Amortization of intangible assets	387	397
Amortization of other long-term assets	474	195
Net losses/(gains) from disposal of fixed assets	(1,510)	(103)
Interest income	(585)	(223)
Losses/(gains) from investment	(3,480)	(20,007)
Losses/(gains) from disposal of long-term investment	(221)	(23,513)
Exchange loss/(gain)	13	(2)
Pension contribution	<u>9,222</u>	<u>5,220</u>

12. Income taxation

The Group's profit is subject to income tax calculated at 15% of assessable profit determined in accordance with the PRC relevant income tax rules and regulations.

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Income tax	<u>177</u>	<u>94</u>

Income tax above is the tax provision of subsidiary companies.

13. Earnings per share

The calculation of basic earnings per share is based on the net profit attributable to shareholders of RMB123,633 thousand (2001 net profit: RMB12,409 thousand) and on 357,091,535 “A” and “B” shares of RMB 1 each, remained on 31 December 2002.

14. Intangible assets

	Right use land	Know-how	Goodwill	Total
	RMB '000	RMB '000	RMB '000	RMB '000
Original value:				
Opening balance at Jan. 1 st 2002	17,108	554	310	17,972
Additions				
	8,228	----	----	8,228
Obtained from donated subsidiary	7,751	28,732	----	36,483
Disposal	(17,146)	----	----	(17,146)
Balance at Dec. 31 st 2002	<u>15,941</u>	<u>29,286</u>	<u>310</u>	<u>45,537</u>
Amortization:				
Opening balance at Jan. 1 st 2002	789	198	279	1,266
Amortization of original value for the year	-	356	31	387
Amortization of newly obtained value for the year	1,585	958	-	2,543
Written back for the year	<u>(789)</u>	<u>----</u>	<u>----</u>	<u>(789)</u>
Balance at Dec. 31 st 2002	<u>1,585</u>	<u>1,512</u>	<u>----</u>	<u>3,406</u>
Net value				
Balance at Dec. 31 st 2002	<u>14,356</u>	<u>27,774</u>	<u>----</u>	<u>42,130</u>
Balance at Jan. 1 st 2002	<u>16,319</u>	<u>356</u>	<u>31</u>	<u>16,706</u>

15. Fixed assets

	Buildings RMB '000	Machinery and equipment RMB '000	Motor vehicles RMB '000	Furniture and office equipment RMB '000	Total RMB '000
Cost					
Opening balance at Jan. 1 st 2002	131,354	215,848	7,864	10,107	365,173
Addition	24,056	47,334	3,714	471	75,575
Transfer from construction in progress	----	29,647	----	----	29,647
Disposal	<u>(45,466)</u>	<u>(23,985)</u>	<u>(845)</u>	<u>(3,833)</u>	<u>(74,129)</u>
Balance at Dec. 31 st 2002	<u>109,944</u>	<u>268,844</u>	<u>10,733</u>	<u>6,745</u>	<u>396,266</u>
Accumulated depreciation:					
Opening balance at Jan. 1 st 2002	73,967	116,398	4,556	6,653	201,574
Charge for the year	7,931	19,657	1,534	613	29,735
Written back for the year	<u>(25,838)</u>	<u>(16,547)</u>	<u>(340)</u>	<u>(2,738)</u>	<u>(45,463)</u>
Balance at Dec. 31 st 2002	<u>56,060</u>	<u>119,508</u>	<u>5,750</u>	<u>4,528</u>	<u>185,846</u>
Provision for impairment of fixed assets:					
Opening balance at Jan. 1 st 2002	2,245	847	353	8	3,453
Charge for the year	----	----	----	----	----
Written back for the year	<u>----</u>	<u>(45)</u>	<u>----</u>	<u>(8)</u>	<u>(53)</u>
Balance at Dec 31 st 2002	<u>2,245</u>	<u>802</u>	<u>353</u>	<u>----</u>	<u>3,400</u>
Net book value after provision:					
Balance at Dec. 31 st 2002	<u>51,639</u>	<u>148,534</u>	<u>4,630</u>	<u>2,217</u>	<u>207,020</u>
Balance at Jan. 1 st 2002	<u>55,142</u>	<u>98,603</u>	<u>2,955</u>	<u>3,446</u>	<u>160,146</u>

The Company's directors are of the opinion that the diminution provision for impairment of fixed assets is adequate and appropriate.

16. Construction in progress

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Opening balance at Jan.1 st 2002	59,823	59,436
Additions	1,816	1,746
Transfer to fixed assets	(29,652)	(1,359)
Transfer to others	<u>(31,590)</u>	<u>----</u>
	397	59,823
Provision for impairment of construction in progress	<u>----</u>	<u>(31,459)</u>
Balance at Dec.31 st 2002	<u>397</u>	<u>28,364</u>

Approved by the board of directors, the completed gas-jetting engineer project is transferred to the fixed assets, on the net value after provision for impairment (RMB27,456 thousand).

17. Long-term investments

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Investment in unmarketable corporation shares	14,215	13,915
Investment in marketable corporation shares	67,494	67,494
Investment in associated companies	<u>33,594</u>	<u>20,758</u>
	115,303	102,167
Provision for impairment of long-term investments	<u>(20,705)</u>	<u>(25,526)</u>
	<u>94,598</u>	<u>76,641</u>

The Company's directors are of the opinion that the diminution provision for impairment of long-term investment is adequate and appropriate.

18. Other long-term assets

	Expenditures for improvement of leased fixed assets RMB '000	Charges for equipment installation RMB '000	Others RMB '000	Total RMB '000
Opening balance at Jan. 1 st 2002	----	----		
			5 15	515
Additions	14			
		57	----	71
Amortization and written-off				
	----	----	(515)	(515)
Balance at Dec. 31 st 2001				
	<u>14</u>	<u>57</u>	<u>----</u>	<u>71</u>

19. Inventories

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Raw materials	33,339	
		35,846
work in progress	46,396	
		69,248
Finished goods	103,609	
		77,578
Properties under development	----	
		1,420
Properties for sale	2,789	
		4,528
Low-value consumable goods		
	<u>4,831</u>	<u>5,832</u>
	190,964	
		194,452
Provision for impairment of inventories		
	<u>(28,524)</u>	<u>(32,704)</u>
	<u>162,440</u>	<u>161,748</u>

The Company's directors are of the opinion that the diminution provision for impairment of inventories is adequate and appropriate.

20. Accounts receivable

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Accounts receivable	79,657	65,721
Provision for bad debts	(32,672)	(28,773)
	<u>46,985</u>	<u>36,948</u>

The Company's directors are of the opinion that the diminution provision for bad debts is adequate and appropriate.

21. Prepayments and other receivables

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Prepayments	9,232	14,282
Other receivables	111,594	52,056
	120,826	66,338
Provision for bad debt	(29,844)	(30,417)
	<u>90,982</u>	<u>35,921</u>

The Company's directors are of the opinion that the diminution provision for prepayments and other receivables is adequate and appropriate.

22. Short-term loans

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Bank loans:		
Secured	154,746	331,163
Unsecured	<u>600</u>	<u>---</u>
	<u>155,346</u>	<u>331,163</u>
Bank loans:		

Due in one year	121,600	294,550
Long-term loan repaid in one year	<u>33,746</u>	<u>36,613</u>
	<u>155,346</u>	<u>331,163</u>

Bank loan amounting to RMB20,500 thousand is secured by the Group's fixed assets; RMB13,000 thousand is secured by corporate shares; RMB6,750 thousand is secured by USD fixed-term deposit and RMB106,134 thousand is guaranteed by other companies.

23. Share capital

At 31December 2002, the registered and issued share capital of the Company is as follows:

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
“ A” shares of RMB 1 each issued to:		
The PRC Government	85,367	188,924
PRC corporate investors	125,865	22,308
PRC individual investors	<u>25,740</u>	<u>25,740</u>
	236,972	236,972
“ B” shares of RMB 1 each issued to:		
Overseas investors & inland investors	<u>120,120</u>	<u>120,120</u>
	<u>357,092</u>	<u>357,092</u>

The owners of “ A” and “ B” shares carry equal rights with respect to the distribution of the Company's assets and profits and are ranked pair passes in all other respects.

The “ A” shares may only be held by the PRC Government and PRC investors; the “ B” shares may be held by foreign investors and PRC investors as well.

24. Reserves and undistributed profit/(accumulated losses)

	Capital surplus	Surplus reserves	Statutory public welfare fund	Discretionary surplus reserves	Accumulated losses	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
Opening balance at 1 st January 2001	157,103	11,444	---	8,616	(556,654)	(379,491)
Changes in accounting policies	---	---	---	---	(3,920)	(3,920)
Restated balance at 1 st January 2001	157,103	11,444	---	8,616	(560,574)	(383,411)
Profit after tax for 2001	---	---	---	---	12,409	12,409
Transfer to reserves	---	---	---	796	(1,780)	---
Balance at 31 st December 2001	157,103	11,936	492	9,412	(549,945)	(371,002)
Profit after tax for 2002	---	---	---	---	123,633	123,633
Transfer to reserves	---	255	255	369	(879)	---
Other additions	219,242	---	---	---	---	219,242
Decrease from disposal of subsidiary	---	---	---	(496)	1,010	---
Balance at 31 st December 2002	<u>376,345</u>	<u>11,934</u>	<u>490</u>	<u>9,285</u>	<u>(426,181)</u>	<u>(28,127)</u>

Increase of reserves arising this year is from subsidiary companies calculated on a fixed proportional to their profits.

Other additions include accepting share-donation (RMB103,308 thousand), gains from debt recombination(RMB113,114thousand) and written-off payables (RMB2,821 thousand).

In 2002, the Company's statutory financial statements prepared according to Accounting Standards of PRC report that there is no profit for distribution.

Other reserves comprise statutory surplus reserve, discretionary surplus reserve and public welfare fund.

Surplus reserves:

According to the PRC Company Law, the Company is required to transfer at least 10% of its profit after taxation, as determined under the PRC accounting regulations, to the Surplus reserves until the reserve balance reaches 50% of the registered capital. The transfer to this reserve must be made before the distribution of dividends to shareholders.

Statutory reserve can be used to make up previous years' losses, if any, and for increasing share capital provided that the balance after such issue is not less than 25% of the registered capital.

Statutory public welfare fund:

According to the Company's articles of association, the Company is required to transfer a certain percentage of its profit after taxation, as determined under the PRC accounting regulations, to the statutory public welfare fund. The statutory public welfare fund can only be used for the collective welfare of the Company's employees such as the construction of staff quarters. The fund forms part of the shareholders' equity as individual employees can only use these facilities, the titles of which will remain with the Company. The appropriation to this fund must be made before the distribution of dividends to shareholders. The articles of association of the Company specify that a maximum of 10% of its profits can be appropriated to the statutory public welfare fund and the rate of appropriation is to be determined by the board of directors annually.

Discretionary surplus reserves:

The rate of appropriation to these reserves is to be determined by the board of directors annually.

Discretionary surplus reserves can be used to make good previous years' losses, if any, and for increasing share capital.

25. Notes to the net cash flow of operation activities

Reconciliation of profit before taxation and abnormal gain to net cash inflow from operating activities is as follows:

	<u>2002</u>	<u>2001</u>
	RMB '000	RMB '000
Profit before taxation and abnormal gain	32,321	7,770
adjusting :		
Depreciation	4,899	17,246
Provision /(written back) for bad debt	3,326	2,364
Provision /(written back) for impairment loss of slow-moving and obsolete inventories	(4,930)	7,459
Provision /(written back) for impairment loss of long-term investment	(4,821)	(3,581)
Provision /(written back) for impairment loss of fixed assets	(53)	3,453
Provision /(written back) for impairment loss of short-term investment	(364)	----
Amortization of intangible assets	387	397
Amortization of other long-term assets	474	195
Net loss/(gain) from disposal of fixed assets	(1,510)	(103)
Interest income	(585)	(223)
Loss/(gain) from disposal of investment	(3,480)	(20,007)
Loss/(gain) from disposal of long-term investment	(221)	(23,513)
Interest expenses	13,255	23,022
Loss/(gain) from foreign exchange	<u>15</u>	<u>(2)</u>
	<u>6,392</u>	<u>6,707</u>
Profit before working-capital	38,713	14,477
Decrease/(increase) in inventories	16,881	33,857
Decrease /(increase) in accounts receivables	(14,539)	883
Decrease/(Increase) in prepayments and other receivables	17,875	(5,979)
Increase/(decrease) in payables	(4,589)	(2,739)
Increase/(decrease) in tax payables	<u>2,492</u>	<u>3,292</u>
	<u>18,120</u>	<u>29,314</u>
Cash flow from operating activities	56,833	43,791
Income tax paid	<u>(385)</u>	<u>(34)</u>
Cash flow before abnormal items	56,448	43,757
Proceed of government grant	<u>----</u>	<u>3,763</u>
Net cash inflow from operating activities	<u>56,448</u>	<u>47,520</u>

26. Cash inflow from accepting donated subsidiary

During 2002, the Group accepts 84.60% ordinary share of Shanghai Donghao environment equipment Co., Ltd.

Net assets acquired:	<u>2002</u>
	RMB '000
Cash and bank deposit	34,383
Inventories	3,730
Accounts and other receivables	22,492
Long-term investment	450
Real estate, works and equipment	62,642
Other long-term assets	34,011
Accounts and other payables	(8,909)
Bank loans	(25,000)
Minority interests	<u>(20,491)</u>
	103,308
Transfer to capital reserve	<u>(10)</u>
	<u>3,308</u>
Total acquired value	<u>==</u>
Net cash inflow from accepting donated subsidiary:	
Cash payment	----
Acquired cash and cash equivalents	<u>34,383</u>
	<u><u>34,383</u></u>

27. Net cash outflow from disposal of subsidiary

During 2002, the group disposes Shanghai Speed Varsity Co., Ltd.

Net assets disposed:	<u>2002</u>
	RMB '000
Cash and bank deposit	4,185
Inventories	1,795
Accounts and other receivables	8,070
Long-term investment	45
Real estate, works and equipment	1,164

Other long-term assets	841
Accounts and other payables	(4,918)
Bank loans	(5,000)
Minority interests	(1,794)
Total disposed value	<u>4,388</u>

Payment way:

Other payables	4,388
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Net cash outflow from disposal of subsidiary:

Cash payment	----
Disposed cash and cash equivalents	(4,185)
	<u>(4,185)</u>

28. Related party transactions

(a) During 2002, the Group has the following transactions with related parties:

Related party	Kind of transaction	<u>2002</u>	<u>2001</u>
		RMB' 000	RMB' 000
Nanjing SWT Group Co., Ltd	Share donation (at zero cost)	103,308	----
Pacific Electric Machinery (Group) Co., Ltd.	Share transferring	----	19,660
Pacific Electric Machinery (Group) Co., Ltd.	Separation of assets and liability	----	133,440
Pacific Electric Machinery (Group) Co., Ltd.	Payment for inter-transactions	2,685	----
Shanghai Pacific Machinery Input& Output Company	Other receivable	150	----
Shanghai Pacific Machinery Input& Output Company	Receipt from inter-transactions	----	7,164
Shanghai Huayun Real Estate Development and Operation Company	Receipt from inter-transactions	----	10,000
Shanghai Huayun Real Estate Development and Operation Company	Receipt of guarantee	15,800	----

(b) As at 31 December 2002, the Group has unsolved balance with related parties as following:

Related party	Receivable amount		Payable amount	
	2002	2001	2002	2001
	RMB' 000	RMB' 000	RMB' 000	RMB' 000
Pacific Electric Machinery (Group) Co., Ltd.	5,114	2,429	----	----

Shanghai Pacific Machinery Input & Output Company	10,209	10,059	----	----
Shanghai Huayun Real Estate Development and Operation Company	2,332	2,332	15,800	----

29. Commitments and contingent liabilities

As at 31 December 2002, the Company had contingent liability in respect of guarantees, together with Shanghai No.2 Textile ACE Industrial Co., Ltd, issued to Shanghai Sanmao Textile Co., Ltd. for granting bank loan amounting to RMB30,000 thousand.

As at 31 December 2002, the Company had contingent liability in respect of guarantees, together with Shanghai Shenyi Textile Industrial Co., Ltd, issued to Shanghai Sanmao Textile Co., Ltd. for granting bank loan amounting to RMB5,000 thousand.

In May 2002, Changzhou Golden Sun Textile Co., Ltd. sues the Company for unqualified textile machinery to Shanghai No.2 Municipal Intermediate Court and requires the Company to return RMB6,050 thousand. After testing by Textile Machinery Quality Checking Center of National Textile Industrial Bureau, it confirms the machinery reach the required standards. Therefore, in the opinion of the Board of the Directors, the Company has a great possibility to win the case after discussion with lawyers.

30. Difference between accounts prepared under IAS and PRC accounting regulations

Effects on the consolidated profit after tax and minority interests for the year ended 31 December 2002 and the shareholders' equity at 31 December 2002 of differences between IAS and PRC accounting regulations are summarized as follows:

	Profit after taxation and minority interests		Shareholders' equity	
	<u>2002</u>	<u>2001</u>	<u>2002</u>	<u>2001</u>
	<u>RMB'000</u>	<u>RMB'000</u>	<u>RMB'000</u>	<u>RMB'000</u>
Stated according to PRC accounting regulations	108,424		361,211	
		1,644		33,545
Adjusting :				
Provision for impairment of inventories	----		----	
		(4,506)		----
Provision for doubtful debts	----		----	
		13,654		----
Depreciation of fixed assets	<u>15,209</u>		<u>(32,246)</u>	
		<u>1,617</u>		<u>(47,455)</u>
Restated according to IAS	<u>123,633</u>	<u>12,409</u>	<u>328,965</u>	<u>(13,910)</u>

The above 2002 equity's share difference (RMB32,246 thousand) between "A share"

financial statements prepared in accordance with PRC accounting regulations and “B share” financial statements prepared in accordance with IAS, is mainly due to the different accounting estimate on depreciation period of fixed assets before year 2001. During 2001, according to the requirement of China Securities Regulatory Commission(“CSRC”), the Company should prepare “A share” and “B share” financial statements using one accounting estimate on the same item; then changed accounting estimate of depreciation period of fixed assets of “B share” financial statements to that of “A share”, regarding the actual utility of fixed assets. Therefore the above difference is only the timing difference between the former two estimates, and will be written back in the residual depreciation period or the disposal day. By that time, the equity’ share of “B share” financial statements will be increased and finally the difference between the two statements will be totally eliminated.

31. Comparative figures

Some comparative figures are reorganized in accordance with the presentation of current year financial statements. Net loss in 2001 is increased by RMB4,969 thousand due to the trace-back adjustments. The relevant figures are represented.

32. Approval of financial statements

The financial statements were approved by the Board of Directors of the Company on 24 March 2003.

XI. List of Reference Materials

1. Finance report with original signature of legal person, accountant in charge and dealing accountant.
2. Original audit report stamped by relevant accounting firms and stamped and signed by certified accountants.
3. All documents disclosed in the newspapers assigned by China Securities Regulatory Committee in the report period.

The Company promises to provide the above reference documents on time when requested by CSRC, Shanghai Stock Exchange or Shareholders in accordance with relevant laws and cooperation articles.

China Textile Machinery Co., Ltd.

Qian Jianzhong

March 24th of 2003